

TWO TRACTS
ON
CIVIL LIBERTY,
THE
WAR WITH AMERICA,
AND
THE DEBTS AND FINANCES OF
THE KINGDOM:
WITH
A GENERAL INTRODUCTION and
SUPPLEMENT.

By RICHARD PRICE, D.D. F.R.S.

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ON CIVIL LIBERTY, THE WAR WITH AMERICA, AND THE DEBTS
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LONDON,
Printed for T. CADELL, in the STRAND.
MDCCLXXVIII.

GENERAL INTRODUCTION.

The first of the following tracts was published in the beginning of the year 1776; and the second in the beginning of last year. They are now offered to the public in one volume, with corrections and additions. All the calculations, in the *Appendix* to the first tract, have been transferred to the *second* and *fourth* sections, in the third part of the second tract.

The section on PUBLIC LOANS, in the second tract, has been revised with care; and a *supplement* to it, containing additional proposals and some necessary explanations, has been given at the end of the whole.—This is a subject to which I have applied (perhaps too unprofitably) much of my attention. I have now done with it; and the whole is referred to the candid examination of those who may be better informed, hoping for their indulgence should they find that, in any instance, I have been mistaken. I have not meant, in any thing I have said on this subject, to censure any persons. That accumulation of artificial debt which I have pointed out, and by which the dagger of the kingdom from its growing burdens has been so needlessly increased, has, I doubt not, been the effect of inattention in our ministers; and the scheme, by which the loan of last year has been procured, gives reason to hope that better plans of borrowing will be adopted for the future.

The principal design of the first part of the second tract was (as I have observed in the introduction to it) to remove the misapprehensions of my sentiments on CIVIL LIBERTY AND GOVERNMENT into which some had fallen. It gives me concern to find that it has not answered that end in the degree I wished. I am still charged with maintaining opinions which tend to subvert all civil authority. I paid little regard to this charge, while it was confined to the advocates for the principles which have produced the present war; but as it seems lately to have been given the public from the authority of a writer of the first character,^[1] it is impossible I should not be impressed by it; and I find myself under a necessity of taking farther notice of it.

There are two accounts, directly opposite to one another, which have been given of the origin of civil government. One of them is, that “civil

government is an expedient contrived by human prudence for gaining security against oppression; and that, consequently, the power of civil governors is a delegation or trust from the people for accomplishing this end.”

The other account is, that “civil government is an ordinance of the Deity, by which the body of mankind are given up to the will of a few; and, consequently, that it is a trust from the Deity, in the exercise of which civil governors are accountable only to him.”

The question “which of these accounts we ought to receive,” is important in the highest degree. There is no question which more deeply affects the happiness and dignity of man as a citizen of this world.—If the former account is right, the people (that is, the body of independent agents) in every community are their own legislators. All civil authority is properly *their* authority. Civil governors are only public *servants*; and their power, being *delegated*, is by its nature *limited*.—On the contrary. If the latter account is right, the people have nothing to do with their own government. They are placed by their maker in the situation of cattle on an estate, which the owner has a right to dispose of as he pleases. Civil Governors are a body of *masters*; and their power is a commission from Heaven held by divine right, and unbounded in its extent.

I have espoused, with some zeal, the first of these accounts; and in the following tracts, endeavoured to explain and defend it. And this is *all* I have done to give countenance to the charge I have mentioned.—Even the masterly writer who, after a croud of writers infinitely his inferiors, seems to have taken up this accusation against me, often expresses himself as if he had adopted the same idea of government^[2]. Such indeed is my opinion of his good sense, and such has been the zeal which he has discovered for the rights of mankind, that I think it scarcely possible his ideas and mine on this subject should be very different. His language, however, sometimes puzzles me; and, particularly, when he intimates that government is an institution of divine authority;^[3] when he scouts all discussions of the nature of civil liberty, the foundation of civil rights, and the principles of free government; and when he asserts the *competence* of our legislature to revive the *High-Commission Court* and *Star-Chamber*, and its BOUNDLESS AUTHORITY not only over the people of *Britain*, but over distant communities who have no voice in it.

But whatever may be Mr. BURKE's sentiments on this subject, he cannot possibly think of the former account of government that "it is a speculation which destroys all authority."—Both accounts establish an authority. The difference is, that one derives it from the *people*, and makes it a *limited* authority; and the other derives it from *Heaven*; and makes it *unlimited*.—I have repeatedly declared my admiration of such a constitution of government as our own would be, were the House of Commons a fair representation of the kingdom, and under no undue influence.—The sum of all I have meant to maintain is, "that LEGITIMATE GOVERNMENT, as opposed to OPPRESSION and TYRANNY, consists in the dominion of equal laws made with common consent, or of men over *themselves*; and not in the dominion of communities over communities, or of any men over other men." Introduction to the second Tract, [p. 9](#).—How then can it be pretended, that I have aimed at destroying all authority? Does our own constitution destroy all authority? Is the authority of equal laws made with common consent no authority? Must there be no government in a state that governs itself? Or, must an institution, contrived by the united counsels of the members of a community, for restraining licentiousness and gaining security against injury and violence, *encourage* licentiousness, and give to every one a power to commit what outrages he pleases?

The Archbishop of York, (in a sermon preached before the society for propagating the gospel in foreign parts, Feb. 21, 1777,) has taken notice of some loose opinions, as he calls them, which have been lately current on civil liberty; some who mean delinquency having given accounts of it "by which every man's humour is made to be the rule of his obedience, all the bad passions are let loose, and those dear interests abandoned to outrage for the protection of which we trust in law," 4to edit. p. 15 and 16. It is not difficult to guess at one of the delinquents intended in these words. In opposition to the horrid sentiments of liberty which they describe, but which in reality no man in his senses ever entertained, the Archbishop defines it to be simply, the supremacy of law, or GOVERNMENT by LAW, without adding to *law*, as I had done, the words *equal* and *made with common consent*;^[4] and without opposing a GOVERNMENT by LAW to a GOVERNMENT BY MEN, as others had done.—According to him, therefore, the supremacy of law must be liberty, whatever the law is, or whoever makes it.—In despotic countries government by law is the same with government by the will of one man, which HOOKER has called *the misery of all men*; but,

according to this definition, it is liberty.—In ENGLAND *formerly*, the law consigned to the flames all who denied certain established points of faith. Even *now*, it subjects to fines, imprisonment and banishment all teachers of religion who have not subscribed the doctrinal articles of the church of England; and the good Archbishop, not thinking the law in this case sufficiently rigorous, has proposed putting Protestant Dissenters under the same restraints with the Papists.^[5] And should this be done, if done by *law*, it will be the establishment of *liberty*.

The truth is, that a government by law is or is not liberty, just as the laws are just or unjust; and as the body of the people do or do not participate in the power of making them. The learned Prelate seems to have thought otherwise, and therefore has given a definition of liberty, which might as well have been given of slavery.

At the conclusion of his sermon, the Archbishop adds words which he calls comfortable, addressed to those who had been *patient in tribulation*,^[6] and intimating that they might *rejoice in hope*, “a ray of brightness then appearing after a prospect which had been long dark.” And in an account which follows the sermon, from one of the missionaries in the province of New-York, it is said, that “the rebellion would undoubtedly be crushed, and that *THEN* will be the time for taking steps for the increase of the church in America, by granting it an episcopate.” In conformity to the sentiments of this missionary, the Archbishop also expresses his hope, that the opportunity which such an event will give, for establishing episcopacy among the colonists, will not be lost; and advises, that measures should be thought of for that purpose, and for thereby rescuing the church from the persecution it has long suffered in *America*.

This is a subject so important, and it has been so much misrepresented, that I cannot help going out of my way to give a brief account of it.

It does not appear that the lay members themselves of the church in *America* have ever wished for Bishops. On the contrary, the assembly of *Virginia* (the first episcopal colony) some years ago returned thanks to two clergymen in that colony, who had protested against a resolution of the other clergy to petition for Bishops. The church *here* cannot have a right to *impose* Bishops on the church in another country; and therefore, while

churchmen in *America* are averse to Bishops, it must be persecution to send Bishops among them. The *Presbyterians*, and other religious sects there, are willing, from a sense of the reasonableness of toleration, to admit Bishops whenever the body of episcopalian laity shall desire them, provided security is given that they shall be officers merely spiritual, possessed of no other powers than those which are necessary to the full exercise of that mode of religious worship. It is not Bishops, as *spiritual* officers, they have opposed; but Bishops on a state-establishment; Bishops with *civil* powers; Bishops at the head of ecclesiastical courts, maintained by taxing other sects, and possessed of a PRE-EMINENCE which would be incompatible with the equality which has long subsisted among all religious sects in *America*. In this last respect, the colonies have hitherto enjoyed a happiness which is unparalleled, but which the introduction of such Bishops as would be sent from hence would destroy. In *Pensilvania* (one of the happiest countries under heaven before we carried into it desolation and carnage) all sects of christians have been always perfectly on a level, the legislature taking no part with any one sect against others, but protecting all equally as far as they are peaceable. The state of the colonies north of *Pensilvania* is much the same; and, in the province of *Massachusetts's-Bay* in particular, civil authority interposes no farther in religion than by imposing a tax for supporting public worship, leaving to all the power of applying the tax to the support of that mode of public worship which they like best. This tax the episcopalians were, at one time, obliged to pay in common with others; but so far did the province carry its indulgence to them, that an act was passed on purpose to excuse them.—With this let the state of Protestant Dissenters in this country be compared. Not only are they obliged to pay tithes for the support of the established church, but their worship is not even tolerated, unless their ministers will subscribe the articles of the church. In consequence of having long scrupled this subscription, they have lost all legal right to protection, and are exposed to the cruellest penalties. Uneasy in such a situation, they not long ago applied twice to parliament for the repeal of the penal laws against them. Bills for that purpose were brought into the *House of Commons*, and passed that House. But, in the House of Lords, they were rejected in consequence of the opposition of the Bishops.—There are few I reverence so much as some on the sacred bench; but such conduct (and may I not add the alacrity with which most of them support

the present measures?) must leave an indelible stain upon them, and will probably exclude them for ever from *America*.

On this occasion, I cannot help thinking with concern of the learned Prelate's feelings. After a prospect long dark, he had discovered a ray of brightness shewing him *America* reduced, and the church triumphant: But lately, that ray of brightness has vanished, and defeat has taken place of victory and conquest.—And what do we *now* see?—What a different prospect, mortifying to the learned Prelate, presents itself?—A great people likely to be formed, in spite of all our efforts, into free communities, under governments which have^[7] no religious tests and establishments!—A new æra in future annals, and a new opening in human affairs beginning, among the descendants of *Englishmen*, in a new world;—A rising empire, extended over an immense continent, without BISHOPS,—without NOBLES,—and without KINGS.

O the depth of the riches of the wisdom of God! How unsearchable are his judgments!

But to proceed to another subject.

In the second of the following tracts, [page 48](#), I have observed, that in former times it was the custom of parliament to pass bills for appointing commissioners to take, state, and examine the public accounts. I have lately had it in my power to inform myself more particularly on this subject; and I shall here beg leave to give a brief recital of some of the principal facts relating to it.

The first bill for the purpose I have mentioned was passed in the times of the commonwealth, and in the year 1653. It was called an “act for accounts, and for clearing of public debts, and discovering frauds and concealments.” Seven commissioners were named in it, and the necessary powers given them. In 1667, another act was passed for the same purpose; after which I find no account of any such acts till the beginning of the reign of King William. At this time complaints of mismanagement and embezzlements in the disposition of public money were become so prevalent, that the *House of Commons* thought it necessary to enter into measures for effectually

preventing them, by obliging all revenue officers to make up their accounts, and bringing defaulters to justice.

With these views, six of the acts I have mentioned were passed between the years 1690 and 1701. Another was passed in the first of *Queen Anne*; and *three* more in her four last years. In *King William's* reign they were always passed by the *House of Commons* without a division. In *Queen Anne's reign*, not *one* passed without a division. In 1717, a motion for such an act was *rejected* without a division; and since 1717, only one motion^[8] has been made for such a bill, and it was rejected by a majority of 136 to 66.

The preamble to these acts declares the reason of them to be, that “the kingdom may be satisfied and truly informed, whether all the monies granted by parliament have been faithfully issued and applied to the end for which they had been given; and that all loyal subjects may be thereby encouraged more chearfully to bear the burthens laid upon them.” The number of commissioners named in them was generally nine or seven, all members of the *House of Commons*. It was particularly ordered, that they should take an account of all the revenues brought into the receipt of the Exchequer, and all arrears thereof; of all monies in the hands of the receivers general of the land-tax, customs and excise; of all the public stores, provisions, &c. as well for land as sea service; of all ships of war, and the sums of money provided or paid for the use of the forces by sea and land, and the number of them respectively; and of any briberies or corruptions in any persons concerned in the receiving or disposing of the national treasure. And, for these purposes, they were impowered to call before them, and to examine upon oath the officers of the exchequer, the secretary at war, paymaster of the forces, commissioners of the navy and ordnance, and all persons whatever employed as commissioners, or otherwise, in or about the *Treasury*.

The reports, which the commissioners thus appointed delivered from time to time to parliament, contain accounts of a waste of public money, arising from the rapacity of contractors, and many scandalous abuses and frauds in every part of the public service, which must shock every person not grown callous to all the feelings of honesty and honour. In consequence of these reports, the *House of Commons* addressed the throne, and remonstrated; several great men were accused, and brought to shame; some

were dismissed from their places, and ordered to be prosecuted; some expelled, and some committed to the Tower. Thus did our representatives in those times discharge their duty as guardians of the public property; and it is, in my opinion, only by such means that they are capable of doing this properly and effectually. It must, however, be acknowledged, that these commissions of enquiry did not produce all the good effects which might have been expected from them. The influence of the crown, and the interest in parliament of many great men entrusted with the disposition of public money, rendered the proper execution of them extremely difficult. This led some even of the *Tories*, at the time of the great change of ministry in 1710, to propose, that the receiving and issuing of the public money should be taken from the crown; and, in defence of this proposal, it was urged, that the issuing of public money, being in some of the most despotic countries left in the hands of the people, it was by no means a necessary part of the royal prerogative. This would indeed have provided a complete remedy; and it might have perpetuated the constitution. But, even in these times, it was a reformation too great and too impracticable to engage much attention.

Ever since those times the public accounts have been growing more complicated; and the temptations to profusion and embezzlement have been increasing with increasing luxury and dissipation. How astonishing then is it that every idea of such *commissions* should be now lost; and that, at a time when the nation is labouring under expences almost too heavy to be borne, the passing of accounts by the *House of Commons* is become little more than a matter of form; our representatives scarcely thinking it worth their while to attend on such occasions, and MILLIONS of the public treasure being sometimes given away, in a few hours, just as proposed by the *Treasury*, without debate or enquiry.

I must not forget to mention particularly on this subject, that the commissioners named in the acts I have described, were always declared incapable of holding any place or office of profit under the crown; and directed to take an account “of all pensions, salaries, and sums of money paid or payable to members of parliament out of the revenue or otherwise.”—Not long before this time, the *House of Commons* would not suffer even the *Attorney-general*^[9] to sit and vote in the house because he was the king’s servant; and in 1678, a member, as Mr. *Trenchard* says, was committed to the Tower, for only saying in the house that the king might

keep guards for his defence, if he could pay them.—Such *once* was the House of Commons.—So jealous of the power of the crown, and so chaste.—Since the reign of Queen *Ann* and the passing of the *Septennial Act*, a great change has taken place.^[10] A change which is little less than the total ruin of the constitution, and which may end in a tyranny the most oppressive and insupportable. It is, therefore, the greatest evil, which could have happened to us; and the men, by whose abominable policy it has been accomplished, ought to be followed with the everlasting execrations of every friend to public virtue and liberty.

I now withdraw to the situation of an anxious spectator of public events; but before I do this, I must leave with the public, at this threatening period, the following sentiments.

Not long ago, the colonies might have been kept, without bloodshed or trouble, by repealing the *acts* which have made us the aggressors in the present war; but *now* it would be great folly to expect this.—At the same time I think it certain, that they may be rendered more useful to us by a pacification on liberal terms, which shall bind them to us as *FRIENDS*, than by any victories or slaughters (were they possible) which can force them to submit to us as *SUBJECTS*.—I think it also certain, that should the offer of such terms be delayed till they have formed an alliance with *France*, this country is *UNDONE*.—Such an alliance, we may hope, is not yet settled.—Our rulers, therefore, may *possibly* have still a moment for pausing and retreating; and every dictate of prudence and feeling of humanity requires them to be speedy and earnest in improving it.—But what am I saying? I know this must not be expected. Too full of ideas of our own dignity, too proud to retract; and too tenacious of dominion, we seem determined to persist: And the consequence must be, that the colonies will become the allies of *France*; that a general war will be kindled; and, perhaps, this once happy country be made, in just retribution, the seat of that desolation and misery which it has produced in other countries.

January 19, 1778.

Since the publication of the preceding Introduction, the event referred to at the end of it has been announced to the public. A memorial from the

French court has been delivered to our court, declaring, that the former has concluded a treaty of commerce and friendship with the colonies as INDEPENDENT STATES; and acquainting us that, IN CONCERT WITH THEM, the King of France is determined and prepared to defend his commerce against any interruption we may give it.—A new turn, therefore, is now given to our affairs of a nature the most critical and alarming. Would to God there were any concessions by which we could extricate ourselves. But the opportunities for this have been shamefully lost, and cannot be now recovered.—With a judicial blindness in our councils which has hitherto carried us uniformly from *bad* to *worse*—With near half our strength torn from us, and our vaunted dignity in the dust—With our resources failing; our credit tottering; and a debt threatening to overwhelm us of more than a HUNDRED AND FIFTY MILLIONS—In these circumstances, we seem to be entering on a war with the united powers of *France, Spain, and America*.—This, should it happen, will complete the measure of our troubles, and soon bring on that *catastrophe* which there has been all along reason to expect and dread.

April 24, 1778.

ACCOUNT OF THE CUSTOMS FOR THE LAST SIX YEARS.

I n the following tracts I have reckoned, among the destructive consequences of the war with *America*, the loss of a considerable part of our trade. In consequence of several accidental causes, particularly the demand created by the war, this effect has not yet been so much felt as was generally expected. The truth, however, is, that the war has operated in this way to a degree that is alarming, as will appear from the following account of the CUSTOMS for the last six years.

	Gross Receipt.	Debentures.	Net Receipt.	Payments into the Exchequer.
1772	5.134,503	2.214,508	2.441,038	2.525,515
1773	5.159,800	2.463,767	2.221,460	2.431,071
1774	5.068,000	2.132,600	2.455,500	2.547,717
1775	5.146,900	1.904,900	2.709,340	2.476,302
1776	3.726,970	1.544,300	1.633,380	2.460,402

1777	3.293,200	932,860	1.846,390	2.199,105
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It should be observed, that though, in 1776, there had been no importation of *tobacco*, yet the duties on *tobacco* brought into the *Exchequer* as much as ever, these duties having been paid for old stock taken out of the warehouses for *home consumption*, instead of *exportation*. This is one of the causes which kept up the payments into the *Exchequer* in 1776, notwithstanding a sudden fall of near a MILLION AND A HALF in the gross receipt, and a MILLION in the net receipt.—In the last year, or 1777, the duties on tobacco fell very short; and this contributed to diminish the payments into the *Exchequer* near a *quarter of a million*. But what seems of more importance is, that the debentures (or duties returned at exportation) which had fallen in 1775 and 1776 above a *fourth*, continued to fall in 1777; and did not then amount to more than *two-fifths* of the usual sum.

I have examined the customs from the Revolution to the present time; but cannot find that any thing like such a fall in them has ever happened before.

FIRST ADVERTISEMENT.

The present state of the public funds makes it necessary for me to acquaint the reader, that when the *Supplement* to the following Tracts was written, the 3 *per cent.* annuities were at the price which the calculations in it suppose, or nearly at 78. They have since fallen to 72, and once even below 69, which is a lower price than they were ever at during the whole last war, except just at the pinch of the loan of twelve millions in 1762.—The difference of price also between them and the new 4 *per cents.* is fallen, (for no reason that I can discover) from 14 to about 10½.—I find, likewise, that in consequence of a distressing scarcity of money, the subscribers to the last loan of *five millions* have not yet been able to complete their payments.—These facts afford a dark prospect; and make it doubtful whether, if things don't mend, it will be possible, by any schemes, to procure the money necessary to bear the expence of another campaign.—Should it happen, for these reasons, that what I have written on loans can be of no use; or, though capable of being of use, should it be neglected; I shall still reflect with satisfaction, that I have now given what I wished to offer on this subject with more correctness; and proved, beyond a doubt, that a

great part of the National Debt is an *artificial* debt, for which no money has been received, and which might have been easily avoided.

Jan. 19, 1778.

SECOND ADVERTISEMENT.

Since the foregoing Advertisement in January last, the price of the 3 *per cent.* annuities has fallen from 72 to 60½. But the difference of price between them and the 4 *per cent.* annuities created in 1777, has risen to near 18l. agreeably to the true comparative value of these annuities, as computed in [page 14](#) of the Supplement.—It is necessary I should farther mention, that there has been a new loan of six millions for the service of the present year; but that, contrary to my hopes, the managers of our finances have returned to the old modes of borrowing—The consolidated 3 *per cent.* annuities being, when the loan was settled on the 6th of February, at 66½; one hundred 3 *per cent.* stock estimated at this price, was given for every 100l. in *money*, with FOUR-FIFTHS of the profits of a lottery ticket reckoned at 2½l. and an ANNUITY of 2½l. for 30 years, reckoned worth 14 years purchase (or 135l.) but really worth above 15 years purchase. This made a profit of 4l. on every 100l. advanced. But the 3 *per cent.* annuities falling immediately to 64, and in a few days to 60½; and the short annuity also happening to sell for no more than 13 years purchase, this loan has been constantly at a discount, which has fluctuated between 2 and 4½ *per cent.*

The scheme of this loan is the first of the old schemes described in the following Supplement, [page 2d](#); and it is apparent that by including the value of the *douceurs* in the capital, it brings on the public an artificial debt, for which nothing will be received, of above two millions.—The sum to be lent, should it be ever paid, might have been as well obtained, without making any material addition to the annual charge, by selling separately the two *douceurs* worth 2.244,000l. and offering for the remaining sum necessary to make up six millions, an interest of five *per cent.* subject to the regulations proposed in the Second Tract, [page 98](#), or in the Supplement, [page 24](#).

April 24, 1778.

The following accounts have been laid before the House of Commons since January last.

Account of the Gold Coin brought into the Mint from Great Britain and Ireland by the Proclamations in 1773, 1774, and 1776.

	£.	s.	d.	
First Proclamation brought in	3.806,435	7	2	deficient more than 6 grains in a guinea.
2d Proclamation brought in	4.876,171	18	3	deficient between 3 and 6 grains.
3d Proclamation brought in	6.880,986	5	3	deficient between 1 and 3 grains.
Total	15.563,593	10	8	

Compare Second Tract from [page 56 to 64](#).

Account of the Expence of calling in and recoinng all the Gold Coin deficient more than a grain in a guinea.

	£.	s.	d.
Expence to the Bank for melting	16,786	14	6
Deficiency in melting	317,314	6	11
Interest of money advanced to the holders of gold coin	231,982	17	7
To master of the Mint for the charge of recoinng and other charges	115,459	12	9
To several persons who were appointed in the several counties to take in and exchange the gold coin, and for other charges and expences	72,476	8	0
Total	754,019	19	9

Towards defraying this expence there have been applied the following sums:

	£.	s.	d.
Out of the supplies in 1774	250,000	0	0
in 1775	69,671	8	3
in 1776	92,421	14	11¼

Out of the million vote of credit in 1776	30,000	0	0
Out of the million vote of credit in 1777	206,699	8	3¼
Provided for in 1778	105,227	8	3
	754,019	19	9

These accounts shew, that in the note, [p. 63](#) of the Second Tract, the words *16 millions and a half* should have been *15 millions and a half*; and that in [p. 69](#), 2d line, 650,000l. should have been 754,019l. 19s. 9d.

N. B. The loss attending the deficiency in the coin brought in by the first proclamation amounted nearly to 300,000l. but having been thrown on the holders of the coin, it could not be brought to account.

FOOTNOTES

[1] See Mr. *Burke's* Letter to the Sheriffs of *Bristol*, pages 53, 54.

[2] "To follow, not to force the public inclination; to give a direction, a form, a technical dress and a specific, sanction to the general sense of the community, is the true end of legislature. When it goes beyond this, its authority will be precarious, let its rights be what they will." Letter to the Sheriffs of *Bristol*, p. 49.

[3] *Ibid.* p. 55. Thoughts on the causes of the present discontents, p. 67. "Government certainly, is an institution of divine authority; though its *forms* and the *persons* who administer it, all originate from the people." It is probable that Mr. *Burke* means only that government is a divine institution, in the same sense in which any other expedient of human prudence for gaining protection against injury, may be called a Divine institution. All that we owe *immediately* to our own foresight and industry, must *ultimately* be ascribed to God the giver of all our powers, and the cause of all causes. It is in this sense that St. Paul in Rom. xiii. 1, 2. calls civil magistracy the *ordinance of God*, and says that *there is no power but of God*. If any one wants to be convinced of this, he should read the excellent bishop HOADLY's Sermon entitled *The Measures of Submission to the civil Magistrate*, and the defences of it.

It is further probable, that when Mr. *Burke* asserts the *omnipotence* of Parliaments, or their *competence* to establish any oppressions (Letter, p. 46, 49) he means mere *power* abstracted from *right*, or the same sort of *power* and *competence* that trustees have to betray their trust, or that armed ruffians have to rob and murder. Nor should I doubt whether this is his meaning, were it not for the passage I have quoted from him in the last page, the latter part of which seems to imply, that a legislature may contradict its *end*, and yet retain its *rights*.—Some of the justest remarks on this subject may be found in the Earl of

ABINGDON's thoughts on Mr. *Burke's* letter, a pamphlet which (on account of the excellent public principles it maintains, and the spirit of liberty it breathes, as well as the rank of the writer) must give to every friend to the true interests of this country particular pleasure.

In p. 46, Mr. *Burke* says, that "if there is one man in the world more zealous than another for the supremacy of parliament and the rights of this imperial crown, it is himself; though many may be more knowing in the extent and the foundation of these rights." He adds, that "he has constantly declined such disquisitions, not being qualified for the chair of a professor in metaphysics, and not chusing to put the solid interests of the kingdom on speculative grounds."—*The less knowledge, the more zeal*, is a maxim which experience has dreadfully verified in *religion*. But he that, in the present case, should apply this maxim to Mr. *Burke*, would, whatever he may say of himself, greatly injure him. Though he chuses to decry enquiries into the nature of liberty, there are, I am persuaded, few in the world whose zeal for it is more united to extensive knowledge and an exalted understanding.—He calls it, p. 55. "the vital spring and energy of a state, and a blessing of the first order." He cannot, therefore, think that too much pains may be taken to UNDERSTAND it. He must know, that nothing but usurpation and error can suffer by enquiry and discussion.

Mr. WILKES, in an excellent speech which he lately made in moving for the repeal of the declaratory law, observed, that this law was a *compromise* to which the great men, under whose administration it was passed, were forced in order to obtain the repeal of the *Stamp-act*. I think so highly of that administration and of the service it did the public, that I have little doubt of the truth of this observation. But, at the same time, I cannot help wishing Mr. *Burke* had given no reason for doubt by defending the *principle* of that act; a *principle* which, unquestionably, he and his friends would never have acted upon; but which others have since acted upon, with a violence which has brought us to the brink of ruin.

[4] In p. 19. he calls liberty "a freedom from all restraints except such as established law imposes for THE GOOD OF THE COMMUNITY." But this addition can make no difference of any consequence, as long as it is not specified *where* the power is lodged of judging what laws are for the good of the community. In countries where the *laws* are the *edicts* of absolute princes, the end professed is always the good of the Community.

[5] "The laws against Papists have been extremely severe. New dangers may arise; and if at any time ANOTHER DENOMINATION of men should be equally dangerous to our civil interests, it would be justifiable to lay them under similar restraints." Page 17.—In another part of this sermon the great men in opposition (some of the first in the kingdom in respect of rank, ability, and virtue) are described as a body of men void of principle, who, without regarding the relation in which they stand to the community, have entered into a league for advancing their private interest, and "who are held together by the same bond that keeps together the lowest and wickedest combinations."—Was there ever such a censure delivered from a pulpit? What wonder is it that the Dissenters should come in for a share in his Grace's abuse?—Their political principles, he says, are growing dangerous.—On what does he ground this insinuation? He is mistaken if he imagines that they are all such delinquents as the author of the following tracts, or that they think universally as he does of the war with America. On this

subject they are, like other bodies of men in the kingdom, of different opinions.—But I will tell him in what they agree.—They agree in detesting the doctrines of passive obedience and non-resistance. They are all WHIGS, enemies to arbitrary power, and firmly attached to those principles of civil and religious liberty which produced the GLORIOUS REVOLUTION and the HANOVERIAN SUCCESSION.—Such principles are the nation's best defence; and Protestant Dissenters have hitherto reckoned it their glory to be distinguished by zeal for them, and an adherence to them. ONCE these principles were *approved* by men in power. No good can be expected, if they are now reckoned dangerous.

[6] That is, the missionaries of the society in America.—The charter of the society declares the end of its incorporation to be “propagating the gospel in foreign parts, and making provision for the worship of God in those plantations which wanted the administration of God's word and sacraments, and were abandoned to atheism and infidelity.” The chief business, on the contrary, of the society has been to provide for the support of *episcopalianism* in the northern colonies, and particularly NEW-ENGLAND, where the sacraments are more regularly administered, and the people less abandoned to infidelity, than perhaps in any country under heaven. The missionaries employed and paid by the society for this purpose, have generally been clergymen of the highest principles in church and state. *America*, having been for some time very hostile to men of such principles, most of them have been obliged to take refuge in this country; and here they have, I am afraid, been too successful in propagating their own resentments, in misleading our rulers, and widening the breach which has produced the present war.

[7] I am sorry to mention one exception to the fact here intimated. The new constitution for *Pensylvania* (in other respects wise and liberal) is dishonoured by a religious test. It requires an acknowledgment of the divine inspiration of the Old and New Testament, as a condition of being admitted to a seat in the House of Representatives; directing however, at the same time, that no other religious test shall *for ever* hereafter be required of any civil officer.—This has been, probably, an accommodation to the prejudices of some of the narrower sects in the province, to which the more liberal part have for the present thought fit to yield; and, therefore, it may be expected that it will not be of long continuance.

Religious tests and subscriptions in general, and all establishments of particular systems of faith, with civil emoluments annexed, do inconceivable mischief, by turning religion into a trade, by engendering strife and persecution, by forming hypocrites, by obstructing the progress of truth, and fettering and perverting the human mind; nor will the world ever grow much *wiser*, or *better*, or *happier*, till, by the abolition of them, truth can gain fair play, and reason free scope for exertion. The Archbishop, page 11, speaks of christianity as “insufficient to rely on its own energies; and of the assistances which it is the business of civil authority to provide for gospel truths.”—A worse slander was never thrown on gospel truths. Christianity disdains such assistances as the corrupted governments of this world are capable of giving it. Politicians and statesmen know little of it. Their *enmity* has sometimes done it good; but their *friendship*, by supporting corruptions carrying its name, has been almost fatal to it.

[8] In 1742, after the resignation of Sir *Robert Walpole*.

[9] Sir FRANCIS BACON was the *second* ATTORNEY-GENERAL who sat in the *House of Commons*; but, to prevent its being drawn into a precedent, the House would not admit him, till they had made an order, that no Attorney-General should for the future be allowed to sit and vote in that House.—In conformity to this order, whenever afterwards a member was appointed Attorney-General, his place was vacated, and a new writ issued. This continued to be the practice till the year 1670, when Sir HENEAGE FINCH (afterwards EARL OF NOTTINGHAM) being appointed Attorney-General, he was allowed by connivance to preserve his seat, which connivance has been continued ever since.—I give these facts not from any enquiry or knowledge of my own, but from the authority of a friend, who is perhaps better informed than any person in the kingdom on every subject of this kind.

[10] The following facts will shew, in some degree, how this change has been brought about.—For ten years ending Aug. 1, 1717 (a period comprehending in it a general war abroad; and the demise of the crown, the establishment of a new family, and an open rebellion at home) the money expended in secret services amounted only to 279,444l.—For TEN YEARS ending Feb. 11, 1742, it amounted to no less a sum than 1.384,600; of which 50,077l. was paid to printers of Newspapers and writers for government; and a greater sum expended, in the last six *weeks* of these ten years, than had been spent in *three years* before Aug. 1710.—See the Report of the COMMITTEE appointed March 23, 1742, to enquire into the conduct of *Robert Earl of Orford*, printed in the Journals of the House of Commons, vol. 24, p. 295, 296, 300.—One passage, in this report, contains remarks, so much to my present purpose and so important, that I cannot help copying it.—“There are no laws particularly adapted to the case of a minister who clandestinely employs the money of the public, and the whole power and profitable employments that attend the collecting and disposing of it, *against* the people: And, by this profusion and criminal distribution of offices, in some measure justifies the expence that particular persons are obliged to be at, by making it necessary to the preservation of all that is valuable to a free nation. For in that case, the contest is plain and visible. It is, whether the Commons shall retain the *third* state in their own hands; while this whole dispute is carried on at the expence of the people, and, on the side of the minister, out of the money granted to support and secure the constitutional independence of the three branches of the legislature.—This method of corruption is as sure, and, therefore, as criminal a way of subverting the constitution as by an armed force. It is a crime, productive of a total destruction of the very being of this government; and is so *high* and *unnatural*, that nothing but the powers of parliament can reach it; and, as it never can meet with parliamentary animadversion but when it is unsuccessful, it must seek for its *security* in the extent and efficacy of the mischief it produces.” P. 395. The obstructions which this committee met with in their enquiry proved that the crime they here describe in such emphatical language, had *even then* obtained that very security, in the extent of the mischief it produced, which, they observe, it was under a necessity of seeking.

OBSERVATIONS
ON THE NATURE OF
CIVIL LIBERTY,
THE PRINCIPLES OF
GOVERNMENT,
AND THE
JUSTICE AND POLICY
OF THE
WAR WITH AMERICA.

*Quis furor iste novus? quo nunc, quo tenditis
Heu! miseri cives? non Hostem, inimicaque castra,
Vestras Spes uritis.*

VIRG.

By RICHARD PRICE, D. D. F. R. S.

THE EIGHTH EDITION,
With CORRECTIONS and ADDITIONS.

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PREFACE
TO
THE FIRST EDITION.

In the following Observations, I have taken that liberty of examining public measures, which, happily for this kingdom, every person in it enjoys. They contain the sentiments of a private and unconnected man; for which, should there be any thing wrong in them, he alone is answerable.

After all that has been written on the dispute with America, no reader can expect to be informed, in this publication, of much that he has not before known. Perhaps, however, he may find in it some new matter; and if he should, it will be chiefly in the Observations on the Nature of Civil Liberty, and the Policy of the War with America.

February 8th, 1776.

PREFACE
TO
THE FIFTH EDITION.

The favourable reception which the following Tract has met with, makes me abundant amends for the abuse it has brought upon me. I should be ill employed were I to take much notice of this abuse: But there is one circumstance attending it, which I cannot help just mentioning.—The principles on which I have argued form the foundation of every state as far as it is free; and are the same with those taught by Mr. Locke, and all the writers on Civil Liberty who have been hitherto most admired in this country. But I find with concern, that our Governors chuse to decline trying by them their present measures: For, in a Pamphlet which has been circulated by government with great industry, these principles are pronounced to be “unnatural and wild, incompatible with practice, and the offspring of the distempered imagination of a man who is biassed by party, and who writes to deceive.”

I must take this opportunity to add, that I love quiet too well to think of entering into a controversy with any writers; particularly, NAMELESS ones. Conscious of good intentions, and unconnected with any party, I have endeavoured to plead the cause of general liberty and justice: And happy in knowing this, I shall, in silence, commit myself to that candour of the public of which I have had so much experience.

March 12th, 1776.

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OBSERVATIONS, &c.

Our Colonies in NORTH AMERICA appear to be now determined to risk and suffer every thing, under the persuasion, that GREAT BRITAIN is attempting to rob them of that Liberty to which every member of society, and all civil communities, have a natural and unalienable title. The question, therefore, whether this is a right persuasion, is highly interesting, and deserves the careful attention of every *Englishman* who values Liberty, and wishes to avoid staining himself with the guilt of invading it. But it is impossible to judge properly of this question without just ideas of Liberty *in general*; and of the nature, limits, and principles of Civil Liberty *in particular*.—The following observations on this subject appear to me of some importance; and I cannot make myself easy without offering them to the public at the present period, big with events of the last consequence to this kingdom. I do this, with reluctance and pain, urged by strong feelings, but at the same time checked by the consciousness that I am likely to deliver sentiments not favourable to the present measures of that government, under which I live, and to which I am a constant and zealous well-wisher. Such, however, are my present sentiments and views, that this is a consideration of inferior moment with me; and, as I hope never to go beyond the bounds of decent discussion and expostulation, I flatter myself, that I shall be able to avoid giving any person reason for offence.

The observations with which I shall begin, are of a more general and abstracted nature; but being necessary to introduce what I have principally in view, I hope they will be patiently read and considered.

SECT. I.

Of the Nature of Liberty in General.

In order to obtain a more distinct view of the nature of Liberty as such, it will be useful to consider it under the four following general divisions.

First, *Physical Liberty*.—Secondly, *Moral Liberty*.—Thirdly, *Religious Liberty*.—And Fourthly, *Civil Liberty*.—These heads comprehend all the different kinds of Liberty. And I have placed *Civil Liberty* last, because I mean to apply to it all I shall say of the other kinds of Liberty.

By PHYSICAL LIBERTY I mean that principle of *Spontaneity*, or *Self-determination*, which constitutes us *Agents*; or which gives us a command over our actions, rendering them properly *ours*, and not effects of the operation of any foreign cause.—MORAL LIBERTY is the power of following, in all circumstances, our sense of right and wrong; or of acting in conformity to our reflecting and moral principles, without being controuled by any contrary principles.—RELIGIOUS LIBERTY signifies the power of exercising, without molestation, that mode of religion which we think best; or of making the decisions of our own consciences respecting religious truth, the rule of our conduct, and not any of the decisions of our fellow-men.—In like manner; CIVIL LIBERTY is the power of a *Civil Society* or *State* to govern itself by its own discretion, or by laws of its own making, without being subject to the impositions of *any* power, in appointing and directing which the collective body of the people have no concern, and over which they have no controul.

It should be observed, that, according to these definitions of the different kinds of liberty, there is one general idea, that runs through them all; I mean, the idea of *Self-direction*, or *Self-government*.—Did our volitions originate not with *ourselves*, but with some cause over which we have no power; or were we under a necessity of always following some will different from our own, we should want PHYSICAL LIBERTY.

In like manner; he whose perceptions of moral obligation are controuled by his passions has lost his *Moral Liberty*; and the most common language applied to him is, that he wants *Self-government*.

He likewise who, in religion, cannot govern himself by his convictions of religious duty, but is obliged to receive formularies of faith, and to practise modes of worship imposed upon him by others, wants *Religious Liberty*.—And the Community also that is governed, not by itself, but by some will independent of it, wants *Civil Liberty*.

In all these cases there is a force which stands opposed to the agent's own will; and which, as far as it operates, produces *Servitude*.—In the *first* case,

this force is incompatible with the very idea of voluntary motion; and the subject of it is a mere passive instrument which never *acts*, but is always *acted upon*.—In the *second* case; this force is the influence of passion getting the better of reason; or the *brute* overpowering and conquering the will of the *man*.—In the *third* case; it is *Human Authority* in religion requiring conformity to particular modes of faith and worship, and superseding *private judgment*.—And in the last case, it is any will distinct from that of the Majority of a Community, which claims a power of making laws for it, and disposing of its property.

This it is, I think, that marks the limit between *Liberty* and *Slavery*. As far as, in any instance, the operation of any cause comes in to restrain the power of Self-government, so far *Slavery* is introduced: Nor do I think that a preciser idea than this of *Liberty* and *Slavery* can be formed.

I cannot help wishing I could here fix my reader's attention, and engage him to consider carefully the dignity of that blessing to which we give the name of *LIBERTY*, according to the representation now made of it. There is not a word in the whole compass of language which expresses so much of what is important and excellent. It is, in every view of it, a blessing truly sacred and invaluable.—Without *Physical Liberty*, man would be a machine acted upon by mechanical springs, having no principle of motion in himself, or command over events; and, therefore, incapable of all merit and demerit.—Without *Moral Liberty*, he is a wicked and detestable being, subject to the tyranny of base lusts, and the sport of every vile appetite.—And without *Religious* and *Civil Liberty* he is a poor and abject animal, without rights, without property, and without a conscience, bending his neck to the yoke, and crouching to the will of every silly creature who has the insolence to pretend to authority over him.—Nothing, therefore, can be of so much consequence to us as *Liberty*. It is the foundation of all honour, and the chief privilege and glory of our natures.

In fixing our ideas on the subject of *Liberty*, it is of particular use to take such an enlarged view of it as I have now given. But the immediate object of the present enquiry being *Civil Liberty*, I will confine to it all the subsequent observations.

SECT. II.

Of Civil Liberty and the Principles of Government.

From what has been said it is obvious, that all civil government, as far as it can be denominated *free*, is the creature of the people. It originates with them. It is conducted under their direction; and has in view nothing but their happiness. All its different forms are no more than so many different modes in which they chuse to direct their affairs, and to secure the quiet enjoyment of their rights.—In every free state every man is his own Legislator.^[11]—All *taxes* are free-gifts for public services.—All *laws* are particular provisions or regulations established by COMMON CONSENT for gaining protection and safety.—And all *Magistrates* are Trustees or Deputies for carrying these regulations into execution.

Liberty, therefore, is too imperfectly defined when it is said to be “a Government by LAWS, and not by MEN.” If the laws are made by one man, or a junto of men in a state, and not by COMMON CONSENT, a government by them does not differ from Slavery. In this case it would be a contradiction in terms to say that the state governs itself.

From hence it is obvious that *Civil Liberty*, in its most perfect degree, can be enjoyed only in small states, where every independent agent is capable of giving his suffrage in person, and of being chosen into public offices. When a state becomes so numerous, or when the different parts of it are removed to such distances from one another, as to render this impracticable, a diminution of Liberty necessarily arises. There are, however, in these circumstances, methods by which such near approaches may be made to perfect Liberty as shall answer all the purposes of government, and at the same time secure every right of human nature.

Tho’ all the members of a state should not be capable of giving their suffrages on public measures, *individually* and *personally*, they may do this by the appointment of *Substitutes* or *Representatives*. They may entrust the powers of legislation, subject to such restrictions as they shall think necessary, with any number of *Delegates*; and whatever can be done by such delegates within the limits of their trust, may be considered as done by the united voice and counsel of the Community.—In this method a free government may be established in the largest state; and it is conceivable

that by regulations of this kind, any number of states might be subjected to a scheme of government, that would exclude the desolations of war, and produce universal peace and order.

Let us think here of what may be practicable in this way with respect to *Europe* in particular.—While it continues divided, as it is at present, into a great number of independent kingdoms whose interests are continually clashing, it is impossible but that disputes will often arise which must end in war and carnage. It would be no remedy to this evil to make one of these states supreme over the rest; and to give it an absolute plenitude of power to superintend and controul them. This would be to subject all the states to the arbitrary discretion of one, and to establish an ignominious slavery not possible to be long endured. It would, therefore, be a remedy worse than the disease; nor is it possible it should be approved by any mind that has not lost every idea of Civil Liberty. On the contrary.—Let every state, with respect to all its internal concerns, be continued independent of all the rest; and let a general confederacy be formed by the appointment of a SENATE consisting of Representatives from all the different states. Let this SENATE possess the power of managing all the *common* concerns of the united states, and of judging and deciding between them, as a common *Arbiter* or *Umpire*, in all disputes; having, at the same time, under its direction, the common force of the states to support its decisions.—In these circumstances, each separate state would be secure against the interference of foreign power in its private concerns, and, therefore, would possess *Liberty*; and at the same time it would be secure against all oppression and insult from every neighbouring state.—Thus might the scattered force and abilities of a whole continent be gathered into one point; all litigations settled as they rose; universal peace preserved; and nation prevented *from any more lifting up a sword against nation*.

I have observed, that tho', in a great state, all the individuals that compose it cannot be admitted to an immediate participation in the powers of legislation and government, yet they may participate in these powers by a delegation of them to a body of representatives.—In this case it is evident that the state will be still *free* or *self-governed*; and that it will be more or less so in proportion as it is more or less fairly and adequately represented. If the persons to whom the trust of government is committed hold their

places for short terms; if they are chosen by the unbiassed voices of a majority of the state, and subject to their instructions; Liberty will be enjoyed in its highest degree. But if they are chosen for long terms by a part only of the state; and if during that term they are subject to no controul from their constituents; the very idea of Liberty will be lost, and the power of chusing representatives becomes nothing but a power, lodged in a *few*, to chuse at certain periods, a body of *Masters* for themselves and for the rest of the Community. And if a state is so sunk that the majority of its representatives are elected by a handful of the meanest^[12] persons in it, whose votes are always paid for; and if also, there is a higher will on which even these mock representatives themselves depend, and that directs their voices: In these circumstances, it will be an abuse of language to say that the state possesses Liberty. Private men, indeed, might be allowed the exercise of Liberty; as they might also under the most despotic government, but it would be an *indulgence* or *connivance* derived from the spirit of the times, or from an accidental mildness in the administration. And, rather than be governed in such a manner, it would perhaps be better to be governed by the will of one man without any representation: For a representation so degenerated could answer no other end than to mislead and deceive, by disguising slavery, and keeping up a *form* of Liberty when the *reality* was lost.

Within the limits now mentioned, Liberty may be enjoyed in every possible degree; from that which is complete and perfect, to that which is merely nominal; according as the people have more or less of a share in government, and of a controuling power over the persons by whom it is administered.

In general, to be *free* is to be guided by one's own will; and to be guided by the will of another is the characteristic of *Servitude*. This is particularly applicable to Political Liberty. That state, I have observed, is *free*, which is guided by its own will; or, (which comes to the same) by the will of an assembly of representatives appointed by itself and accountable to itself. And every state that is not so governed; or in which a body of men representing the people make not an essential part of the Legislature, is in *slavery*.—In order to form the most perfect constitution of government, there may be the best reasons for joining to such a body of representatives,

an *Hereditary Council* consisting of men of the first rank in the state, with a *Supreme executive Magistrate* at the head of all. This will form useful checks in a legislature; and contribute to give it vigour, union, and dispatch, without infringing liberty: for, as long as that part of a government which represents the people is a *fair representation*; and also has a negative on all public measures, together with the sole power of imposing taxes and originating supplies; the essentials of liberty will be preserved.—We make it our boast in this country, that this is our own constitution. I will not say with how much reason.

Of such Liberty as I have now described, it is impossible there should be an excess. Government is an institution for the benefit of the people governed, which they have power to model as they please; and to say, that they can have too much of this power, is to say, that there ought to be a power in the state superior to that which gives it being, and from which all jurisdiction in it is derived.—Licentiousness, which has been commonly mentioned, as an extreme of liberty, is indeed its opposite. It is government by the will of rapacious individuals, in opposition to the will of the community, made known and declared in the laws. A free state, at the same time that it is free itself, makes all its members free, by excluding licentiousness, and guarding their persons and property and good name against insult. It is the end of all just government, at the same time that it secures the liberty of the public against *foreign* injury, to secure the liberty of the individual against *private* injury. I do not, therefore, think it strictly just to say, that it belongs to the nature of government to entrench on private liberty. It ought never to do this, except as far as the exercise of private liberty encroaches on the liberties of others. That is; it is licentiousness it restrains, and liberty itself only when used to destroy liberty.

It appears from hence, that licentiousness and despotism are more nearly allied than is commonly imagined. They are both alike inconsistent with liberty, and the true end of government; nor is there any other difference between them, than that the one is the licentiousness of *great* men, and the other the licentiousness of *little* men; or that, by the one, the persons and property of a people are subject to outrage and invasion from a King, or a lawless body of *Grandeess*; and that, by the other, they are subject to the like outrage from a *lawless mob*.—In avoiding one of these evils, mankind have

often run into the other. But all well constituted governments guard equally against both. Indeed of the two, the last is, on several accounts, the least to be dreaded, and has done the least mischief. It may be truly said, that if licentiousness has destroyed its thousands, despotism has destroyed its millions. The former, having little power, and no system to support it, necessarily finds its own remedy; and a people soon get out of the tumult and anarchy attending it. But a despotism, wearing the form of government, and being armed with its force, is an evil not to be conquered without dreadful struggles. It goes on from age to age, debasing the human faculties, levelling all distinctions, and preying on the rights and blessings of society.—It deserves to be added, that in a state disturbed by licentiousness, there is an animation which is favourable to the human mind, and which puts it upon exerting its powers. But in a state habituated to a despotism, all is still and torpid. A dark and savage tyranny stifles every effort of genius; and the mind loses all its spirit and dignity.

Before I proceed to what I have farther in view, I will observe, that the account now given of the principles of public Liberty, and the nature of an equal and free government, shews what judgment we should form of that OMNIPOTENCE, which, it has been said, must belong to every government as such. Great stress has been laid on this, but most unreasonably.—Government, as has been before observed, is, in the very nature of it, a TRUST; and all its powers a DELEGATION for gaining particular ends. This *trust* may be misapplied and abused. It may be employed to defeat the very ends for which it was instituted; and to subvert the very rights which it ought to protect.—A PARLIAMENT, for instance, consisting of a body of representatives, chosen for a limited period, to make laws, and to grant money for public services, would forfeit its authority by making itself perpetual, or even prolonging its own duration; by nominating its own members; by accepting bribes; or subjecting itself to any kind of foreign influence. This would convert a *Parliament* into a *conclave* or *junto* of self-created tools; and a state that has lost its regard to its own rights, so far as to submit to such a breach of trust in its rulers, is enslaved.—Nothing, therefore, can be more absurd than the doctrine which some have taught, with respect to the omnipotence of parliaments. They possess no power beyond the limits of the trust for the execution of which they were formed.

If they contradict this trust, they betray their constituents, and dissolve themselves. All delegated power must be subordinate and limited.—If omnipotence can, with any sense, be ascribed to a legislature, it must be lodged where all legislative authority originates; that is, in the PEOPLE. For *their* sakes government is instituted; and their's is the only real omnipotence.

I am sensible, that all I have been saying would be very absurd, were the opinions just which some have maintained concerning the origin of government. According to these opinions, government is not the creature of the people, or the result of a convention between them and their rulers: But there are certain men who possess in themselves, independently of the will of the people, a right of governing them, which they derive from the Deity. This doctrine has been abundantly refuted by many^[13] excellent writers. It is a doctrine which avowedly subverts Civil Liberty; and which represents mankind as a body of vassals, formed to descend like cattle from one set of owners to another, who have an absolute dominion over them. It is a wonder, that those who view their species in a light so humiliating, should ever be able to think of themselves without regret and shame. The intention of these observations is not to oppose such sentiments; but, taking for granted the reasonableness of Civil Liberty, to shew wherein it consists, and what distinguishes it from its contrary.—And, in considering this subject, as it has been now treated, it is unavoidable to reflect on the excellency of a free government, and its tendency to exalt the nature of man.—Every member of a free state, having his property secure, and knowing himself his own governor, possesses a consciousness of dignity in himself, and feels incitements to emulation and improvement, to which the miserable slaves of arbitrary power must be utter strangers. In such a state all the springs of action have room to operate, and the mind is stimulated to the noblest exertions^[14].—But to be obliged, from our birth, to look up to a creature no better than ourselves as the master of our fortunes; and to receive his will as our law—What can be more humiliating? What elevated ideas can enter a mind in such a situation?—Agreeably to this remark; the subjects of free states have, in all ages, been most distinguished for genius and knowledge. Liberty is the soil where the arts and sciences have flourished; and the more free a state has been, the more have the powers of the human mind been

drawn forth into action, and the greater number of brave men has it produced. With what lustre do the antient free states of *Greece* shine in the annals of the world? How different is that country now, under the Great *Turk*? The difference between a country inhabited by men and by brutes is not greater.

These are reflexions which should be constantly present to every mind in this country.—As *Moral* Liberty is the prime blessing of man in his *private* capacity, so is *Civil* liberty in his *public* capacity. There is nothing that requires more to be *watched* than power. There is nothing that ought to be opposed with a more determined resolution than its encroachments. Sleep in a state, as *Montesquieu* says, is always followed by slavery.

The people of this kingdom were once warmed by such sentiments as these. Many a sycophant of power have they sacrificed. Often have they fought and bled in the cause of Liberty. But that time seems to be going. The fair inheritance of Liberty left us by our ancestors many of us are willing to resign. An abandoned venality, the inseparable companion of dissipation and extravagance, has poisoned the springs of public virtue among us: And should any events ever arise that should render the same opposition necessary that took place in the times of King *Charles* the First, and *James* the Second, I am afraid all that is valuable to us would be lost. The terror of the standing army, the danger of the public funds, and the all-corrupting influence of the treasury, would deaden all zeal, and produce general acquiescence and servility.

SECT. III.

Of the Authority of one Country over another.

From the nature and principles of Civil Liberty, as they have been now explained, it is an immediate and necessary inference that no one community can have any power over the property or legislation of another community, which is not incorporated with it by a just and adequate representation.—Then only, it has been shewn, is a state *free*, when it is governed by its own will. But a country that is subject to the legislature of another country, in which it has no voice, and over which it has no controul, cannot be said to be governed by its own will. Such a country, therefore, is in a state of slavery. And it deserves to be particularly considered, that such

a slavery is worse, on several accounts, than any slavery of private men to one another, or of kingdoms to despots within themselves.—Between one state and another, there is none of that fellow-feeling that takes place between persons in private life. Being detached bodies that never see one another, and residing perhaps in different quarters of the globe, the state that governs cannot be a witness to the sufferings occasioned by its oppressions; or a competent judge of the circumstances and abilities of the people who are governed. They must also have in a great degree separate interests; and the more the one is loaded, the more the other may be eased. The infamy likewise of oppression, being in such circumstances shared among a multitude, is not likely to be much felt or regarded.—On all these accounts there is, in the case of one country subjugated to another, little or nothing to check rapacity; and the most flagrant injustice and cruelty may be practised without remorse or pity.—I will add, that it is particularly difficult to shake off a tyranny of this kind. A single despot, if a people are unanimous and resolute, may be soon subdued. But a despotic state is not easily subdued; and a people subject to it cannot emancipate themselves without entering into a dreadful, and, perhaps, very unequal contest.

I cannot help observing farther, that the slavery of a people to internal despots may be qualified and limited; but I don't see what can limit the authority of one state over another. The exercise of power in this case can have no other measure than discretion; and, therefore, must be indefinite and absolute.

Once more. It should be considered that the government of one country by another, can only be supported by a military force; and, without such a support, must be destitute of all weight and efficiency.

This will be best explained by putting the following case.—There is, let us suppose, in a province subject to the sovereignty of a distant state, a subordinate legislature consisting of an Assembly chosen by the people; a Council chosen by that Assembly; and a Governor *appointed* by the Sovereign state, and paid by the Province. There are, likewise, judges and other officers, appointed and paid in the same manner, for administering *justice* agreeably to the laws, by the verdicts of juries fairly chosen.—This forms a constitution seemingly free, by giving the people a share in their

own government, and some check on their rulers. But, while there is a higher legislative power, to the controul of which such a constitution is subject, it does not itself possess Liberty, and therefore cannot be of any use as a security to Liberty; nor is it possible that it should be of long duration. Laws offensive to the Province will be enacted by the Sovereign State. The legislature of the Province will remonstrate against them. The magistrates will not execute them. Juries will not convict upon them; and consequently, like the Pope's Bulls which once governed *Europe*, they will become nothing but forms and empty sounds, to which no regard will be shewn.— In order to remedy this evil, and to give efficiency to its government, the supreme state will naturally be led to withdraw the *Governor*, the *Council*, and the *Judges*^[15] from the controul of the Province, by making them entirely dependant on itself for their *pay* and *continuance in office*, as well as for their appointment. It will also alter the mode of chusing Juries on purpose to bring them more under its influence: And in some cases, under the pretence of the impossibility of gaining an impartial trial where government is resisted, it will perhaps ordain, that offenders shall be removed from the Province to be tried within its own territories: And it may even go so far in this kind of policy, as to endeavour to prevent the effects of discontents, by forbidding all meetings and associations of the people, except at such times, and for such particular purposes, as shall be permitted them.

Thus will such a Province be exactly in the same state that *Britain* would be in, were our first executive magistrate, our House of Lords, and our Judges, nothing but the instruments of a foreign democratical power; were our Juries nominated by that power; or were we liable to be transported to a distant country to be tried for offences committed here, and restrained from calling any meetings, consulting about any grievances, or associating for any purposes, except when leave should be given us by a *Lord Lieutenant* or *Viceroy*.

It is certain that this is a state of oppression which no country could endure, and to which it would be vain to expect, that any people should submit an hour without an armed force to compel them.

The late transactions in *Massachuset's Bay* are a perfect exemplification of what I have now said. The government of *Great Britain* in that Province has gone on exactly in the train I have described; till at last it became

necessary to station troops there, not amenable to the civil power; and all terminated in a government by the SWORD. And such, if a people are not sunk below the character of men, will be the issue of all government in similar circumstances.

It may be asked—“Are there not causes by which one state may acquire a *rightful* authority over another, though not consolidated by an adequate Representation?”—I answer, that there are no such causes.—All the causes to which such an effect *can* be ascribed are CONQUEST, COMPACT, or OBLIGATIONS CONFERRED.

Much has been said of the right of *conquest*; and history contains little more than accounts of kingdoms reduced by it under the dominion of other kingdoms, and of the havock it has made among mankind. But the authority derived from hence, being founded on violence, is never *rightful*. The *Roman Republic* was nothing but a faction against the general liberties of the world; and had no more right to give law to the Provinces subject to it, than thieves have to the property they seize, or to the houses into which they break.—Even in the case of a just war undertaken by one people to defend itself against the oppressions of another people, conquest gives only a right to an indemnification for the injury which occasioned the war, and a reasonable security against future injury.

Neither can any state acquire such an authority over other states in virtue of any *compacts* or *cessions*. This is a case in which compacts are not binding. *Civil Liberty* is, in this respect, on the same footing with *Religious Liberty*. As no people can lawfully surrender their *Religious Liberty*, by giving up their right of judging for themselves in religion, or by allowing any human beings to prescribe to them what faith they shall embrace, or what mode of worship they shall practise; so neither can any civil societies lawfully surrender their *Civil Liberty*, by giving up to any extraneous jurisdiction their power of legislating for themselves and disposing their property. Such a cession, being inconsistent with the unalienable rights of human nature, would either not bind at all; or bind only the individuals who made it. This is a blessing which no one generation of men can give up for another; and which, when lost, a people have always a right to resume.—Had our ancestors in this country been so mad as to have subjected

themselves to any foreign Community, we could not have been under any obligation to continue in such a state. And all the nations now in the world who, in consequence of the tameness and folly of their predecessors, are subject to arbitrary power, have a right to emancipate themselves as soon as they can.

If neither *conquest* nor *compact* can give such an authority, much less can any favours received, or any services performed by one state for another.—Let the favour received be what it will, Liberty is too dear a price for it. A state that has been *obliged* is not, therefore, bound to be *enslaved*. It ought, if possible, to make an adequate return for the services done to it; but to suppose that it ought to give up the power of governing itself, and the disposal of its property, would be to suppose, that, in order to shew its gratitude, it ought to part with the power of ever afterwards exercising gratitude.—How much has been done by this kingdom for *Hanover*? But no one will say that on this account, we have a right to make the laws of *Hanover*; or even to draw a single penny from it without its own consent.

After what has been said it will, I am afraid, be trifling to apply the preceding arguments to the case of different communities, which are considered as different parts of the same *Empire*. But there are reasons which render it necessary for me to be explicit in making this application.

What I mean here is just to point out the difference of situation between communities forming an *Empire*; and particular bodies or classes of men forming different parts of a *Kingdom*. Different communities forming an *Empire* have no connexions, which produce a necessary reciprocation of interests between them. They inhabit different districts, and are governed by different legislatures.—On the contrary. The different classes of men *within a kingdom* are all placed on the same ground. Their concerns and interests are the same; and what is done to one part must affect all.—These are situations totally different; and a constitution of government that may be consistent with Liberty in one of them, may be entirely inconsistent with it in the other. It is, however, certain that, even in the last of these situations, no one part ought to govern the rest. In order to a fair and equal government, there ought to be a fair and equal representation of all that are governed; and as far as this is wanting in any government, it deviates from

the principles of Liberty, and becomes unjust and oppressive.—But in the circumstances of different communities, all this holds with unspeakably more force. The government of a part in this case becomes complete tyranny; and subjection to it becomes complete slavery.

But ought there not, it is asked, to exist somewhere in an *Empire* a supreme legislative authority over the whole; or a power to controul and bind all the different states of which it consists?—This enquiry has been already answered. The truth is, that such a supreme controuling power ought to exist no-where except in such a *SENATE* or body of delegates as that described in [page 8](#); and that the authority or supremacy of even this senate ought to be limited to the common concerns of the *Empire*.—I think I have proved that the fundamental principles of Liberty necessarily require this.

In a word. An *Empire* is a collection of states or communities united by some common bond or tie. If these states have each of them free constitutions of government, and, with respect to taxation and internal legislation, are independent of the other states, but united by compacts, or alliances, or subjection to a Great *Council*, representing the whole, or to one monarch entrusted with the supreme executive power: In these circumstances, the Empire will be an Empire of Freemen.—If, on the contrary, like the different provinces subject to the *Grand Seignior*, none of the states possess any independent legislative authority; but are all subject to an absolute monarch, whose will is their law; then is the Empire an Empire of Slaves.—If one of the states is free, but governs by its will all the other states; then is the Empire, like that of the Romans in the times of the republic, an Empire consisting of one state free, and the rest in slavery: Nor does it make any more difference in this case, that the governing state is itself free, than it does, in the case of a kingdom subject to a *despot*, that this despot is himself free. I have before observed, that this only makes the slavery worse. There is, in the one case, a chance, that, in the quick succession of despots, a good one will sometimes arise. But bodies of men continue the same; and have generally proved the most unrelenting of all tyrants.

A great writer before^[16] quoted, observes of the *Roman Empire*, that while Liberty was at the center, tyranny prevailed in the distant provinces;

that such as were free under it were extremely so, while those who were slaves groaned under the extremity of slavery; and that the same events that *destroyed* the liberty of the former, *gave* liberty to the latter.

The Liberty of the *Romans*, therefore, was only an additional calamity to the provinces governed by them; and though it might have been said of the *citizens* of *Rome*, that they were the “freest members of any civil society in the known world;” yet of the *subjects* of *Rome*, it must have been said, that they were the completest slaves in the known world.—How remarkable is it, that this very people, once the freest of mankind, but at the same time the most proud and tyrannical, should become at last the most contemptible and abject slaves that ever existed?

PART II.

In the foregoing disquisitions, I have, from one leading principle, deduced a number of consequences, that seem to me incapable of being disputed.

I have meant that they should be applied to the great question between this kingdom and the Colonies which has occasioned the present war with them.

It is impossible, but my readers must have been all along making this application; and if they still think, that the claims of this kingdom are reconcileable to the principles of true liberty and legitimate government, I am afraid, that nothing I shall farther say will have any effect on their judgments. I wish, however, they would have the patience and candour to go with me, and grant me a hearing some time longer.

Though clearly decided in my own judgment on this subject, I am inclined to make great allowances for the different judgments of others. We have been so used to speak of the Colonies as *our* Colonies, and to think of them as in a state of subordination to us, and as holding their existence in *America* only for our use, that it is no wonder the prejudices of many are alarmed, when they find a different doctrine maintained. The meanest person among us is disposed to look upon himself as having a body of subjects in *America*; and to be offended at the denial of his right to make laws for them, though perhaps he does not know what colour they are of, or what language they talk.—Such are the natural prejudices of this country.—But the time is coming, I hope, when the unreasonableness of them will be seen; and more just sentiments prevail.

Before I proceed, I beg it may be attended to, that I have chosen to try this question by the general principles of Civil Liberty; and not by the practice of former times; or by the *Charters* granted the colonies.—The arguments *for* them, drawn from these last topics, appear to me greatly to outweigh the arguments *against* them. But I wish to have this question brought to a higher test, and surer issue. The question with all liberal enquirers ought to be, not what jurisdiction over them *Precedents, Statutes,*

and *Charters* give, but what reason and equity, and the rights of humanity give.—This is, in truth, a question which no kingdom has ever before had occasion to agitate. The case of a free country branching itself out in the manner *Britain* has done, and sending to a distant world colonies which have there, from small beginnings, and under free legislatures of their own, increased, and formed a body of powerful states, likely soon to become superior the parent state.—This is a case which is new in the history of mankind; and it is extremely improper to judge of it by the rules of any narrow and partial policy; or to consider it on any other ground than the general one of reason and justice.—Those who will be candid enough to judge on this ground, and who can divest themselves of national prejudices, will not, I fancy, remain long unsatisfied.—But alas! Matters are gone too far. The dispute probably must be settled another way; and the sword alone, I am afraid, is now to determine what the rights of *Britain* and *America* are.—Shocking situation!—Detested be the measures which have brought us into it: And, if we are endeavouring to enforce injustice, cursed will be the war.—A retreat, however, is not yet impracticable. The duty we owe our gracious sovereign obliges us to rely on his disposition to stay the sword, and to promote the happiness of all the different parts of the Empire at the head of which he is placed. With some hopes, therefore, that it may not be too late to reason on this subject, I will, in the following Sections, enquire what the war with *America* is in the following respects.

1. In respect of Justice.
 2. The Principles of the Constitution.
 3. In respect of Policy and Humanity.
 4. The Honour of the Kingdom.
- And lastly, The Probability of succeeding in it.

SECT. I.

Of the Justice of the War with America.

The enquiry, whether the war with the Colonies is a *just* war, will be best determined by stating the power over them, which it is the end of the war to maintain: And this cannot be better done, than in the words of an act of parliament, made on purpose to define it. That act, it is well known,

declares, “That this kingdom has power, and of right ought to have power to make laws and statutes to bind the Colonies, and people of *America*, in all cases whatever.”—Dreadful power indeed! I defy any one to express slavery in stronger language. It is the same with declaring “that we have a right to do with them what we please.”—I will not waste my time by applying to such a claim any of the preceding arguments. If my reader does not feel more in this case, than words can express, all reasoning must be vain.

But, probably, most persons will be for using milder language; and for saying no more than, that the united legislatures of *England* and *Scotland* have of right power to tax the Colonies, and a *supremacy* of legislation over *America*.—But this comes to the same. If it means any thing, it means, that the property and the legislations of the Colonies, are subject to the absolute discretion of *Great Britain*, and ought of right to be so. The nature of the thing admits of no limitation. The Colonies can never be admitted to be judges, how far the authority over them in these cases shall extend. This would be to destroy it entirely—If *any* part of their property is subject to our discretion, the *whole* must be so. If we have a right to interfere at all in their internal legislations, we have a right to interfere as far as we think proper.—It is self-evident, that this leaves them nothing they can call *their own*.—And what is it that can give to any people such a supremacy over another people?—I have already examined the principal answers which have been given to this enquiry. But it will not be amiss in this place to go over some of them again.

It has been urged, that such a right must be lodged somewhere, “in order to preserve the UNITY of the British Empire.”

Pleas of this sort have, in all ages, been used to justify tyranny.—They have in RELIGION given rise to numberless oppressive claims, and slavish Hierarchies. And in the *Romish Communion* particularly, it is well known, that the POPE claims the title and powers of the supreme head on earth of the Christian church, in order to preserve its UNITY.—With respect to the *British Empire*, nothing can be more preposterous than to endeavour to maintain its unity, by setting up such a claim. This is a method of establishing unity, which, like the similar method in religion, can produce

nothing but discord and mischief.—The truth is, that a common relation to one supreme executive head; an exchange of kind offices; ties of interest and affection, and *compacts*, are sufficient to give the British Empire all the unity that is necessary. But if not—If, in order to preserve its *Unity*, one half of it must be enslaved to the other half, let it, in the name of God, want Unity.

Much has been said of “the *Superiority* of the British State.” But what gives us our superiority?—Is it our *Wealth*?—This never confers real dignity. On the contrary: Its effect is always to debase, intoxicate, and corrupt.—Is it the *number of our people*? The colonies will soon be equal to us in number.—Is it our *Knowledge* and *Virtue*? They are probably *equally* knowing, and *more* virtuous. There are names among them that will not stoop to any names among the philosophers and politicians of this island.

“But we are the PARENT STATE.”—These are the magic words which have fascinated and misled us.—The English came from *Germany*. Does that give the *German* states a right to tax us?—Children, having no property, and being incapable of guiding themselves, the author of nature has committed the care of them to their parents, and subjected them to their absolute authority. But there is a period when, having acquired property, and a capacity of judging for themselves, they become independent agents; and when, for this reason, the authority of their parents ceases, and becomes nothing but the respect and influence due to benefactors. Supposing, therefore, that the order of nature in establishing the relation between parents and children, ought to have been the rule of our conduct to the Colonies, we should have been gradually relaxing our authority as they grew up. But, like mad parents, we have done the contrary; and, at the very time when our authority should have been most relaxed, we have carried it to the greatest extent, and exercised it with the greatest rigour. No wonder then, that they have turned upon us; and obliged us to remember, that they are not Children.

“But we have, it is said, protected them, and run deeply in debt on their account.”—The full answer to this has been already given, ([page 26.](#)) Will any one say, that all we have done for them has not been more on our *own* account,^[17] than on *theirs*?—But suppose the contrary. Have they done nothing for us? Have they made no compensation for the protection they have received? Have they not helped us to pay our *taxes*, to support our

poor, and to bear the burthen of our debts, by taking from us, at our own price, all the commodities with which we can supply them?—Have they not, for our advantage, submitted to many restraints in acquiring property? Must they likewise resign to us the disposal of that property?—Has not their exclusive trade with us been for many years one of the chief sources of our wealth and power?—In all our wars have they not fought by our side, and contributed much to our success? In the last war, particularly, it is well known, that they ran themselves deeply in debt; and that the parliament thought it necessary to grant them considerable sums annually as compensations for going beyond their abilities in assisting us. And in this course would they have continued for many future years; perhaps, for ever.—In short; were an accurate account stated, it is by no means certain which side would appear to be most indebted. When asked as *freemen*, they have hitherto seldom discovered any reluctance in giving. But, in obedience to a demand, and with the bayonet at their breasts, they will give us nothing but blood.

It is farther said, “that the land on which they settled was ours.”—But how came it to be ours? If sailing along a coast can give a right to a country, then might the people of *Japan* become, as soon as they please, the proprietors of *Britain*. Nothing can be more chimerical than property founded on such a reason. If the land on which the Colonies first settled had any proprietors, they were the natives. The greatest part of it they bought of the natives. They have since cleared and cultivated it; and, without any help from us, converted a wilderness into fruitful and pleasant fields. It is, therefore, now on a double account their property; and no power on earth can have any right to disturb them in the possession of it, or to take from them, without their consent, any part of its produce.

But let it be granted, that the land was ours. Did they not settle upon it under the faith of charters, which promised them the enjoyment of all the rights of *Englishmen*; and allowed them to tax themselves, and to be governed by legislatures of their own, similar to ours? These charters were given them by an authority, which at the time was thought competent; and they have been rendered sacred by an acquiescence on our part for near a century. Can it then be wondered at, that the Colonies should revolt, when they found their charters violated; and an attempt made to force INNOVATIONS upon them by famine and the sword;—But I lay no stress on charters. They

derive their rights from a higher source. It is inconsistent with common sense to imagine, that any people would ever think of settling in a distant country, on any such condition, as that the people from whom they withdrew, should for ever be masters of their property, and have power to subject them to any modes of government they pleased. And had there been express stipulations to this purpose in all the charters of the colonies, they would, in my opinion, be no more bound by them, than if it had been stipulated with them, that they should go naked, or expose themselves to the incursions of wolves and tigers.

The defective state of the representation of this kingdom has been farther pleaded to prove our right to tax *America*. We submit to a parliament that does not represent us, and therefore they ought.—How strange an argument is this? It is saying we want liberty; and therefore, they ought to want it.—Suppose it true, that they are indeed contending for a better constitution of government, and more liberty than we enjoy: Ought this to make us angry?—Who is there that does not see the danger to which this country is exposed?—Is it generous, because we are in a sink, to endeavour to draw them into it? Ought we not rather to wish earnestly, that there may at least be ONE FREE COUNTRY left upon earth, to which we may fly, when venality, luxury, and vice have completed the ruin of liberty here?

It is, however, by no means true, that *America* has no more right to be exempted from taxation by the *British* parliament, than *Britain* itself.—*Here*, all freeholders, and burgesses in boroughs, are represented. *There*, not one *Freeholder*, or any other person, is represented.—*Here*, the *aids* granted by the represented part of the kingdom must be proportionably *paid* by themselves; and the laws they make for *others*, they at the same time make for *themselves*. *There*, the aids they would grant would not be *paid*, but *received*, by themselves; and the laws they made would be made for *others only*.—In short. The relation of one country to another country, whose representatives have the power of taxing it (and of appropriating the money raised by the taxes) is much the same with the relation of a country to a single despot, or a body of despots, within itself, invested with the like power. In both cases, the people taxed and those who tax have separate interests; nor can there be any thing to check oppression, besides either the abilities of the people taxed, or the humanity of the *taxers*.—But indeed I can never hope to convince that person of any thing, who does not see an

essential difference^[18] between the two cases now mentioned; or between the circumstances of individuals, and classes of men, making parts of a community imperfectly represented in the legislature that governs it; and the circumstances of a whole community, in a distant world, not at all represented.

But enough has been said by others on this point; nor is it possible for me to throw any new light upon it. To finish, therefore, what I meant to offer under this head, I must beg that the following considerations may be particularly attended to.

The question now between us and the Colonies is, Whether, in respect of taxation and internal legislation, they are bound to be subject to the jurisdiction of this kingdom: Or, in other words, Whether the *British* parliament has or has not of right, a power to dispose of their property, and to model as it pleases their governments?—To this supremacy over them, we say, we are entitled; and in order to maintain it, we have begun the present war.—Let me here enquire,

1st. Whether, if we have now this supremacy, we shall not be equally entitled to it in any future time?—They are now but little short of half our number. To this number they have grown, from a small body of original settlers, by a very rapid increase. The probability is, that they will go on to increase; and that, in 50 or 60 years, they will be *double* our number;^[19] and form a mighty Empire, consisting of a variety of states, all equal or superior to ourselves in all the arts and accomplishments, which give dignity and happiness to human life. In that period, will they be still bound to acknowledge that supremacy over them which we now claim? Can there be any person who will assert this; or whose mind does not revolt at the idea of a vast continent, holding all that is valuable to it, at the discretion of a handful of people on the other side the *Atlantic*?—But if, at *that* period, this would be unreasonable; what makes it otherwise *now*?—Draw the line, if you can.—But there is a still greater difficulty.

Britain is now, I will suppose, the seat of Liberty and Virtue; and its legislature consists of a body of able and independent men, who govern

with wisdom and justice. The time may come when all will be reversed: When its excellent constitution of government will be subverted: When, pressed by debts and taxes, it will be greedy to draw to itself an increase of revenue from every distant Province, in order to ease its own burdens: When the influence of the crown, strengthened by luxury and an universal profligacy of manners, will have tainted every heart, broken down every fence of Liberty, and rendered us a nation of tame and contented vassals: When a General *Election* will be nothing but a general *Auction* of *Boroughs*: And when the PARLIAMENT, the Grand Council of the nation, and once the faithful guardian of the state, and a terror to evil ministers, will be degenerated into a body of *Sycophants*, dependent and venal, always ready to confirm *any* measures; and little more than a public court for registering royal edicts.—Such, it is possible, may, some time or other, be the state of *Great Britain*.—What will, at that period, be the duty of the Colonies? Will they be still bound to unconditional submission? Must they always continue an appendage to our government; and follow it implicitly through every change that can happen to it?—Wretched condition, indeed, of millions of freemen as good as ourselves.—Will you say that we now govern equitably; and that there is no danger of any such revolution?—Would to God this were true.—But will you not always say the same? Who shall judge whether we govern equitably or not? Can you give the Colonies any *security* that such a period will never come? Once more.

If we have indeed that power which we claim over the legislations, and internal rights of the Colonies, may we not, whenever we please, subject them to the arbitrary power of the crown?—I do not mean, that this would be a disadvantageous change: For I have before observed, that if a people are to be subject to an external power over which they have no command, it is better that power should be lodged in the hands of one man than of a multitude. But many persons think otherwise; and such ought to consider that, if this would be a calamity, the condition of the Colonies must be deplorable.—“A government by King, Lords, and Commons, (it has been said) is the perfection of government;” and so it is, when the Commons are a just representation of the people; and when also, it is not extended to any distant people, or communities, not represented. But if this is the *best*, a government by a king only must be the *worst*; and every claim implying a

right to establish such a government among any people must be unjust and cruel.—It is self-evident, that by claiming a right to alter the constitutions of the Colonies, according to our discretion, we claim this power: And it is a power that we have thought fit to exercise in *one* of our Colonies; and that we have attempted to exercise in *another*.—*Canada*, according to the late extension of its limits, is a country almost as large as half *Europe*; and it may possibly come in time to be filled with British subjects. The *Quebec* act makes the king of *Great Britain* a despot over all that country.—In the Province of *Massachuset's Bay* the same thing has been attempted and begun.

The act for BETTER *regulating their government*, passed at the same time with the *Quebec* act, gives the king the right of appointing, and removing at his pleasure, the members of one part of the legislature; alters the mode of choosing juries, on purpose to bring it more under the influence of the king; and takes away from the province the power of calling any meetings of the people without the king's consent.^[20]—The judges, likewise, have been made dependent on the king, for their nomination and pay, and continuance in office.—If all this is no more than we have a right to do; may we not go on to abolish the house of representatives, to destroy all trials by juries, and to give up the province absolutely and totally to the will of the king?—May we not even establish popery in the province, as has been lately done in *Canada*, leaving the support of protestantism to the king's discretion?—Can there be any Englishman who, were it his own case, would not sooner lose his heart's blood than yield to claims so pregnant with evils, and destructive to every thing that can distinguish a *Freeman* from a *Slave*?

I will take this opportunity to add, that what I have now said, suggests a consideration that demonstrates, on how different a footing the Colonies are with respect to our government, from particular bodies of men *within* the kingdom, who happen not to be represented. Here, it is impossible that the represented part should subject the unrepresented part to arbitrary power, without including themselves. But in the Colonies it is *not* impossible. We know that it *has* been done.

SECT. II.

Whether the War with America is justified by the Principles of the Constitution.

I have proposed, in the next place, to examine the war with the Colonies by the principles of the constitution.—I know, that it is common to say that we are now maintaining the constitution in *America*. If this means that we are endeavouring to establish our own constitution of government there; it is by no means true; nor, were it true, would it be right. They have chartered governments of their own, with which they are pleased; and which, if any power on earth may change without their consent, that power may likewise, if it thinks proper, deliver them over to the *Grand Seignior*.—Suppose the Colonies of *France* had, by compacts, enjoyed for many years, free governments open to all the world, under which they had grown and flourished; what should we think of that kingdom, were it to attempt to destroy their governments, and to force upon them its own mode of government? Should we not applaud any zeal they discovered in repelling such an injury?—But the truth is, in the present instance, that we are not maintaining but violating our own constitution in *America*. The essence of our constitution consists in its independency. There is in this case no difference between *subjection* and *annihilation*. Did, therefore, the Colonies possess governments perfectly the same with ours, the attempt to subject them to ours would be an attempt to ruin them. A free government loses its nature from the moment it becomes liable to be commanded or altered by any superior power.

But I intended here principally to make the following observation.

The fundamental principle of our government is, “The right of a people to give and grant their own money.”—It is of no consequence, in this case, whether we enjoy this right in a proper manner or not. Most certainly we do not. It is, however, the *principle* on which our government, as a *free* government, is founded. The *spirit* of the constitution gives it us; and, however imperfectly enjoyed, we glory in it as our first and greatest blessing. It was an attempt to encroach upon this right, in a trifling instance, that produced the civil war in the reign of *Charles the First*.—Ought not our brethren in *America* to enjoy this right as well as ourselves? Do the principles of the constitution give it *us*, but deny it to *them*? Or can we, with any decency, pretend that when we give to the king *their* money, we give him *our own*?^[21]—What difference does it make, that in the time of *Charles the First* the attempt to take away this right was made by *one man*: but that, in the case of *America*, it is made by a body of men?

In a word. This is a war undertaken not only against the principles of our own constitution; but on purpose to destroy other similar constitutions in *America*; and to substitute in their room a military force. See [page 23, 24](#).—It is, therefore, a gross and flagrant violation of the constitution.

SECT. III.

Of the Policy if the War with America.

In writing the present Section, I enter upon a subject of the last importance, on which much has been said by other writers with great force, and in the ablest manner^[22]. But I am not willing to omit any topic which I think of great consequence, merely because it has already been discussed: And, with respect to this in particular, it will, I believe, be found that some of the observations on which I shall insist, have not been sufficiently attended to.

The object of this war has been often enough declared to be “maintaining the supremacy of this country over the colonies.” I have already enquired how far reason and justice, the principles of Liberty, and the rights of humanity, entitle us to this supremacy. Setting aside, therefore, now all considerations of this kind, I would observe, that this supremacy is to be maintained, either merely *for its own sake*, or for the sake of some public interest connected with it and dependent upon it.—If *for its own sake*; the only object of the war is the extension of dominion; and its only motive is the lust of power.—All government, even *within* a state, becomes tyrannical, as far as it is a needless and wanton exercise of power; or is carried farther than is absolutely necessary to preserve the peace and to secure the safety of the state. This is what an excellent writer calls GOVERNING TOO MUCH; and its effect must always be, weakening government by rendering it contemptible and odious.—Nothing can be of more importance, in governing distant provinces and adjusting the clashing interests of different societies, than attention to this remark. In these circumstances it is *particularly* necessary to make a sparing use of power, in order to preserve power.—Happy would it have been for *Great Britain*, had this been remembered by those who have lately conducted its affairs. But our policy has been of another kind. At the period when our authority

should have been most concealed, it has been brought most in view; and by a progression of violent measures, every one of which has increased distress, we have given the world reason to conclude, that we are acquainted with no other method of governing than *by force*.—What a shocking mistake!—If our object is power, we should have known better how to use it; and our rulers should have considered, that freemen will always revolt at the sight of a naked sword; and that the complicated affairs of a great kingdom, holding in subordination to it a multitude of distant communities, all jealous of their rights, and warmed with spirits as high as our own, require not only the most skilful, but the most cautious and tender management. The consequences of a different management we are now feeling. We see ourselves driven among rocks, and in danger of being lost.

The following reasons make it too probable, that the present contest with *America* is a contest for power only^[23], abstracted from all the advantages connected with it.

1st. There is a love of power inherent in human nature; and it cannot be uncharitable to suppose that the nation in general, and the cabinet in particular, are too likely to be influenced by it. What can be more flattering than to look across the *Atlantic*, and to see in the boundless continent of *America*, increasing MILLIONS whom we have a right to order as we please, who hold their property at our disposal, and who have no other law than our will. With what complacency have we been used to talk of them as OUR subjects?—Is it not the interruption they now give to this pleasure; is it not the opposition they make to our pride; and not any injury they have done us, that is the secret spring of our present animosity against them?—I wish all in this kingdom would examine themselves carefully on this point. Perhaps, they might find, that they have not known what spirit they are of.—Perhaps, they would become sensible, that it was a spirit of domination, more than a regard to the true interest of this country, that lately led so many of them, with such savage folly, to address the throne for the slaughter of their brethren in *America*, if they will not submit to them; and to make offers of their lives and fortunes for that purpose.—Indeed, I am persuaded, that, were pride and the lust of dominion exterminated from every heart among us, and the humility of Christians infused in their room, this quarrel would be soon ended.

2dly. Another reason for believing that this is a contest for power only is, that our ministers have frequently declared, that their object is not to draw a revenue from *America*; and that many of those who are warmest for continuing it, represent the *American trade* as of no great consequence.

But what deserves particular consideration here is, that this is a contest from which no advantages can possibly be derived.—Not a revenue: For the provinces of America, when desolated, will afford no revenue; or if they should, the expence of subduing them and keeping them in subjection will much exceed that revenue.—Not any of the advantages of trade: For it is a folly, next to insanity, to think trade can be promoted by impoverishing our customers, and fixing in their minds an everlasting abhorrence of us.—It remains, therefore, that this war can have no other object than the extension of power.—Miserable reflection!—To sheath our swords in the bowels of our brethren, and spread misery and ruin among a happy people, for no other end than to oblige them to acknowledge our supremacy. How horrid!—This is the cursed ambition that led a *Cæsar* and an *Alexander*, and many other mad conquerors, to attack peaceful communities, and to lay waste the earth.

But a worse principle than even this, influences some among us. Pride and the love of dominion are principles hateful enough; but blind resentment and the desire of revenge are infernal principles: And these, I am afraid, have no small share at present in guiding our public conduct.—One cannot help indeed being astonished at the virulence, with which some speak on the present occasion against the Colonies.—For, what have they done?—Have they crossed the ocean and invaded us? Have they attempted to take from us the fruits of our labour, and to overturn that form of government which we hold so sacred?—This cannot be pretended.—On the contrary. This is what we have done to them.—We have transported ourselves to their peaceful retreats, and employed our fleets and armies to stop up their ports, to destroy their commerce, to seize their effects, and to burn their towns. Would we but let them alone, and suffer them to enjoy in security their property and governments, instead of disturbing us, they would thank and bless us. And yet it is WE who imagine ourselves ill-used.—The truth is, we expected to find them a cowardly rabble who would lie quietly at our feet; and they have disappointed us. They have risen in their own defence, and repelled force by force. They deny the plenitude of our

power over them; and insist upon being treated as free communities.—It is THIS that has provoked us; and kindled our governors into rage.

I hope I shall not here be understood to intimate, that *all* who promote this war are actuated by these principles. Some, I doubt not, are influenced by no other principle, than a regard to what they think the just authority of this country over its colonies, and to the unity and indivisibility of the British Empire. I wish such could be engaged to enter thoroughly into the enquiry, which has been the subject of the first part of this pamphlet; and to consider, particularly, how different a thing maintaining the authority of government *within* a state is from maintaining the authority of one people over another, already happy in the enjoyment of a government of their own. I wish farther they would consider, that the desire of maintaining authority is warrantable, only as far as it is the means of promoting some end, and doing some good; and that, before we resolve to spread famine and fire through a country in order to make it acknowledge our authority, we ought to be assured that great advantages will arise not only to ourselves, but to the country we wish to conquer.—That from the present contest no advantage to *ourselves* can arise, has been already shewn, and will presently be shewn more at large.—That no advantage to the Colonies can arise from it, need not, I hope, be shewn. It has however been asserted, that even *their* good is intended by this war. Many of us are persuaded, that they will be much happier under our government, than under any government of their own; and that their liberties will be safer when held for them by us, than when trusted in their own hands.—How kind is it thus to take upon us the trouble of judging for them what is most for their happiness? Nothing can be kinder except the resolution we have formed to exterminate them, if they will not submit to our judgment.—What strange language have I sometimes heard? By an armed force we are now endeavouring to destroy the laws and governments of America; and yet I have heard it said, that we are endeavouring to support law and government there. We are insisting upon our right to levy contributions upon them; and to maintain this right, we are bringing upon them all the miseries a people can endure; and yet it is asserted, that we mean nothing but their security and happiness.

But I have wandered a little from the point I attended principally to insist upon in this section, which is, “the folly, in respect of policy, of the

measures which have brought on this contest; and its pernicious and fatal tendency.”

The following observations will, I believe, abundantly prove this.

1st. There are points which are likely always to suffer by discussion. Of this kind are most points of authority and prerogative; and the best policy is to avoid, as much as possible, giving any occasion for calling them into question.

The colonies were at the beginning of this reign in the habit of acknowledging our authority, and of allowing us as much power over them as our interest required; and more, in some instances, than we could reasonably claim. This habit they would have retained: and had we, instead of imposing new burdens upon them, and increasing their restraints, studied to promote their commerce, and to grant them new indulgences, they would have been always growing more attached to us. Luxury, and, together with it, their dependence upon us, and our influence^[24] in their assemblies, would have increased, till in time perhaps they would have become as corrupt as ourselves; and we might have succeeded to our wishes in establishing our authority over them.—But, happily for *them*, we have chosen a different course. By exertions of authority which have alarmed them, they have been put upon examining into the grounds of all our claims, and forced to give up their luxuries, and to seek all their resources within themselves: And the issue is likely to prove the loss of *all* our authority over them, and of all the advantages connected with it. So little do men in power sometimes know how to preserve power; and so remarkably does the desire of extending dominion sometimes destroy it.—Mankind are naturally disposed to continue in subjection to that mode of government, be it what it will, under which they have been born and educated. Nothing rouses them into resistance but gross abuses, or some particular oppressions out of the road to which they have been used. And he who will examine the history of the world will find, there has generally been more reason for complaining that they have been too patient, than that they have been turbulent and rebellious.

Our governors, ever since I can remember, have been jealous that the Colonies, some time or other, would throw off their dependence. This jealousy was not founded on any of their acts or declarations. They have

always, while at *peace* with us, disclaimed any such design; and they have continued to disclaim it since they have been at *war* with us. I have reason, indeed, to believe, that independency is, even at this moment,^[25] generally dreaded among them as a calamity to which they are in danger of being driven, in order to avoid a greater.—The jealousy I have mentioned, was, however, natural; and betrayed a secret opinion, that the subjection in which they were held was more than we could expect them always to endure. In such circumstances, all possible care should have been taken to give them no reason for discontent, and to preserve them in subjection, by keeping in that line of conduct to which custom had reconciled them, or at least never deviating from it, except with great caution; and particularly, by avoiding all direct attacks on their property and legislations. Had we done this, the different interests of so many states scattered over a vast continent, joined to our own prudence and moderation, would have enabled us to maintain them in dependence for ages to come.—But instead of this, how have we acted?—It is in truth too evident, that our whole conduct, instead of being directed by that sound policy and foresight which in such circumstances were absolutely necessary, has been nothing (to say the best of it) but a series of the blindest rigour followed by retractation; of violence followed by concession; of mistake, weakness and inconsistency.—A recital of a few facts, within every body's recollection, will fully prove this.

In the 6th of *George the Second*, an act was passed for imposing certain duties on all foreign spirits, molasses and sugars imported into the plantations. In this act, the duties imposed are said to be GIVEN and GRANTED by the Parliament to the King; and this is the first *American* act in which these words have been used. But notwithstanding this, as the act had the appearance of being only a regulation of trade, the colonies submitted to it; and a small direct revenue was drawn by it from them.—In the 4th of the present reign, many alterations were made in this act, with the declared purpose of making provision for raising a revenue in America. This alarmed the Colonies; and produced discontents and remonstrances, which might have convinced our rulers this was tender ground, on which it became them to tread very gently.—There is, however, no reason to doubt but in time they would have sunk into a quiet submission to this revenue act, as being at worst only the exercise of a power which then they seem not to have thought much of contesting; I mean, the power of taxing them EXTERNALLY.—But before they had time to cool, a worse provocation was given them;

and the STAMP-ACT was passed. This being an attempt to tax them INTERNALLY; and a direct attack on their property, by a power which would not suffer itself to be questioned; which eased *itself* by loading *them*; and to which it was impossible to fix any bounds; they were thrown at once, from one end of the continent to the other, into resistance and rage.—Government, dreading the consequences, gave way; and the Parliament (upon a change of ministry) repealed the *Stamp-Act*, without requiring from them any recognition of its authority, or doing any more to preserve its dignity, than asserting, by the declaratory law, that it was possessed of full power and authority to make laws to bind them in all cases whatever.—Upon this, peace was restored; and, had no farther attempts of the same kind been made, they would undoubtedly have suffered us (as the people of *Ireland* have done) to enjoy quietly our declaratory law. They would have recovered their former habits of subjection; and our connexion with them might have continued an increasing source of our wealth and glory.—But the spirit of despotism and avarice, always blind and restless, soon broke forth again. The scheme for drawing a revenue from *America*, by parliamentary taxation, was resumed; and in a little more than a year after the repeal of the *Stamp-Act*, when all was peace, a third act was passed, imposing duties payable in *America* on tea, paper, glass, painters colours, &c.—This, as might have been expected, revived all the former heats; and the Empire was a second time threatened with the most dangerous commotions.—Government receded again; and the Parliament (under another change of ministry) repealed all the obnoxious duties, EXCEPT that upon tea. This exception was made in order to maintain a shew of dignity. But it was, in reality, sacrificing safety to pride; and leaving a splinter in the wound to produce a gangrene.—For some time, however, this relaxation answered its intended purposes. Our commercial intercourse with the Colonies was again recovered; and they avoided nothing but that tea which we had excepted in our repeal. In this state would things have remained, and even tea would perhaps in time have been gradually admitted, had not the evil genius of *Britain* stepped forth once more to embroil the Empire.

The *East India* company having fallen under difficulties, partly in consequence of the loss of the *American* market for tea, a scheme was formed for assisting them by an attempt to recover that market. With this view an act was passed to enable them to export their tea to *America* free of all duties here, and subject only to 3d. per pound duty, payable in *America*.

It was to be offered at a low price; and it was expected the consequence would prove that the Colonies would be tempted to buy it; a precedent gained for taxing them; and at the same time the company relieved. Ships were, therefore, fitted out; and large cargoes sent. The snare was too gross to escape the notice of the Colonies. They saw it, and spurned at it. They refused to admit the tea; and at BOSTON some persons in disguise threw it into the sea.—Had our governors in this case satisfied themselves with requiring a compensation from the province for the damage done, there is no doubt but it would have been granted. Or had they proceeded no farther in the infliction of punishment, than stopping up the port and destroying the trade of Boston, till compensation was made, the province might possibly have submitted, and a sufficient saving would have been gained for the honour of the nation. But having hitherto proceeded without wisdom, they observed now no bounds in their resentment. To the Boston port bill was added a bill which destroyed the chartered government of the province; a bill which withdrew from the jurisdiction of the province, persons who in particular cases should commit murder; and the *Quebec* bill. At the same time a strong body of troops was stationed at *Boston* to enforce obedience to these bills.

All who knew any thing of the temper of the Colonies saw that the effect of this sudden accumulation of vengeance, would probably be not intimidating but exasperating them, and driving them into a general revolt. But our minister had different apprehensions. They believed that the malecontents in the Colony of *Massachusetts's* were a small party, headed by a few factious men; that the majority of the people would take the side of government, as soon as they saw a force among them capable of supporting them; that, at worst, the Colonies in general would never make a common cause with this province; and that, the issue would prove, in a few months, order, tranquility and submission.—Every one of these apprehensions was falsified by the events that followed.

When the bills I have mentioned came to be carried into execution, the whole province was thrown into confusion. The courts of justice were shut up, and all government was dissolved. The commander in chief found it necessary to fortify himself in Boston; and the other Colonies immediately resolved to make a common cause with this Colony.

Disappointed by these consequences, our ministers took fright. Once more they made an effort to retreat; but indeed the most ungracious one that can well be imagined. A proposal was sent to the Colonies, called Conciliatory; and the substance of which was, that if any of them would raise such sums as should be demanded of them by taxing themselves, the Parliament would forbear to tax them.—It will be scarcely believed, hereafter, that such a proposal could be thought conciliatory. It was only telling them; “If you will tax yourselves BY OUR ORDER, we will save ourselves the trouble of taxing you.”—They received the proposal as an insult; and rejected it with disdain.

At the time this concession was transmitted to *America*, open hostilities were not begun. In the sword our ministers thought they had still a resource which would immediately settle all disputes. They considered the people of *New-England* as nothing but a mob, who would be soon routed and forced into obedience. It was even believed, that a few thousands of our army might march through all *America*, and make all quiet where-ever they went. Under this conviction our ministers did not dread urging the Province of *Massachusetts's Bay* into rebellion, by ordering the army to seize their stores, and to take up some of their leading men.—The attempt was made.—The people fled immediately to arms, and repelled the attack.—A considerable part of the flower of the British army has been destroyed.—Some of our best Generals, and the bravest of our troops, are now ^[26] disgracefully and miserably imprisoned at *Boston*.—A horrid civil war is commenced;—And the Empire is distracted and convulsed.

Can it be possible to think with patience of the policy that has brought us into these circumstances? Did ever Heaven punish the vices of a people more severely by darkening their counsels? How great would be our happiness could we now recall former times, and return to the policy of the last reigns?—But those times are gone.—I will, however, beg leave for a few moments to look back to them; and to compare the ground we have left with that on which we find ourselves. This must be done with deep regret; but it forms a necessary part of my present design.

In those times our Colonies, foregoing every advantage which they might derive from trading with foreign nations, consented to send only to us

whatever it was for our interest to receive from them; and to receive only from us whatever it was for our interest to send to them. They gave up the power of making sumptuary laws, and exposed themselves to all the evils of an increasing and wasteful luxury, because we were benefited by vending among them the materials of it. The iron with which providence had blessed their country, they were required by laws, in which they acquiesced, to transport hither, that our people might be maintained by working it for them into nails, ploughs, axes, &c. And, in several instances, even one Colony was not allowed to supply any neighbouring Colonies with commodities, which could be conveyed to them from hence.—But they yielded much farther. They consented that we should have the appointment of one branch of their legislature. By recognizing as their King, a King resident among us and under our influence, they gave us a negative on all their laws. By allowing an appeal to us in their civil disputes, they gave us likewise the ultimate determination of all civil causes among them.—In short. They allowed us every power we could desire, except that of taxing them, and interfering in their internal legislations: And they had admitted precedents which, even in these instances, gave us no inconsiderable authority over them. By purchasing our goods they paid our taxes; and, by allowing us to regulate their trade in any manner we thought most for our advantage, they enriched our merchants, and helped us to bear our growing burdens. They fought our battles with us. They gloried in their relation to us. All their gains centered among us; and they always spoke of this country and looked to it as their home.

Such WAS the state of things.—What is it now?

Not contented with a degree of power, sufficient to satisfy any reasonable ambition, we have attempted to extend it.—Not contented with drawing from them a large revenue *indirectly*, we have endeavoured to procure one *directly* by an authoritative seizure; and, in order to gain a pepper-corn in this way, have chosen to hazard millions, acquired by the peaceable intercourse of trade.—Vile policy! What a scourge is government so conducted?—Had we never deserted our old ground: Had we nourished and favoured *America*, with a view to commerce, instead of considering it as a country to be governed: Had we, like a liberal and wise people, rejoiced to see a multitude of free states branched forth from ourselves, all enjoying independent legislatures similar to our own: Had we aimed at binding them

to us only by the ties of affection and interest; and contented ourselves with a moderate power rendered durable by being lenient and friendly, an umpire in their differences, an aid to them in improving their own free governments, and their common bulwark against the assaults of foreign enemies: Had this, I say, been our policy and temper; there is nothing so great or happy that we might not have expected. With their increase our strength would have increased. A growing surplus in the revenue might have been gained, which, invariably applied to the gradual discharge of the national debt, would have delivered us from the ruin with which it threatens us. The Liberty of *America* might have preserved our Liberty; and, under the direction of a patriot king or wise minister, proved the means of restoring to us our almost lost constitution. Perhaps, in time, we might also have been brought to see the necessity of carefully watching and restricting our paper-credit: And thus we might have regained safety; and, in union with our Colonies, have been more than a match for every enemy, and risen to a situation of honour and dignity never before known amongst mankind.—But I am forgetting myself.—Our Colonies are likely to be lost for ever. Their love is turned into hatred; and their respect for our government into resentment and abhorrence.—We shall see more distinctly what a calamity this is, and the observations I have now made will be confirmed, by attending to the following facts.

Our American Colonies, particularly the Northern ones, have been for some time in the happiest state of society; or, in that middle state of civilization, between its first rude and its last refined and corrupt state. Old countries consist, generally, of three classes of people; a GENTRY; a YEOMANRY; and a PEASANTRY. The Colonies consist only of a body of YEOMANRY^[27] supported by agriculture, and all independent, and nearly upon a level; in consequence of which, joined to a boundless extent of country, the means of subsistence are procured without difficulty, and the temptations to wickedness are so inconsiderable, that executions^[28] are seldom known among them. From hence arises an encouragement to population so great, that in some of the Colonies they double their own number in fifteen years; in others, in eighteen years; and in all, taken one with another, in twenty-five years.—Such an increase was, I believe, never before known. It demonstrates that they must live at their ease; and be free

from those cares, oppressions, and diseases which depopulate and ravage luxurious states.

With the population of the Colonies has increased their trade; but much faster, on account of the gradual introduction of luxury among them.—In 1723 the exports to *Pensylvania* were 16,000l.—In 1742 they were 75,295l.—In 1757 they were increased to 268,426l. and in 1773 to half a million.

The exports to all the Colonies in 1744 were 640,114l.—In 1758, they were increased to 1,832,948l. and in 1773, to three millions.^[29] And the probability is, that, had it not been for the discontents among the Colonies since the year 1764, our trade with them would have been this year double to what it was in 1773; and that in a few years more, it would not have been possible for the whole kingdom, though consisting only of manufacturers, to supply the American demand.

This trade, it should be considered, was not only thus an increasing trade; but it was a trade in which we had no rivals; a trade certain, constant, and uninterrupted; and which, by the shipping employed in it, and the naval stores supplied by it, contributed greatly to the support of that navy which is our chief national strength.—Viewed in these lights it was an object unspeakably important. But it will appear still more so if we view it in its connexions and dependencies. It is well known, that our trade with *Africa* and the *West-Indies* cannot easily subsist without it. And, upon the whole, it is undeniable, that it has been one of the main springs of our opulence and splendour; and that we have, in a great measure, been indebted to it for our ability to bear a debt so much heavier, than that which, fifty years ago, the wisest men thought would necessarily sink us.

This inestimable prize, and all the advantages connected with *America*, we are now throwing away. Experience alone can shew what calamities must follow. It will indeed be astonishing if this kingdom can bear such a loss without dreadful consequences.—These consequences have been amply represented by others; and it is needless to enter into any account of them—At the time we shall be feeling them—The Empire dismembered; the blood of thousands shed in an unrighteous quarrel; our strength exhausted; our merchants breaking; our manufacturers starving; our debts increasing; the revenue sinking; the funds tottering; and all the miseries of a

public bankruptcy impending—At such a *crisis* should our natural enemies, eager for our ruin, seize the opportunity—The apprehension is too distressing.—Let us view this subject in another light.

On this occasion, particular attention should be given to the present SINGULAR situation of this kingdom. This is a circumstance of the utmost importance; and as I am afraid it is not much considered, I will beg leave to give a distinct account of it.

At the REVOLUTION, the *specie* of the kingdom amounted, according to [\[30\]](#) *Davenant's* account, to eighteen millions and a half.—From the ACCESSION to the year 1772, there were coined at the mint, near 29 millions of gold; and in ten years only of this time, or from January 1759 to January 1769, there were coined eight millions and a half. [\[31\]](#) But it has appeared lately, that the gold specie now left in the kingdom is no more than about twelve millions and a half. [\[32\]](#)—Not so much as half a million of *Silver specie* has been coined these sixty years; and it cannot be supposed, that the quantity of it now in circulation exceeds two or three millions. The whole specie of the kingdom, therefore, is probably at this time about fifteen millions. Of this some millions must be hoarded at the *Bank*.—Our circulating *specie*, therefore, appears to be decreased. But our wealth, or the quantity of money in the kingdom, is greatly increased. This is paper to a vast amount, issued in almost every corner of the kingdom; and, particularly, by the BANK OF ENGLAND. While this paper maintains its credit it answers all the purposes of specie, and is in all respects the same with money.

Specie represents some real value in goods or commodities. On the contrary; paper represents immediately nothing but specie. It is a promise or obligation which the emitter brings himself under to pay a given sum in coin; and it owes its currency to the credit of the emitter; or to an opinion that he is able to make good his engagement; and that the sum specified may be received upon being demanded.—Paper, therefore, represents coin; and coin represents real value. That is, the one is a *sign* of wealth. The other is the *sign* of that *sign*.—But farther. Coin is an *universal* sign of wealth, and will procure it every where. It will bear any alarm, and stand any shock.—On the contrary. Paper, owing its currency to opinion, has only a local

and imaginary value. It can stand no shock. It is destroyed by the approach of danger; or even the *suspicion* of danger.

In short. Coin is the basis of our paper-credit; and were it either all destroyed, or were only the quantity of it reduced beyond a certain limit, the paper circulation of the kingdom would sink at once. But, were our paper destroyed, the coin would not only remain, but rise in value, in proportion to the quantity of paper destroyed.

From this account it follows, that as far as, in any circumstances, specie is not to be procured in exchange for paper, it represents *nothing*, and is, worth *nothing*.—The specie of this kingdom is inconsiderable, compared with the amount of the paper circulating in it. This is generally believed; and, therefore, it is natural to enquire how its currency is supported.—The answer is easy. It is supported in the same manner with all other bubbles. Were all to demand specie in exchange for their notes, payment could not be made; but, at the same time that this is known, every one trusts, that no alarm producing such a demand will happen, while he holds the paper he is possessed of; and that if it should happen, he will stand a chance for being first paid; and this makes him easy. And it also makes all with whom he traffics easy.—But let any events happen which threaten danger; and every one will become diffident. A run will take place; and a bankruptcy follow.

This is an account of what has often happened in *private* credit. And it is also an account of what *will* (if no change of measures takes place) happen some time or other in *public* credit. The description I have given of our paper-circulation implies, that nothing can be more delicate or hazardous. It is an immense fabrick, with its head in the clouds, that is continually trembling with every adverse blast and every fluctuation of trade; and which, like the baseless fabrick of a vision, may in a moment vanish, and leave no wreck behind.—The destruction of a few banks at the *Bank*; an improvement in the art of forgery; the landing of a body of *French* troops on our coasts; insurrections threatening a revolution in government; or any events that should produce a general panic, however groundless, would at once annihilate it, and leave us without any other medium of traffic, than a quantity of *specie* not much more than the money now drawn from the public by the taxes. It would, therefore, become impossible to pay the taxes. The revenue would fail. Near a hundred and forty millions of property would be destroyed. The whole frame of government would fall to pieces;

and a state of nature would take place.—What a dreadful situation! It has never had a parallel among mankind; except at one time in *France* after the establishment there of the Royal *Mississippi* Bank. In 1720 this bank broke; ^[33] and, after involving for some time the whole kingdom in a golden dream, spread through it in one day, desolation and ruin.—The distress attending such an event, in this free country, would be greater than it was in *France*. Happily for that kingdom, they have shot this gulph. Paper-credit has never since recovered itself there; and their circulating cash consists now all of solid coin, amounting, according to the lowest account, to no less a sum than 1500 millions of *Livres*; ^[34] or near 67 millions of pounds sterling. This gives them unspeakable advantages; and, joined to that quick reduction of their debts which is inseparable ^[35] from their nature, places them on a ground of safety which we have reason to admire and envy.

These are subjects on which I should have chosen to be silent, did I not think it necessary, that this country should be apprized and warned of the danger which threatens it. This danger is created chiefly by the national debt. High taxes are necessary to support a great public debt; and a large supply of cash is necessary to support high taxes. This cash we owe to our paper; and, in proportion to our paper, must be the productiveness of our taxes.—King William's wars drained the kingdom of its specie. This sunk the revenue, and distressed government. In 1694 the BANK was established; and the kingdom was provided with a substitute for specie. The taxes became again productive. The revenue rose; and government was relieved.—Ever since that period our paper and taxes have been increasing together, and supporting one another; and one reason, undoubtedly, of the late increase in the productiveness of our taxes has been the increase of our paper.

Was there no public debt, there would be no occasion for half the present taxes. Our paper-circulation might be reduced. The balance of trade would turn in our favour. Specie would flow in upon us. The quantity of property destroyed by a failure of paper-credit (should it in such circumstances happen) would be 140 millions less; and, therefore, the shock attending it would be *tolerable*. But, in the present state of things, whenever any calamity or panic shall produce such a failure, the shock attending it will be *intolerable*.—May heaven soon raise up for us some great statesman who

shall see these things; and enter into effectual measures, if not now too late, for extricating and preserving us.

Public banks are, undoubtedly, attended with great conveniences. But they also do great harm; and, if their emissions are not restrained, and conducted with great wisdom, they may prove the most pernicious of all institutions; not only, by substituting *fictitious* for *real* wealth; by increasing luxury; by raising the prices of provisions; by concealing an unfavourable balance of trade; and by rendering a kingdom incapable of bearing any *internal* tumults or *external* attacks, without the danger of a dreadful convulsion: But, particularly, by becoming instruments in the hands of ministers of state to increase their influence, to lessen their dependence on the people, and to keep up a delusive shew of public prosperity, when perhaps ruin may be near. There is, in truth, nothing that a government may not do with such a mine at its command as a public Bank, while it can maintain its credit; nor, therefore, is there any thing more likely to be IMPROPERLY and DANGEROUSLY used.—But to return to what may be more applicable to our own state at present.

Among the causes that may produce a failure of paper-credit, there are two which the present quarrel with *America* calls upon us particularly to consider.—The first is, “An unfavourable balance of trade.” This, in proportion to the degree in which it takes place, must turn the course of foreign exchange against us; raise the price of bullion; and carry off our specie. The danger to which this would expose us is obvious; and it has been much increased by the new coinage of the gold specie which begun in 1773. Before this coinage, the greatest part of our gold coin being light, but the same in currency as if it had been heavy, always remained in the kingdom. But, being now nearly of full weight, whenever a wrong balance of foreign trade alters the course of exchange, and gold in *coin* becomes of less value than in *bullion*, there is reason to fear, that it will be melted down in such great quantities, and exported so fast, as in a little time to leave none behind;^[36] the consequence which must prove, that the whole superstructure of paper-credit, now supported by it, will break down.—The only remedy, in such circumstances, is an increase of coinage at the mint. But this will operate too slowly; and, by raising the price of bullion, will only increase the evil.—It is the *Bank* that at such a time must be the

immediate sufferer: For it is from thence that those who want coin for any purpose will always draw it.

For many years before 1773, the price of gold in *bullion* had been, from 2 to 3 or 4 *per cent.* higher than in *coin*. This was a temptation to melt down and export the coin, which could not be resisted. Hence arose a demand for it on the BANK; and, consequently, the necessity of purchasing bullion at a loss for a new coinage. But the more coin the Bank procured in this way, the lower its price became in comparison with that of bullion, and the faster it vanished; and, consequently, the more necessary it became to coin again, and the greater loss fell upon the Bank.—Had things continued much longer in this train, the consequences might have proved very serious. I am by no means sufficiently informed to be able to assign the causes which have produced the change that happened in 1772. But, without doubt, the state of things which took place before that year must be expected to return. The fluctuations of trade, in its best state, render this unavoidable. But the contest with our Colonies has a tendency to bring it on soon; and to increase unspeakably the distress attending it. All know that the balance of trade with them is greatly in our favour,^[37] and that this balance is paid partly by direct remittances of bullion; and partly by circuitous remittances through *Spain, Portugal, Italy, &c.* which diminish the balance against us with these countries.—During the last year they have been employed in paying their debts, without adding to them; and their exportations and remittances for that purpose have contributed to render the general balance of trade more favourable to us, and, also, (in conjunction with the late operations of the Bank) to keep up our funds. These remittances are now ceased; and a few years will determine, if this contest goes on, how far we can sustain such a loss without suffering the consequences I have described.

The second event, ruinous to our paper circulation, which may arise from our rupture with *America*, is a deficiency in the revenue. As a failure of our paper would destroy the revenue, so a failure of the revenue, or any considerable diminution of it, would destroy our paper. The BANK is the support of our paper; and the support of the BANK is the credit of government. Its principal securities, are a capital of eleven millions lent to government; and money continually advanced to a vast amount on the Land-tax and Malt-tax, Sinking Fund, Exchequer Bills, Navy Bills, &c. Should, therefore, deficiencies in the revenue bring government under any

difficulties, all these securities would lose their value, and the *Bank* and Government, and all private and public credit, would fall together.—Let any one here imagine, what would probably follow, were it but suspected by the public in general, that the taxes were so fallen, as not to produce enough to pay the interest of the public debts, besides bearing the *ordinary* expences of the nation; and that, in order to supply the deficiency and to hide the calamity, it had been necessary in any one year to anticipate the taxes, and to borrow of the Bank.—In such circumstances I can scarcely doubt, but an alarm would spread of the most dangerous tendency.—The next foreign war, should it prove *half* as expensive as the last, will probably occasion such a deficiency; and bring our affairs to that crisis towards which they have been long tending.—But the war with *America* has a greater tendency to do this; and the reason is, that it affects our resources more; and is attended more with the danger of internal disturbances.

Some have made the proportion of our trade depending on *North America* to be near ONE HALF. A moderate computation makes it a THIRD.^[38] Let it, however, be supposed to be only a FOURTH. I will venture to say, this is a proportion of our foreign trade, the loss of which, when it comes to be felt, will be found insupportable.—In the article of *Tobacco* alone it will cause a deduction from the *Customs* of at least 300,000*l. per ann.*^[39] including the duties paid on foreign commodities purchased by the exportation of tobacco. Let the whole deduction from the revenue be supposed to be only half a million. This alone is more than the kingdom can at present bear, without having recourse to lotteries, and the land-tax at 4*s.* in order to defray the common and necessary expences of peace. But to this must be added a deduction from the produce of the *Excises*, in consequence of the increase of the poor, of the difficulties of our merchants and manufacturers, of less national wealth, and a retrenchment of luxury. There is no possibility of knowing to what these deductions may amount. When the evils producing them begin, they will proceed rapidly; and they may end in a general wreck before we are aware of any danger.

In order to give a clearer view of this subject, I will in an Appendix^[40], state particularly the national expenditure and income for eleven years, from 1764 to 1774. From that account it will appear, that the money drawn every year from the public by the taxes, does not fall greatly short of a sum equal to the whole *specie* of the kingdom; and that, notwithstanding the late

increase in the productiveness of the taxes, the whole surplus of the national income has not exceeded 338,759*l. per ann.* See the Second Tract, [p. 160](#). This is a surplus so inconsiderable as to be scarcely sufficient to guard against the deficiencies arising from the common fluctuations of foreign trade, and of home consumption. It is NOTHING when considered as the only fund we have for paying off a debt of near 140 millions.—Had we continued in a state of profound peace, it could not have admitted of any diminution. What then must follow, when one of the most profitable branches of our trade is destroyed; when a THIRD of the Empire is lost; when an addition of many millions is made to the public debt; and when, at the same time, perhaps some millions are taken away from the revenue?—I shudder at this prospect.—A KINGDOM ON AN EDGE SO PERILOUS, SHOULD THINK OF NOTHING BUT A RETREAT.

SECT. IV.

Of the Honour of the Nation as affected by the War with America.

ONE of the pleas for continuing the contest with *America* is, “That our honour is engaged; and that we cannot now recede without the most humiliating concessions.”

With respect to this, it is proper to observe, that a distinction should be made between the nation, and its rulers. It is melancholy that there should be ever any reason for making such a distinction. A government is, or ought to be, nothing but an institution for collecting and for carrying into execution the will of the people. But so far is this from being in general the fact, that the measures of government, and the sense of the people, are sometimes in direct opposition to one another; nor does it *often* happen that any certain conclusion can be drawn from the one to the other.—I will not pretend to determine, whether, in the present instance, the dishonour attending a retreat would belong to the nation at large, or only to the persons in power who guide its affairs. Be this as it will, no good argument can be drawn from it against receding. The disgrace which may be implied in making concessions, is nothing to that of being the aggressors in an unrighteous quarrel; and dignity, in such circumstances, consists in retracting freely and speedily.—For, (to adopt on this occasion, words which I have heard applied to this very purpose, in a great assembly, by a

peer to whom this kingdom has often looked as its deliverer, and whose ill state of health at this awful moment of public danger every friend to *Britain* must deplore) to adopt, I say, the words of this great man—"RECTITUDE IS DIGNITY. OPPRESSION ONLY IS MEANNESS; AND JUSTICE, HONOUR."

I will add, that PRUDENCE, no less than true HONOUR, requires us to retract. For the time may come when, if it is not done voluntarily, we may be *obliged* to do it; and find ourselves under a necessity of granting that to our distresses, which we now deny to equity and humanity, and the prayers of *America*. The possibility of this appears plainly from the preceding pages; and should it happen, it will bring upon us disgrace indeed, disgrace greater than the worst rancour can wish to see accumulated on a kingdom already too much dishonoured.—Let the reader think here what we are doing.—A nation, once the protector of Liberty in distant countries, and the scourge of tyranny, changed into an enemy to Liberty, and engaged in endeavouring to reduce to servitude its own brethren.—A great and enlightened nation, not content with a controuling power over millions of people which gave it every reasonable advantage, insisting upon such a supremacy over them as would leave them nothing they could call their own, and carrying desolation and death among them for disputing it.—What can be more ignominious?—How have we felt for the brave *Corsicans*, in their struggle with the *Genoese*, and afterwards with the *French* government? Did GENOA or FRANCE want more than an absolute command over their property and legislations; or the power of binding them in all cases whatsoever?—The *Genoese*, finding it difficult to keep them in subjection, CEDED them to the *French*.—All such cessions of one people by another are disgraceful to human nature. But if our claims are just, may not we also, if we please, CEDE the Colonies to *France*?—There is, in truth, no other difference between these two cases than that the *Corsicans* were not descended from the people who governed them, but that the *Americans* are.

There are some who seem to be sensible, that the authority of one country over another, cannot be distinguished from the servitude of one country to another; and that unless different communities, as well as different parts of the same community, are united by an equal representation, all such authority is inconsistent with the principles of Civil Liberty.—But they except the case of the Colonies and *Great Britain*; because the Colonies are communities which have branched forth from, and

which, therefore, as they think, belong to *Britain*. Had the colonies been communities of *foreigners*, over whom we wanted to acquire dominion, or even to extend a dominion before acquired, they are ready to admit that their resistance would have been just.—In my opinion, this is the same with saying, that the Colonies ought to be worse off than the rest of mankind, because they are our own *Brethren*.

Again. The United Provinces of *Holland* were once subject to the *Spanish* monarchy; but, provoked by the violation of their charters; by levies of money, without their consent; by the introduction of Spanish troops among them; by innovations in their antient modes of government; and the rejection of their petitions; they were driven to that resistance which we and all the world have ever since admired; and which has given birth to one of the greatest and happiest Republics that ever existed.—Let any one read also, the history of the war which the *Athenians*, from a thirst of Empire, made on the *Syracusans* in *Sicily*, a people derived from the same origin with them; and let him, if he can, avoid rejoicing in the defeat of the *Athenians*.

Let him, likewise, read the account of the social war among the Romans. The allied states of *Italy* had fought the battles of *Rome*, and contributed by their valour and treasure to its conquests and grandeur. They claimed, therefore, the rights of Roman citizens, and a share with them in legislation. The Romans, disdaining to make those their *fellow-citizens*, whom they had always looked upon as their *subjects*, would not comply; and a war followed, the most horrible in the annals of mankind, which ended in the ruin of the Roman Republic. The feelings of every *Briton* in this case must force him to approve the conduct of the Allies, and to condemn the proud and ungrateful Romans.

But not only is the present contest with *America* thus disgraceful to us, because inconsistent with our own feelings in similar cases; but also because condemned by our own practice in former times. The Colonies are persuaded that they are fighting for Liberty. We see them sacrificing to this persuasion every private advantage. If mistaken, and though guilty of irregularities, they should be pardoned by a people whose ancestors have given them so many examples of similar conduct. *ENGLAND* should venerate the attachment to Liberty amidst all its excesses; and, instead of indignation or scorn, it would be most becoming them, in the present instance, to

declare their applause, and to say to the Colonies—“We excuse your mistakes. We admire your spirit. It is the spirit that has more than once saved *ourselves*. We aspire to no dominion over you. We understand the rights of men too well to think of taking from you the inestimable privilege of governing yourselves; and, instead of employing our power for any such purpose, we offer it to you as a friendly and guardian power, to be a mediator in your quarrels; a protection against your enemies; and an aid to you in establishing a plan of Liberty that shall make you great and happy. In return, we ask nothing but your gratitude and your commerce.”

This would be a language worthy of a brave and enlightened nation. But alas! it often happens in the *Political World* as it does in *Religion*, that the people who cry out most vehemently for Liberty to themselves are the most unwilling to grant it to others.

But farther. This war is disgraceful on account of the persuasion which led to it, and under which it has been undertaken. The general cry was last winter, that the people of NEW-ENGLAND were a body of cowards, who would at once be reduced to submission by a hostile look from our troops. In this light were they held up to public derision in both Houses of Parliament; and it was this persuasion that, probably, induced a Nobleman of the first weight in the state to recommend, at the passing of the *Boston Port Bill*, coercive measures; hinting at the same time, that the *appearance* of hostilities would be sufficient, and that all would be soon over, SINE CLADE.—Indeed no one can doubt, but that had it been believed some time ago, that the people of *America* were brave, more care would have been taken not to provoke them.

Again. The manner in which this war has been hitherto conducted, renders it still more disgraceful.—English valour being thought insufficient to subdue the Colonies, the laws and religion of *France* were established in *Canada*, on purpose to obtain the power of bringing upon them from thence an army of *French Papists*. The wild *Indians* and their own Slaves have been instigated to attack them; and attempts have been made to gain the assistance of a large body of *Russians*.—With like views, *German* troops have been hired; and the defence of our Forts and Garrisons trusted in their hands.

These are measures which need no comment. The last of them, in particular, having been carried into execution without the consent of parliament, threatens us with imminent danger; and shews that we are in the way to lose even the *Forms* of the constitution.—If, indeed, our ministers can at any time, without leave, not only send away the national troops, but introduce *foreign* troops in their room, we lie entirely at mercy; and we have every thing to dread.

SECT. V.

Of the Probability of Succeeding in the War with America.

Let us next consider how far there is a possibility of succeeding in the present war.

Our own people, being unwilling to enlist, and the attempts to procure armies of *Russians*, *Indians*, and *Canadians* having miscarried; the utmost force we can employ, including foreigners, does not exceed, if I am rightly informed, 40,000 effective men. This is the force that is to conquer half a million *at least*^[41] of determined men fighting on their own ground, within sight of their houses and families, and for that sacred blessing of Liberty, without which man is a beast, and government a curse. All history proves, that in such a situation, a handful is a match for millions.

In the *Netherlands*, a few states thus circumstanced, withstood, for a long course of years, the whole force of the Spanish monarchy, when at its zenith; and at last humbled its pride, and emancipated themselves from its tyranny.—The citizens of SYRACUSE also, thus circumstanced, withstood the whole power of the *Athenians*, and almost ruined them.—The same happened in the contest between the house of *Austria*, and the cantons^[42] of *Switzerland*.—There is in this case an infinite difference between attacking and being attacked; between fighting to *destroy*, and fighting to *preserve* or *acquire* Liberty.—Were we, therefore, capable of employing a *land* force against *America* equal to its own, there would be little probability of success. But to think of conquering that whole continent with 30,000 or 40,000 men to be transported across the *Atlantic*, and fed from hence, and incapable of being recruited after any defeat—This is indeed a folly so great, that language does not afford a name for it.

With respect to our naval force, could it sail at land as it does at sea, much might be done with it; but as that is impossible, *little* or *nothing* can be done with it, which will not hurt *ourselves* more than the *Colonists*.—Such of their maritime towns as they cannot guard against our fleets, and have not been already destroyed, they are determined either to give up to our resentment, or destroy themselves: The consequence of which will be, that these towns will be rebuilt in safer situations; and that we shall lose some of the principal pledges by which we have hitherto held them in subjection.—As to their trade; having all the necessities and the chief conveniencies of life within themselves, they have no dependence upon it; and the loss of it will do them unspeakable good, by preserving them from the evils of luxury and the temptations of wealth; and keeping them in that state of virtuous simplicity which is the greatest happiness. I know that I am now speaking the sense of some of the wisest men in America. It has been long their wish that *Britain* would shut up all their ports. They will rejoice, particularly, in the last restraining act. It might have happened, that the people would have grown weary of their agreements not to export or import. But this act will oblige them to keep these agreements; and confirm their unanimity and zeal. It will also furnish them with a reason for confiscating the estates of all the friends of our government among them, and for employing their sailors, who would have been otherwise idle, in making reprisals on British property. Their ships, before useless, and consisting of many hundreds, will be turned into ships of war; and that attention, which they have hitherto confined to trade, will be employed in fitting out a naval force for their own defence; and thus the way will be prepared for their becoming, much sooner than they would otherwise have been, a great maritime power. This act of parliament, therefore, crowns the folly of all our late measures.^[43]—None who know me, can believe me to be disposed to superstition. Perhaps, however, I am not in the present instance, free from this weakness.—I fancy I see in these measures something that cannot be accounted for merely by human ignorance. I am inclined to think, that the hand of Providence is in them working to bring about some great ends.—But this leads me to one consideration more, which I cannot help offering to the public, and which appears to me in the highest degree important.

In this hour of tremendous danger, it would become us to turn our thoughts to Heaven. This is what our brethren in the Colonies are doing.

From one end of *North America* to the other, they are FASTING and PRAYING. But what are we doing?—We are ridiculing them as *Fanatics*, and scoffing at religion.—We are running wild after pleasure, and forgetting every thing serious and decent at *Masquerades*.—We are trafficking for Boroughs; perjuring ourselves at Elections; and selling ourselves for places.—Which side then is Providence likely to favour?

In *America* we see a number of rising states in the vigour of youth, inspired by the noblest of all passions, the passion for being free; and animated by piety.—*Here* we see an old state, great indeed, but inflated and irreligious; enervated by luxury; encumbered with debts; and hanging by a thread.—Can any one look without pain to the issue? May we not expect calamities that shall recover to *reflection* (perhaps to *devotion*) our *Libertines* and *Atheists*?

Is our cause such as gives us reason to ask God to bless it?—Can we in the face of Heaven declare, “that we are not the aggressors in this war; and that we mean by it, not to acquire or even preserve dominion for its own sake; not conquest, or Empire, or the gratification of resentment; but solely to deliver ourselves from oppression; to gain reparation for injury; and to defend ourselves against men who would plunder or kill us?”—Remember, reader, whoever thou art, that there are no other just causes of war; and that blood spilled, with any ether views, must some time or other be accounted for.—But not to expose myself by saying more in this way, I will now beg leave to recapitulate some of the arguments I have used; and to deliver the feelings of my heart in a brief, but earnest address to my countrymen.

I am hearing it continually urged—“Are they not our subjects?”—The plain answer is, they are not your subjects. The people of *America* are no more the subjects of the people of *Britain*, than the people of *Yorkshire* are the subjects of the people of *Middlesex*. They are your *fellow-subjects*.

“But we are taxed; and why should not *they* be taxed?”—*You* are taxed by yourselves. *They* insist on the same privilege.—They are taxed to support their own governments; and they help also to pay your taxes by purchasing your manufactures, and giving you a monopoly of their trade. Must they maintain *two* governments? Must they submit to be *triple* taxed?

—Has your moderation in taxing yourselves been such as encourages them to trust you with the power of taxing them?

“But they will not obey the *Parliament* and the *Laws*.”—Say rather, they will not obey *your* parliament and *your* laws. Their reason is: They have no voice in your parliament. They have no share in making^[44] your laws.—“Neither have *most* of us.”—Then you so far want Liberty; and your language is, “We are not free, Why will *they* be free?”—But *many* of you have a voice in parliament: *None* of them have. *All* your freehold land is represented: But not a foot of *their* land is represented. At worst, therefore, you are only enslaved *partially*.—Were they to submit, they would be enslaved *totally*.—They are governed by parliaments chosen by themselves, and by legislatures similar to yours. Why will you disturb them in the enjoyment of a blessing so valuable? Is it reasonable to insist, that your discretion alone shall be their law; that they shall have no constitutions of government, except such as you shall be pleased to give them; and no property except such as your parliament shall be pleased to leave them?—What is your parliament?—Is there not a growing intercourse between it and the court? Does it awe ministers of state as it once did?—Instead of contending for a controuling power over the governments of *America*, should you not think more of watching and reforming your own?—Suppose the worst. Suppose, in opposition to all their own declarations, that the Colonists are now aiming at independence.^[45]—“If they can subsist without you;” is it to be wondered at? Did there ever exist a *community*, or even an *individual*, that would not do the same?—“If they *cannot* subsist without you;” let them alone. They will soon come back.—“If you cannot subsist without them,” reclaim them by^[46] kindness; engage them by moderation and equity. It is madness to resolve to butcher them. This will make them detest and avoid you for ever. Freeman are not to be governed by force; or dragooned into compliance. If capable of bearing to be so treated, it is a disgrace to be connected with them.

“If *they* can subsist without *you*; and also *you* without *them*,” the attempt to subjugate them by confiscating their effects, burning their towns, and ravaging their territories, is a wanton exertion of cruel ambition, which, however common it has been among mankind, deserves to be called by harder names than I chuse to apply to it.—Suppose such an attempt was to be succeeded: Would it not be a fatal preparation for subduing yourselves?

Would not the disposal of *American* places, and the distribution of an *American* revenue, render that influence of the crown irresistible, which has already stabbed your liberties?

Turn your eyes to *India*: There more has been done than is now attempted in *America*. There ENGLISHMEN, actuated by the love of plunder and the spirit of conquest, have depopulated whole kingdoms, and ruined millions of innocent people by the most infamous oppression and rapacity.—The justice of the nation has slept over these enormities. Will the justice of heaven sleep?—Are we not now execrated on both sides of the globe?

With respect to the Colonists; it would be folly to pretend they are faultless. They were running fast into our vices. But this quarrel gives them a salutary check: And it may be permitted on purpose to favour them, and in *them* the rest of mankind; by making way for establishing, in an extensive country possessed of every advantage, a plan of government, and a growing power that will astonish the world, and under which every subject of human enquiry shall be open to free discussion, and the friends of Liberty, in every quarter of the globe, find a safe retreat from civil and spiritual tyranny.—I hope, therefore, our brethren in *America* will forgive their oppressors. It is certain *they know not what they are doing*.

CONCLUSION.

HAVING said so much of the war with America, and particularly of the danger with which it threatens us, it may be expected that I should propose some method of escaping from this danger, and of restoring this once happy Empire to a state of peace and security.—Various plans of pacification have been proposed; and some of them, by persons so distinguished by their rank and merit, as to be above my applause. But till there is more of a disposition to attend to such plans; they cannot, I am afraid, be of any great service. And there is too much reason to apprehend, that nothing but calamity will bring us to repentance and wisdom.—In order, however, to complete my design in these observations, I will take the liberty to lay before the public the following sketch of one of the plans just referred to, as it was opened before the holidays to the house of Lords by the *Earl of Shelburne*; who, while he held the seals of the Southern

Department, with the business of the Colonies annexed, possessed their confidence, without ever compromising the authority of this country; a confidence which discovered itself by peace among themselves, and duty and submission to the Mother-country. I hope I shall not take an unwarrantable liberty, if, on this occasion, I use his Lordship's own words, as nearly as I have been able to collect them.

“Meet the Colonies on their own ground, in the last petition from the Congress to the king. The surest, as well as the most dignified mode of proceeding for this country.—Suspend all hostilities—Repeal the acts which immediately distress America, namely, the last restraining act,—the charter act,—the act for the more impartial administration of justice;—and the Quebec act.—All the other acts (the custom house act, the post office act, &c.) leave to a temperate revisal.—There will be found much matter which both countries may wish repealed. *Some* which can never be given up, the principle being that regulation of trade for the common good of the Empire, which forms our *Palladium*. *Other* matter which is fair subject of mutual accommodation.—Prescribe the most explicit acknowledgment of your right of regulating commerce in its most extensive sense; if the petition and other public acts of the Colonies have not already, by their declarations and acknowledgments, left it upon a sufficiently secure foundation.—Besides the power of regulating the general commerce of the Empire, something further might be expected; provided a due and tender regard were had to the means and abilities of the several provinces, as well as to those fundamental, unalienable rights of *Englishmen*, which no father can surrender on the part of his son, no representative on the part of his elector, no generation on the part of the succeeding one; the right of judging not only of the *mode* of raising, but the *quantum*, and the appropriation of such aids as they shall grant.—To be more explicit; the debt of *England*, without entering into invidious distinctions how it came to be contracted, might be acknowledged the debt of every individual part of the whole Empire, Asia, as well as America, included.—Provided, that full security were held forth to them, that such free aids, together with the Sinking Fund (Great Britain contributing her superior share) should not be left as the privy purse of the minister, but be unalienably appropriated to the original intention of that fund, the discharge of the debt;—and that by an honest application of the *whole* fund, the taxes might in time be lessened, and the price of our manufactures consequently reduced, so that every contributory

part might feel the returning benefit—always supposing the laws of trade duly observed and enforced.

“The time was, I am confident—and perhaps is, when these points might be obtained upon the easy, the constitutional, and, therefore, the indispensable terms of an exemption from parliamentary taxation, and an admission of the sacredness of their charters; instead of sacrificing their good humour, their affection, their effectual aids, and the act of NAVIGATION itself, (which you are now in the direct road to do) for a commercial quit-rent,^[47] or a barren metaphysical chimæra.—How long these ends may continue attainable, no man can tell.—But if no words are to be relied on except such as make against the Colonies—If nothing is acceptable, except what is attainable by force; it only remains to apply, what has been so often remarked of unhappy periods,—*Quos deus vult, &c.*”

These are sentiments and proposals of the last importance; and I am very happy in being able to give them to the public from so respectable an authority as that of the distinguished Peer I have mentioned; to whom, I know, this kingdom, as well as America, is much indebted for his zeal to promote those grand public points on which the preservation of Liberty among us depends; and for the firm opposition which, jointly with many others (Noblemen and Commoners of the first character and abilities,) he has made to the present measures.

Had such a plan as that now proposed been adopted a few months ago, I have little doubt but that a pacification would have taken place, on terms highly advantageous to this kingdom.—In particular. It is probable, that the Colonies would have consented to grant an annual supply, which, increased by a saving of the money now spent in maintaining troops among them, and by contributions which might have been gained from other parts of the Empire, would have formed a fund considerable enough, if unalienably applied, to redeem the public debt; in consequence of which, agreeably to Lord Shelburne’s ideas, some of our worst taxes might be taken off, and the Colonies would receive our manufactures cheaper; our paper-currency might be restrained; our whole force would be free to meet at any time foreign danger; the influence of the Crown would be reduced; our Parliament would become less dependent; and the kingdom might, perhaps, be restored to a situation of permanent safety and prosperity.

To conclude.—An important revolution in the affairs of this kingdom seems to be approaching. If ruin is not to be our lot, all that has been lately done must be undone, and new measures adopted. At that period, an opportunity (never perhaps to be recovered, if lost) will offer itself for serving essentially *this country*, as well as *America*; by putting the national debt into a *fixed* course of payment; by subjecting to new regulations, the administration of the finances; and by establishing measures for exterminating corruption and restoring the constitution.—For my own part; if this is not to be the consequence of any future changes in the ministry, and the system of corruption, lately so much improved, is to go on; I think it totally indifferent to the kingdom who are *in*, or who are *out* of power.

The following fact is of so much importance, that I cannot satisfy myself without laying it before the public.—In a Committee of the American CONGRESS in *June* 1775, a declaration was drawn up containing an offer to GREAT BRITAIN, “that the Colonies would not only continue to grant extraordinary aids in time of war, but also, if allowed a free commerce, pay into the SINKING-FUND such a sum annually for ONE HUNDRED YEARS, as should be *more* than sufficient in that time, if faithfully applied, to extinguish all the present debts of BRITAIN. Or, provided this was not accepted, that, to remove the groundless jealousy of *Britain* that the Colonies aimed at Independence and an abolition of the Navigation Act, which in truth, they had never intended; and also, to avoid all future disputes about the right of making that and other Acts for regulating their commerce for the general benefit, they would enter into a covenant with *Britain*, that she should fully possess and exercise that right for *one hundred years* to come.”

At the end of the preceding Tract I have had the honor of laying before the public the Earl of *Shelburne*’s plan of Pacification with the Colonies. In that plan, it is particularly proposed, that the Colonies should grant an annual supply to be carried to the Sinking Fund, and unalienably appropriated to the discharge of the public debt.—It must give this excellent Peer great pleasure to learn, from this resolution, that even this part of his

plan, as well as all the other parts, would, most probably, have been accepted by the Colonies. For though the resolution only offers the alternative of either a *free* trade, with extraordinary aids and an annual supply, or an *exclusive* trade confirmed and extended; yet there can be little reason to doubt, but that to avoid the calamities of the present contest, BOTH would have been consented to; particularly, if, on our part, such a revision of the laws of trade had been offered as was proposed in Lord Shelburne's plan.

The preceding resolution was, I have said, drawn up in a Committee of the Congress. But it was not entered in their minutes; a severe Act of Parliament happening to arrive at that time, which determined them not to give the sum proposed in it.

FINIS.

FOOTNOTES

[11] See a particular explanation of this assertion in the Second Tract, [Page 9](#).

[12] In *Great Britain*, consisting of near six *millions* of inhabitants, 5723 persons, most of them the lowest of the people, elect one half of the *House of Commons*; and 364 votes chuse a ninth part. This may be seen distinctly made out in the *Political Disquisitions*, Vol. 1. Book 2. C. 4. a work full of important and useful instruction.

[13] See among others Mr. Locke on Government, and Dr. Priestley's Essay on the first Principles of Government.

[14] See Dr. Priestly on Government, page 68, 69, &c.

[15] The independency of the Judges we esteem in this country one of our greatest privileges.—Before the revolution they generally, I believe, held their places *during pleasure*. King William gave them their places *during good behaviour*. At the accession of the present Royal Family their places were given them *during good behaviour*, in consequence of the Act of Settlement, 12 and 13 W. III. C. 2. But an opinion having been entertained by some, that though their commissions were made under the Act of Settlement to continue, during good behaviour, yet that they determined on the demise of the Crown; it was enacted by a statute made in the first year of his present Majesty, Chap. 23. "That the commissions of Judges for the time being shall be, continue, and remain in full force, during their good behaviour, notwithstanding the demise of his Majesty, or of any of his Heirs and Successors;" with a proviso, "that it may be lawful for his Majesty, his Heirs and Successors, to remove any Judge upon the address of both Houses of Parliament." And by the same Statute their salaries are secured to them during the continuance of their commissions: His Majesty, according to the preamble of the Statute, having been pleased to declare from the Throne to both Houses of Parliament, "That he looked upon the independency and uprightness of Judges as essential to the impartial administration of Justice, as one of the best securities to the Rights and Liberties of his loving Subjects, and as most conducive to the honour of his Crown."

A worthy friend and able Lawyer has supplied me with this note. It affords, when contrasted with that *dependence* of the Judges which has been thought reasonable in *America*, a sad specimen of the different manner in which a kingdom may think proper to govern itself, and the provinces subject to it.

[16] Montesquieu's Spirit of Laws, Vol. I. Book 11. C. xix.

[17] This is particularly true of the *bounties* granted on some American commodities (as pitch, tar, indigo, &c.) when imported into *Britain*; for it is well known, that the end of granting them was, to get those commodities cheaper from the Colonies, and in return for our manufactures, which we used to get from *Russia* and other foreign countries. And this is expressed in the preambles of the laws which grant these bounties. See the Appeal to the Justice, &c. page 21, third edition. It is, therefore, strange that Doctor TUCKER and others, should have insisted so much upon these bounties as favours and indulgencies to the Colonies.—But it is still more strange, that the same representation should have been made of the compensations granted them for doing more during the last war in assisting us than could have been reasonably expected; and also of the sums we have spent in maintaining troops among them *without* their consent; and in opposition to their wishes.—See a pamphlet, entitled "The rights of Great Britain asserted against the claims of America."

[18] It is remarkable that even the author of the *Remarks on the Principal Acts of the 13th Parliament of Great Britain*, &c. finds himself obliged to acknowledge this difference.—There cannot be more detestable principles of government, than those which are maintained by this writer. According to him, the *properties* and *rights* of a people are only a kind of *alms* given them by their civil governors. Taxes, therefore, he asserts, are not the *gifts* of the people. See page 58, and 191.

[19] See Observations on Reversionary Payments, page 207, &c.

[20] See [page 22](#).

[21] The author of *Taxation no Tyranny* will undoubtedly assert this without hesitation, for in page 69 he compares our present situation with respect to the Colonies to that of the antient *Scythians*, who, upon returning from a war, *found themselves shut out of their OWN HOUSES* by their SLAVES.

[22] See particularly, a speech intended to have been spoken on the bill for altering the Charter of the Colony of Massachuset's Bay; the *Considerations on the Measures carrying on with respect to the British Colonies*; the *Two Appeals to the Justice and Interests of the People*; and the *further Examination*, just published, of our present *American Measures*, by the Author of the *Considerations*, &c.

[23] I have heard it said by a person in one of the first departments of the state, that the present contest is for DOMINION on the side of the Colonies, as well as on ours: And so it is indeed; but with this essential difference. We are struggling for dominion over OTHERS. They are struggling for SELF-dominion: The noblest of all blessings.

[24] This has been our policy with respect to the people of *Ireland*; and the consequence is, that we now see their parliament as obedient as we can wish.

[25] It should be remembered, that this was written some time before the Declaration of Independence in July 1776. See [page 85](#) of the next Tract.

[26] In February 1776.—In a few weeks after this, they were driven from *Boston*; and took refuge at *Hallifax* in *Nova Scotia*; from whence, after a strong reinforcement, they invaded the Province of *New-York*.

[27] Except the *Negroes* in the Southern Colonies, who probably will now either soon become extinct, or have their condition changed into that of *Freemen*.—It is not the fault of the Colonies that they have among them so many of these unhappy people. They have made laws to prohibit the importation of them; but these laws have always had a negative put upon them here, because of their tendency to hurt our Negro trade.

[28] In the county of Suffolk, where Boston is, there has not been, I am informed, more than one execution these 18 years.

[29] Mr. Burke (in his excellent and admirable Speech on moving his resolutions for conciliation with the Colonies, P. 9. &c.) has shewn, that our trade to the Colonies, including that to *Africa* and the *West-Indies*, was in 1772 nearly equal to the trade which we carried on with the whole world at the beginning of this Century.

[30] See Dr. Davenant's works, collected and revised by Sir Charles Whitworth, Vol. I. Page 363, &c. 443, &c.

[31] See *Considerations on Money, Bullion*, &c. Page 2 and 11.

[32] The coin deficient between one grain and three grains was not called in at the time this was written. This call was made in the Summer of 1776; and it brought in above three millions more than was expected. The quantity of gold coin should therefore have been stated at about SIXTEEN MILLIONS, and the whole coin of the kingdom at 18 or 19 millions.—The evidence from which I have drawn this estimate may be found in the first Section of the Second Part of the next Tract.

[33] See Sir James Steuart's *Enquiry into the Principles of political Economy*, Vol. II. Book 4, Chap. 32.

[34] See the Second Tract, [P. 65](#).

[35] Their debts consist chiefly of money raised by annuities on lives, short annuities, anticipations of taxes for short terms, &c. During the whole last war they added to their *perpetual* annuities only 12 millions sterling, according to Sir James Steuart's account; whereas we added to these annuities near 60 millions. In consequence therefore of the nature of their debts, as well as of the management they are now using for hastening the reduction of them, they must in a few years, if peace continues, be freed from most of their incumbrances; while we probably (if no event comes soon that will unburthen us at once) shall continue with them all upon us.

[36] Mr. *Lowndes* in the dispute between him and Mr. *Locke*, contended for a reduction of the standard of silver. One of his reasons was, that it would render the silver-coin more commensurate to the wants of the nation; and CHECK HAZARDOUS PAPER-CREDIT.—Mr. CONDUIT, Sir ISAAC NEWTON's successor in the mint, has proposed, in direct contradiction to the laws now

in being, that all the bullion imported into the kingdom should be carried into the mint to be coined; and only coin allowed to be exported. “The height, he says, of paper-credit is the strongest argument for trying this and *every other* method that is likely to increase the coinage. For whilst paper-credit does in a great measure the business of money at home, Merchants and Bankers are not under a necessity, as they were formerly, of coining a quantity of specie for their home trade; and as Paper-credit brings money to the Merchants to be exported, the money may go away insensibly, and NOT BE MISSED TILL IT BE TOO LATE: And where Paper-credit is large and increasing, if the money be exported and the coinage decrease, THAT CREDIT MAY SINK AT ONCE, for want of a proportionable quantity of *Specie*, which alone can support it in a time of distress.”—See Mr. *Conduit*’s Observations on the state of our Gold and Silver Coins in 1730, Page 36, to 46.

[37] According to the accounts of the exports to, and imports from the North-American Colonies, laid before Parliament, the balance in our favour appears to have been, for 11 years before 1774, near a *million and a half* annually.

[38] See the substance of the evidence on the petition presented by the *West-India* Planters and Merchants to the House of Commons as it was introduced at the BAR, and summed up by Mr. GLOVER.

[39] The annual average of the payments into the Exchequer, on account of the duties on tobacco, was for five years, from 1770 to 1774, 219,117*l.* exclusive of the payments from *Scotland*.—Near one half of the *tobacco* trade is carried on from *Scotland*; and above *four fifths* of the tobacco imported is afterwards exported to *France*, *Germany* and other countries. From *France* alone it brings annually into the Kingdom, I am informed, about 150,000*l.* in money.

In 1775, being, alas! the *parting* year, the duties on tobacco in ENGLAND brought into the *Exchequer* no less a sum than 298,202*l.*

[40] All the accounts and calculations in the *Appendix* here referred to, have been transferred to the 2d and 4th Sections of the 3d Part of the Second Tract.

[41] A quarter of the inhabitants of every country are fighting men.—If, therefore, the Colonies consist only of two millions of inhabitants, the number of fighting men in them will be half a million.

[42] See the Appendix to Dr. Zubly’s Sermon, preached at the opening of the Provincial Congress of *Georgia*.

[43] The apprehensions here expressed have been verified by the events which have happened since this was written. American privateers have spread themselves over the Atlantick. They have frightened us even on our own coasts, and seized millions of British property.

[44] “I have no other notion of slavery, but being bound by a law to which I do not consent.” See the case of *Ireland*’s being bound by acts of Parliament in *England*, stated by William Molyneux, Esq; Dublin.—In arguing against the authority of Communities, and all people not incorporated, over one another; I have confined my views to taxation and internal legislation. Mr. Molyneux carried his views much farther; and denied the right of *England* to make any laws even to regulate the trade of *Ireland*. He was the intimate friend of Mr. Locke; and writ his book in 1698, soon after the publication of Mr. Locke’s Treatise on Government.

[45] See on this subject the second Section of the second Part of the next Tract, [Page 77](#).

[46] Some persons, convinced of the *folly* as well as *barbarity* of attempting to keep the Colonies by slaughtering them, have very humanely proposed giving them up. But the highest authority has informed us, with great reason, “That they are too important to be given up.”—Dr. TUCKER has insisted on the depopulation, produced by migrations from this country to the Colonies, as a reason for this measure. But, unless the kingdom is made a prison to its inhabitants, these migrations cannot be prevented; nor do I think that they have any great tendency to produce depopulation. When a number of people quit a country, there is more employment and greater plenty of the means of subsistence left for those who remain; and the vacancy is soon filled up. The grand causes of depopulation are, not migrations, or even famines and plagues, or any other *temporary* evils; but the permanent and slowly working evils of debauchery, luxury, high taxes, and oppression.

[47] See the Resolutions on the *Nova-Scotia* petition reported to the House of Commons, November 29, 1775, by Lord North, Lord George Germaine, &c. and a bill ordered to be brought

in upon the said Resolutions.—There is indeed, as Lord Shelburne has hinted, something very astonishing in these Resolutions. They offer a relaxation of the authority of this country, in points to which the Colonies have always consented, and by which we are great gainers; at the same time, that, with a rigour which hazards the Empire, we are maintaining its authority in points to which they will never consent; and by which nothing can be gained.

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On the NATURE and VALUE of

CIVIL LIBERTY,

AND THE

WAR WITH AMERICA:

ALSO

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by PUBLIC LOANS;

An Historical Deduction and Analysis of the

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of FRANCE.

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ABBE RAYNAL.

TO
THE RIGHT HONOURABLE
THE LORD MAYOR,
THE ALDERMEN, AND THE COMMONS
OF THE
CITY OF LONDON,

THIS TRACT,
Containing ADDITIONS to those OBSERVATIONS on CIVIL LIBERTY,
which they have honoured with their Approbation,
Is, with the greatest Respect and Gratitude,
INSCRIBED,
BY
Their most obedient
and humble Servant,
RICHARD PRICE.

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INTRODUCTION.

Before the reader enters on the following tract, I shall beg leave to detain him while I give a general account of the contents of it, and make a few introductory observations.

In the first part of the *Observations on Civil Liberty*, published last winter, I gave a brief account of the nature of Liberty in general, and of *Civil Liberty* in particular. That account appears to me, after carefully reconsidering it, to be just; nor do I think it in my power to improve it. In order, however, to be as explicit as possible on this subject, and to remove those misapprehensions of my sentiments into which some have fallen, I have thought proper to add the *supplemental* and *explanatory* observations, which will be found in the FIRST part of this pamphlet.—In writing with this view, I have been led to refer often to my former pamphlet, and to repeat some of the observations in it. But as this could not have been avoided, it will, I hope, be excused.

The remarks in the SECOND part, I offer to the public with all the deference due to the high station and abilities of the noble Lord, whose speech at opening the Budget in *April* last, has occasioned them.—These remarks, having been promised long ago, should have been published sooner. The reasons which have produced this delay are of little consequence to the public; and, therefore, need not be mentioned.

In the first section of this *second* part, it will, I think, appear, that I went upon as good grounds as the nature of the case admitted, when I stated the gold coin^[48] of the kingdom at ABOUT TWELVE MILLIONS AND A HALF. It appears now, indeed, to be some millions more. But this is a discovery made by the call of last summer; which, I find, has brought in near double the sum that the best judges expected. Nothing, however, very encouraging can be inferred from hence. It only shews that a great deal of gold has been hoarded; and will, probably, be again hoarded. This is the natural consequence of public diffidence; and it is a circumstance which may, hereafter, greatly increase distress. Before the REVOLUTION, according to Dr. *Davenant*, near half the coin was hoarded; and the same, undoubtedly, will be done again, whenever the nation comes to be thoroughly alarmed.

In the next section of this part, I have made some further observations on the contest with *America*.—I cannot expect any other than a tragical and deplorable issue to this contest. But let events turn out as they will, I shall always reflect with satisfaction, that I have, though a private person of little consequence, bore my testimony, from deep-felt conviction, against a war which must shock the feelings and the reason of every considerate person; a war in which rivers of blood must be shed, not to repel the attacks of enemies, or to maintain the authority of government *within* the realm, but to maintain sovereignty and dominion in another world^[49].—I wish the advocates for the measures against *America* would attend to the distinction now intimated.—The support of just government *within* the realm is always necessary, and therefore right. But to maintain, by fire and sword, dominion over the persons and the property of a people *out* of the realm, who have no share in its legislature, contradicts every principle of liberty and humanity.—Legitimate

government, let it be remembered, as opposed to oppression and tyranny, consists “only in the dominion of EQUAL LAWS made with COMMON CONSENT, or of men over THEMSELVES; and not in the dominion of communities over communities, or of ANY MEN OVER OTHER MEN.”—This is the great truth I have endeavoured to explain and defend; and happy would the world be, were a due conviction of it impressed on every human heart.

The representation I have given in this section and elsewhere, of the state of this kingdom, is, without doubt, gloomy. But it is not the effect, as some have intimated, of either a natural disposition to gloominess, or of sinister views. Few, who know me, will entertain such a suspicion. Valuing *most* what politicians and statesmen generally value *least*, I feel myself perfectly easy with respect to my interest as a citizen of this world; nor is there any change of situation that can make me happier, except a return to privacy and obscurity. The opinion I have entertained of the present danger of the kingdom is, therefore, the effect of evidence which appears to me irresistible. This evidence I have stated to the public; and every one may judge of it as he pleases. I am sensible of my own liableness to error. The measures which I condemn as the worst that ever disgraced and hazarded a great kingdom, others, whose integrity I cannot question, approve; and that very situation of our affairs which I think alarming, others think prosperous. Time will determine which of these opinions is right. But supposing the latter to be so, no harm can arise from any representations which have a tendency to put us on our guard.

I have bestowed particular attention on the observations in the third section of this second part; and I think the subject of this section so important, that it is probable, I should not have resolved on the present publication, had it not been for the opportunity it gives me to lay the observations it contains before the public.—An intimation of them was given in the Introduction to the third edition of the *Treatise on Reversionary Payments*. The nation being now once more got into a course of borrowing; and our first step having been a return to a mode of borrowing, which had appeared to me absurd and detrimental, I was induced to resume the subject, and to examine it with more care. And the result of an examination of only a *part* of the public loans, will be found to be, “that a capital of more than TWENTY MILLIONS has been a needless addition to the public debt, for which no money, or any sort of equivalent has been received; and which might have been avoided, together with a great expence of interest, by only forming differently the schemes of the public loans.”

The intention of the first section of the THIRD PART is to give, in as short a compass as possible, a view of the progress of our *foreign trade*, and its effect on the nation, from the beginning of this century; and, particularly, to point out an unfavourable change which seems to have taken place since 1764.

In the second section of this part, an explanation and analysis are given of all the different articles of the national debt, which will probably inform every person of most that he can wish to know concerning them.—I have added a general account of the debts and resources of FRANCE. This is a subject at present particularly interesting to this country; and, having been informed of some important facts relating to it, I have thought proper to lay them before the public, with such reflexions as have offered themselves in mentioning them.

The last section contains such of the calculations in the APPENDIX to the *Observations on Civil Liberty* as were necessary to be reprinted, in order to introduce the remarks I have added on some particulars in the state of the *public income and expenditure*, published not long ago by the *Earl of Stair*. I have also meant to accommodate the purchasers of the different editions of the *Observations on Civil Liberty*, who will be enabled, by this section, to possess themselves of all the material alterations and improvements which were made in that pamphlet after its first publication.—The accounts, in the latter part of this tract, are so various and extensive, that it is scarcely possible there should not be some incorrectnesses in them. But the pains I have taken, and the means of information which I have possessed have been such, that I cannot suspect that I have fallen into any mistakes of consequence. Should, however, any such have escaped me, it will be kind in any person to point them out with candour; and to assist in making those accounts so correct and perfect, as that they may serve for a basis to all future accounts of the same kind.

The following note in Mr. *Hume's* History of *England* was written by him a little before his death, and left with other additions to be inserted in the new edition of that history just published. It contains, therefore, a kind of dying warning from Mr. *Hume* to this kingdom; and I have thought proper to transcribe it, and to insert it in this place, as a confirmation of similar sentiments frequently expressed in these tracts.

“The supplies granted Queen *Elizabeth*, during a reign of FORTY-FIVE YEARS, amounted to three millions. The minister, in the war which begun in 1754, was, in some periods, allowed to lavish a sum equal to this in TWO MONTHS. The extreme frivolous object of the late war, and the great importance of hers, set this matter in still a stronger light. Money too was in most particulars of the same value in both periods: she paid eight-pence a day to every foot soldier;—but our LATE DELUSIONS have much exceeded any thing known in history, not even excepting those of the Crusades. For, I suppose, there is no mathematical, still less an arithmetical demonstration, that the road to the holy land was not the road to Paradise; as there is, that the endless increase of national debt is the direct road to national ruin. But having now completely reached that goal, it is needless at present to reflect on the past. It will be found in the present year (1776) that all the revenues of this island, north of the *Trent*, and west of *Reading*, are mortgaged or anticipated for ever. Could the small remainder be in a worse condition, were these provinces seized by *Austria* and *Prussia*? There is only this difference, that some event might happen in *Europe*, which would oblige those great monarchs to disgorge their acquisitions. But no imagination can figure a situation which will induce our creditors to relinquish their claims, or the public to seize their revenues.—So egregious, indeed, has been our folly, that we have even lost all title to compassion, under the numberless calamities that are waiting us.”—Mr. *Hume's* History, vol. 5th, page 475.

PART I.
SUPPLEMENTAL OBSERVATIONS
ON THE
NATURE and VALUE of CIVIL LIBERTY and FREE GOVERNMENT.

SECT. I.
Of the Nature of Civil Liberty, and the Essentials of a Free Government.

With respect to Liberty in general there are two questions to be considered:
First, What it is?—And Secondly, How far it is of value?

There is no difficulty in answering the first of these questions.—To be FREE, is “to be able to act or to forbear acting, as we think best;” or “to be masters of our own resolutions and conduct.”—It may be pretended, that it is not desirable to be thus free; but, without doubt, this it is to be *free*; and this is what all mean when they say of themselves or others that they are *free*.

I have observed, that all the different kinds of Liberty run up into the general idea of self-government^[50].—The Liberty of men as *agents* is that power of self-determination which all agents, as such, possess.—Their Liberty as *moral* agents is their power of self-government in their *moral* conduct.—Their Liberty as *religious* agents is their power of self-government in *religion*.—And their Liberty, as members of communities associated for the purposes of civil government, is their power of self-government in all their civil concerns. It is Liberty, in the last of these views of it, that is the subject of my present enquiry; and it may, in other words, be defined to be “the power of a state to govern itself by its own will.”—In order, therefore, to determine whether a state is free, no more is necessary than to determine whether there is any will, different from its own, to which it is subject.

When we speak of a state, we mean the *whole* state, and not any *part* of it; and the will of the state, therefore, is the will of the whole.—There are two ways in which this will may be expressed. First, by the suffrages of all the members given in person. Or secondly, by the suffrages of a body of Representatives, in appointing whom all the members have voices.—A state governed by its own will in the first of these ways enjoys the most complete and perfect Liberty; but such a government being impracticable, except in very small states, it is necessary that civil communities in general should satisfy themselves with that degree of Liberty which can be obtained in the last of these ways; and Liberty so obtained may be sufficiently ample, and at the same time is capable of being extended to the largest states^[51].

But here, before I proceed, I must desire, that an observation may be attended to, which appears to me of considerable consequence.—A distinction should be made between the *Liberty* of a state, and its not suffering oppression; or between a free government, and a government under which freedom is enjoyed. Under the most despotic government liberty may happen to be enjoyed. But being derived from a will over which the state has no controul, and not from its own will; or from an accidental mildness in the *administration*, and not from a *constitution* of government; it is nothing but an indulgence of a precarious nature, and of little importance.—Individuals in private life, while held under the power of masters, cannot be denominated free, however equitably and kindly they may be treated. This is strictly true of *communities* as well as of *individuals*.—Civil Liberty (it should be remembered) must be enjoyed as a right derived from the Author of nature only, or it cannot be the blessing which merits this name. If there is any human power which is considered as *giving* it, on which it depends, and which can invade or recall it at pleasure, it changes its nature, and becomes a species of slavery.

But to return—The force superseding self-government in a state, or the power destroying its Liberty, is of two kinds. It may be either a power *without* itself, or a power *within* itself. The former constitutes what may be properly called *external*, and the latter *internal* slavery.—Were there any distant state which had acquired a sovereignty over this country, and exercised the power of making its laws and disposing its property, we should be in the first kind of slavery; and, if not totally depraved by a habit of subjection to such a power, we should think ourselves in a miserable condition; and an advocate for such a power would be considered as insulting us, who should attempt to reconcile us to it by telling us, that we were *one* community with that distant state, though destitute of a single voice in its legislature; and, on this ground, should maintain, that all resistance to it was no less criminal than any resistance *within* a state to the authority of that state.—In short, every state, not incorporated with another by an equal representation, and yet subject to its dominion, is enslaved in this sense.—Such was the slavery of the provinces subject to antient *Rome*; and such is the slavery of every community, as far as any other community is master of it; or as far as, in respect of taxation and internal legislation, it is not independent of every other community. Nor does it make any difference to such a community, that it enjoys within itself a free constitution of government, if that constitution is itself liable to be altered, suspended or over-ruled at the discretion of the state which possesses the sovereignty over it.

But the slavery most prevalent in the world has been internal slavery.—In order better to explain this, it is proper to observe, that all civil government being either the government of a *whole* by *itself*, or of a *whole* by a *power extraneous* to it, or of a *whole* by a *part*; the first *alone* is LIBERTY, and the two last are TYRANNY, producing the two sorts of slavery which I have mentioned. Internal slavery, therefore, takes place wherever a whole community is governed by a *part*; and this, perhaps, is the most concise and comprehensive account that can be given of it.—The part that governs may be either a *single* man, as in *absolute Monarchies*; or, a body of *grandees*, as in *Aristocracies*. In both these cases the powers of government are commonly held for life without delegation, and descend from father to son;

and the people governed are in the same situation with cattle upon an estate, which descends by inheritance from one owner to another.—But farther. A community may be governed by a body of delegates, and yet be enslaved.—Though government by representation alone is free, unless when carried on by the personal suffrages of all the members of a state, yet *all* such government is by no means free. In order to render it so, the following requisites are necessary.

First, The representation must be *complete*. No state, a *part* of which only is represented in the Legislature that governs it, is *self-governed*. Had *Scotland* no representatives in the Parliament of *Britain*, it would not be free; nor would it be proper to call *Britain* free, though *England*, its other part, were adequately represented. The like is true, in general, of every country subject to a Legislature in which *some* of its parts, or some classes of men in it, are represented, and others not.

Secondly, The representatives of a free state must be *freely* chosen. If this is not the case, they are not at all representatives; and government by them degenerates into government by a junto of men in the community, who happen to have power or wealth enough to command or purchase their offices.

Thirdly, After being *freely* chosen, they must be themselves *free*. If there is any higher will which directs their resolutions, and on which they are dependent, they become the instruments of that will; and it is that will alone that in reality governs the state.

Fourthly, They must be chosen for short terms; and, in all their acts, be accountable to their constituents. Without this a people will have no controul over their representatives; and, in chusing them, they will give up entirely their Liberty; and only enjoy the poor privilege of naming, at certain intervals, a set of men whom they are to *serve*, and who are to dispose, at their discretion, of their property and lives.

The causes of internal slavery now mentioned prevail, some of them more and others less, in different communities. With respect, in particular, to a government by representation; it is evident, that it deviates more or less from Liberty, in proportion as the representation is more or less imperfect. And, if imperfect in every one of the instances I have recited; that is, if inadequate and partial; subject to no controul from the people; corruptly chosen for long terms; and, after being chosen, venal and dependent;—in these circumstances, a representation becomes an imposition and a nuisance; and government by it is as inconsistent with true Liberty as the most arbitrary and despotic government.

I have been so much misunderstood^[52] on this subject, that it is necessary I should particularly observe here, that my intention in this account has been merely to shew what is requisite to constitute a state or a government free, and not at all to define the best form of government. These are two very different points. The first is attended with few difficulties. A free state is a state self-governed in the manner I have described. But it may be free, and yet not enjoy the best constitution of government. Liberty, though the most essential requisite in government, is not the only one. Wisdom, union, dispatch, secresy, and vigour

are likewise requisite; and that is the best form of government which best unites all these qualities; or which, to an equal and perfect Liberty, adds the greatest wisdom in deliberating and resolving, and the greatest union, force and expedition in executing^[53].

In short, my whole meaning is, that the will of the Community alone ought to govern; but that there are different methods of obtaining and executing this will; of which those are the best which collect into it most of the knowledge and experience of the community, and at the same time carry it into execution with most dispatch and vigour.

It has been the employment of the wisest men in all ages to contrive plans for this purpose; and the happiness of society depends so much on civil government, that it is not possible the human understanding should be better employed.

I have said in the *Observations on Civil Liberty*, that “in a free state every man is his own legislator.”—I have been happy in since finding the^[54] same assertion in *Montesquieu*, and also in Mr. Justice *Blackstone*’s Commentaries. It expresses the fundamental principle of our constitution; and the meaning of it is plainly, that every independent agent in a free state ought to have a share in the government of it, either by himself *personally*, or by a body of representatives, in chusing whom he has a free vote, and therefore all the concern and weight which are possible, and consistent with the equal rights of every other member of the state.—But though the meaning of this assertion is so obvious, and the truth of it undeniable, it has been much exclaimed against, and occasioned no small part of the opposition which has been made to the principles advanced in the *Observations on Civil Liberty*.—One even of the most candid, as well as the ablest of my opponents, (whose difference of opinion from me I sincerely lament) has intimated, that it implies, that, in a free state,^[55] *thieves and pick-pockets have a right to make laws for themselves*.—The public will not, I hope, wonder that I chuse to take little notice of such objections.

It has been said, that the liberty for which I have pleaded, is “a right or power in every one to act as he likes without any restraint.”—However unfairly this representation has been given of my account of liberty, I am ready to adopt it, provided it is understood with a few limitations.—MORAL LIBERTY, in particular, cannot be better defined than by calling it “a power in every one to do as he likes.” My opponents in general seem to be greatly puzzled with this; and I am afraid it will signify little to attempt explaining it to them by saying, that every man’s will, if perfectly free from restraint, would carry him invariably to rectitude and virtue; and that no one who acts wickedly acts as he *likes*, but is conscious of a tyranny within him overpowering his judgment, and carrying him into a conduct, for which he condemns and hates himself. *The things that he would he does not*,^[56] *and the things that he would not, those he does*. He is, therefore, a slave in the properest sense.

RELIGIOUS LIBERTY, likewise, is a power of acting as we *like* in religion; or of professing and practising that mode of religious worship which we think most acceptable to the Deity.—But here the limitation to which I have referred must be attended to. ALL have the same unalienable right to this Liberty; and consequently, no one has a right to such a use of it as

shall take it from others. Within this limit, or as far as he does not encroach on the equal liberty of others, every one has a right to do as he pleases in religion.—That the right to religious Liberty goes as far as this every one must allow, who is not a friend to persecution; and that it cannot go farther, is self-evident; for if it did, there would be a contradiction in the natures of things; and it would be true, that every one had a right to enjoy what every one had a right to destroy.—If, therefore, the religious faith of any person leads him to hurt another because he professes a different faith; or if it carries him, in any instances, to intolerance, Liberty itself requires he should be restrained, and that, in such instances, he should lose his liberty.

All this is equally applicable to the Liberty of man in his *civil* capacity; and it is a maxim true universally, “that as far as any one does not molest *others*, others ought not to molest *him*.”—All have a right to the free and undisturbed possession of their good names, properties and lives; and it is the right all have to this that gives the right to establish civil government, which is or ought to be nothing but an institution (by laws and provisions made with *common* consent) for guarding this right against invasion; for giving to every one, in *temporals* and *spirituals*, the power of commanding his own conduct; or, of acting as he pleases, and going where he will, provided he does not run foul of others.—Just government, therefore, does not *infringe* liberty, but *establish* it.—It does not *take away* the rights of mankind, but *protect* and *confirm* them.—I will add, that it does not even create any new subordinations of particular men to one another, but only gives security in those several stations, whether of authority and pre-eminence, or of subordination and dependence, which nature has established, and which must have arisen among mankind whether civil government had been instituted or not. But this goes beyond my purpose in this place, and more will be said of it presently.

To sum up the whole—Our ideas of Civil Liberty will be rendered more distinct by considering it under the three following views:—The Liberty of the *citizen*—The liberty of the *government*—And the liberty of the *community*.—A *citizen* is free when the power of commanding his own conduct and the quiet possession of his life, person, property and good name are *secured* to him by being his own legislator in the sense explained in [page 10^{\[57\]}](#).—A *government* is free when constituted in such a manner as to give this *security*.—And the freedom of a community or nation is the same among nations, that the freedom of a citizen is among his fellow-citizens.—It is not, therefore, as observed in [page 3](#), the mere possession of Liberty that denominates a citizen or a community free; but that *security* for the possession of it which arises from such a free government as I have described; and which takes place, when there exists no power that can take it away.—It is in the same sense that the mere performance of virtuous actions is not what denominates an agent virtuous; but the temper and habits from whence they spring; or that *inward constitution*, and right balance of the affections, which *secure* the practice of virtue, produce stability of conduct, and constitute a *character*.

I cannot imagine how it can be disputed whether this is a just account of the nature of Liberty. It has been already given more briefly in the Observations on Civil Liberty; and it is with reluctance I have repeated so much of what has been there said. But the wrong

apprehensions which have been entertained of my sentiments have rendered this necessary. And, for the same reason, I am obliged to go on to the subject of the next section.

SECT. II.

Of the VALUE of Liberty, and the EXCELLENCE of a Free Government.

Having shewn in the preceding section “what Liberty is;” the next question to be considered is, “how far it is valuable.”

Nothing need be said to shew the value of the three kinds of liberty which I have distinguished under the names of *Physical*, *Moral*, and *Religious* Liberty. They are, without doubt, the foundation of all the happiness and dignity of men, as reasonable and moral agents, and the subjects of the Deity.—It is, in like manner, true of *Civil* Liberty, that it is the foundation of the whole happiness and dignity of men as members of civil society, and the subjects of civil government.

First. It is Civil Liberty, or such free government as I have described, that alone can give just security against oppression. One government is better than another in proportion as it gives more of this security. It is, on this account, that the supreme government of the Deity is perfect. There is not a possibility of being oppressed or aggrieved by it. Subjection to it is the same with complete freedom.

Were there any men on whose superior wisdom and goodness we might absolutely depend, they could not possess too much power; and the love of liberty itself would engage us to fly to them, and to put ourselves under their direction. But such are the principles that govern human nature; such the weakness and folly of men; such their love of domination, selfishness, and depravity; that none of them can be raised to an elevation above others without the utmost danger. The constant experience of the world has verified this; and proved, that nothing intoxicates the human mind so much as power, and that men, when they have got possession of it, have seldom failed to employ it in grinding their fellow-men, and gratifying the vilest passions.—In the establishment, therefore, of civil government, it would be preposterous to rely on the discretion of any men. If a people would obtain security against oppression, they must seek it in *themselves*, and never part with the powers of government out of *their own* hands. It is there only they can be safe.—A people will never oppress themselves, or invade their own rights. But if they trust the arbitrary will of any body or succession of men, they trust ENEMIES, and it may be depended on that the worst evils will follow.

It follows from hence, that a free government is the only government which is consistent with the ends of government.—Men combine into communities and institute government to obtain the peaceable enjoyment of their rights, and to defend themselves against injustice and violence: And when they endeavour to secure these ends by such a free government as I have described, improved by such arrangements as may have a tendency to preserve it from confusion, and to concentrate in it as much as possible of the wisdom and force of the community; In this case, it is a most rational and important institution.—But when the

contrary is done; and the benefits of government are sought by establishing a government of *men*, and not of *laws* made with common consent; it becomes a most absurd institution.—It is seeking a remedy for oppression in *one* quarter, by establishing it in *another*; and avoiding the outrages of *little* plunderers, by constituting a set of *great* plunderers.—It is, in short, the folly of *giving up* liberty in order to *maintain* Liberty; and, in the very act of endeavouring to secure the most valuable rights, to arm a body of enemies with power to destroy them.

I can easily believe, that mankind, in the first and rude state of society, might act thus irrationally. Absolute governments, being the simplest forms of government, might be the first that were established. A people having experienced the happy effects of the wisdom or the valour of particular men, might be led to trust them with unlimited power as their rulers and legislators. But they would soon find reason to repent: And the time, I hope, may come, when mankind in general, taught by long and dear experience, and *weary* of the abuses of power under *slavish* governments, will learn to detest them, and never to give up that SELF-GOVERNMENT, which, whether we consider men in their private or collective capacities, is the first of all the blessings they can possess.

Again. Free governments are the only governments which give scope to the exertion of the powers of men, and are favourable to their improvement.—The members of free states, knowing their rights to be secure, and that they shall enjoy without molestation the fruits of every acquisition they can make, are encouraged and incited to industry. Being at liberty to push their researches as far as they can into all subjects, and to guide themselves by their own judgments in all their religious and civil concerns, while they allow others to do the same; error and superstition must lose ground. Conscious of being their own governors, bound to obey no laws except such as they have given their consent to, and subject to no controul from the arbitrary will of any of their fellow-citizens; they possess an elevation and force of mind which must make them great and happy.—How different is the situation of the vassals of despotic power?—Like cattle inured to the yoke, they are driven on in one track, afraid of speaking or even thinking on the most interesting points; looking up continually to a poor creature who is their master; their powers fettered; and some of the noblest springs of action in human nature rendered useless within them. There is nothing indeed more humiliating than that debasement of mankind which takes place in such situations.

It has been observed of free governments, that they are often torn by violent contests, which render them dreadful scenes of distress and anarchy. But it ought to be considered, that this has not been owing to the *nature* of such governments; but to their having been ill-modelled, and wanted those arrangements and supplemental checks which are necessary to constitute a wise form of government.—There is no reason to doubt, but that free governments may be so contrived, as to exclude the greatest part of the struggles and tumults which have arisen in free states; and, as far as they cannot be excluded, they will do more good than harm. They will occasion the display of powers, and produce exertions which can never be seen in the *still* scenes of life. They are the active efforts of health and vigour; and always tend to preserve and purify. Whereas, on the contrary, the *quiet* which

prevails under slavish governments, and which may seem to be a recommendation of them, proceeds from an ignominious tameness, and stagnation of the human faculties. It is the same with the *stillness* of midnight, or the *silence* and torpor of death.

Further. Free governments are the only governments which are consistent with the natural equality of mankind. This is a principle which, in my opinion, has been assumed, with the greatest reason, by some of the best writers on government. But the meaning of it is not, that all the subordinations in human life owe their existence to the institution of civil government. The superiorities and distinctions arising from the relation of parents to their children; from the differences in the personal qualities and abilities of men; and from servitudes founded on voluntary compacts, must have existed in a state of nature, and would now take place were all men so virtuous as to leave no occasion for civil government.—The maxim, therefore, “that all men are naturally equal,” refers to their state when grown up to maturity, and become independent agents, capable of acquiring property, and of directing their own conduct. And the sense of it is, that no one of them is constituted by the author of nature the vassal or subject of another, or has any right to give law to him, or, without his consent, to take away any part of his property, or to abridge him of his liberty.—In a state of nature, one man may have received benefits from another; and this would lay the person obliged under an obligation of gratitude, but it would not make his *benefactor* his *master*; or give him a right to judge for him what grateful returns he ought to make, and to extort these from him.—In a state of nature, also, one man may possess more strength, or more knowledge, or more property than another; and this would give him weight and influence; but it would not give him any degree of authority. There would not be one human being who would be bound to *obey* him.—A person likewise, in a state of nature, might let out his labour, or give up to another, on certain stipulated terms, the direction of his conduct; and this would so far bring him into the station of a *servant*; but being done by himself, and on such terms only as he chuses to consent to, it is an *instance* of his liberty; and he will always have it in his power to quit the service he has chosen, or to enter into another.

This equality or independence of men is one of their essential rights.^[58] It is the same with that equality or independence which now actually takes place among the different states or kingdoms of the world with respect to one another. Mankind came with this right from the hands of their Maker.—But all governments, which are not free, are totally inconsistent with it. They imply, that there are some of mankind who are born with an inherent right of dominion; and that the rest are born under an obligation to subjection; and that civil government, instead of being founded on any compact, is nothing but the exercise of this right. Some such sentiments seem to be now reviving in this country, and even to be growing fashionable. Most of the writers against the *Observations on Civil Liberty* argue on the supposition of a right in the *few* to govern the *many*^[59], independently of their own choice. Some of these writers have gone so far as to assert, in plain language, that civil governors derive their power immediately from the Deity; and are *his* agents or representatives, accountable to him only. And one courtly writer, in particular, has honoured them with the appellation of OUR POLITICAL GODS.—Probably, this is the idea of

civil governors entertained by the author of the *Remarks on the Acts of the Thirteenth Parliament of Great Britain*: for it is not easy to imagine on what other ground he can assert, that *property* and *civil rights* are derived from civil governors, and their *gifts* to mankind^[60].

If these sentiments are just, civil governors are indeed an awful order of beings; and it becomes us to enquire with anxiety who they are, and how we may distinguish them from the rest of mankind.—Shall we take for such all, whether *men* or *women*, whom we find in actual possession of civil power, whatever may be their characters; or however they may have acquired their power?—This is too extravagant to be asserted. It would legalize the *American Congress*.—There must then be some *pretenders* among civil governors; and it is necessary we should know how to discover them. It is incredible, that the Deity should not have made this easy to us, by some particular marks and distinctions, which point out to our notice his *real* vicegerents; just as he has pointed out man, by his figure and superior powers, to be the governor of the lower creatures.—In particular; these persons must be possessed of wisdom and goodness superior to those of the rest of mankind^[61]; for, without this, a grant of the powers they are supposed to possess would be nothing but a grant of power to injure and oppress, without remedy and without bounds. But this is a test by which they cannot be tried. It would leave but few of them in possession of the places they hold and the rights they claim. It is not in the high ranks of life, or among the great and mighty, that we are to seek wisdom and goodness. These love the shade, and fly from observation. They are to be found chiefly in the middle ranks of life, and among the contemplative and philosophical, who decline public employments, and look down with pity on the scramble for power among mankind, and the restlessness and misery of ambition.—It is proper to add, that it has never been hitherto understood that any superiority in intellectual and moral qualifications lays the foundation of a claim to *dominion*.

It is not then, by their superior endowments, that the Deity intended to point out to us the *few* whom he has destined to command the *many*.—But in what other manner could they be distinguished?—Must we embrace *Sir Robert Filmer's Patriarchal* scheme? One would have thought, that Mr. *Locke* has said more than enough to expose this stupid scheme. One of my opponents, however, has adopted it; and the necessary inference from it is that, as there is but now one lineal descendent from Adam's eldest son, there can be but one rightful monarch of the world.—But I will not abuse my reader's patience by saying more on this subject. I am sorry that in this country there should be any occasion for taking notice of principles so absurd, and at the same time so pernicious^[62]. I say, *PERNICIOUS*; for they imply, that King *James* the Second was deposed at the Revolution unlawfully and impiously; that the present King is an usurper; and that the present government, being derived from rebellion and treason, has no right to our allegiance.

Without all doubt, it is the choice of the people that makes civil governors.—The people are the spring of all civil power, and they have a right to modify it as they please.

Mankind being naturally equal according to the foregoing explanation, civil government, *in its genuine intention*, is an institution for maintaining that equality, by defending it against the encroachments of violence and tyranny. All the subordinations and distinctions

in society previous to its establishment, it leaves as it found them, only confirming and protecting them. It makes no man *master* of another. It elevates no person above his fellow citizens. On the contrary, it levels all by fixing all in a state of subjection to one common authority.—The authority of the laws.—The will of the community.—TAXES are *given*; not *imposed*. LAWS are regulations of common choice; not injunctions of superior power.—The authority of magistrates is the authority of the State; and their salaries are wages paid by the State for executing its will and doing its business. *They* do not govern the *State*. It is the *State* governs *them*; and had they just ideas of their own stations, they would consider themselves as no less properly *servants* of the Public, than the labourers who work upon its roads, or the soldiers who fight its battles.—A KING, in particular, is only the first executive officer; the creature of the law; and as much accountable and subject to the law as the meanest peasant^[63]. And were Kings properly attentive to their duty, and as anxious as they should be about performing it, they could not easily avoid sinking under the weight of their charge.

The account now given is, I am fully persuaded, in every particular, a true account of what civil government *ought* to be; and it teaches us plainly the great importance and excellence of FREE Government.—It is this only that answers the description I have given of government; that secures against oppression; that gives room for that elevation of spirit and that exertion of the human powers which is necessary to human improvement; or that is consistent with the ends of government, with the rights of mankind, and their natural equality and independence. *Free* Government, therefore, only, is *just* and *legitimate* government.

It follows farther from the preceding account, that no people can lawfully surrender or cede their Liberty. This must appear to any one who will consider, that when a people make such a cession, and the extensive powers of government are trusted to the discretion of any man or body of men, they part with the powers of life and death, and give themselves up a prey to oppression; that they make themselves the instrument of any injustice in which their rulers may chuse to employ them, by arming them against neighbouring states; and also, that they do this not only for *themselves*, but for their *posterity*.—I will add, that if such a cession has been made; or if through any causes, a people have lost their Liberty, they must have a right to emancipate themselves as soon as they can^[64]. In attempting this, indeed, they ought to consider the sufferings which may attend the struggle, and the evils which may arise from a defeat. But at the same time, it will be proper to consider, that the sufferings attending such a struggle must be temporary, whereas the evils to be avoided are permanent; and that Liberty is a blessing so inestimable, “that whenever there appears any probability of recovering it, a people should be willing to run many hazards, and even not to repine at the greatest expence of blood or treasure.”^[65]

I am very sensible, that civil government, as it actually exists in the world, by no means answers to the account I have given of it.—Instead of being an institution for guarding the weak against the strong, we find it an institution which makes the strong yet stronger, and

gives them a systematical power of oppressing. Instead of promoting virtue and restraining vice, encouraging free enquiry, establishing Liberty, and protecting alike all peaceable persons in the enjoyment of their civil and religious rights; we see a savage despotism, under its name, laying waste the earth, unreasonably elevating some and depressing others, discouraging improvement, and trampling upon every human right. That force of states, which ought to be applied only to their own defence, we see continually applied to the purpose of attack, and used to extend dominion by conquering neighbouring communities.—Civil governors consider not themselves *servants* but as *masters*. Their stations they think they hold in their own right. The people they reckon their property; and their possessions, a common *stock* from which they have a right to take what^[66] they will, and of which no more belongs to any individual than they are pleased to *leave* him.

What a miserable perversion is this of a most important institution? What a grievance is government so degenerated?—But this perversion furnishes no just argument against the truth of the account I have given. Similar degeneracies have prevailed in other instances of no less importance.

Reason in man, like the will of the community in the political world, was intended to give law to his whole conduct, and to be the supreme controuling power within him. The passions are subordinate powers, or an *executive force* under the direction of reason, kindly given to be, as it were, wind and tide to the vessel of life in its course through this world to future honour and felicity.—How different from this is the *actual* state of man?—Those powers which were destined to *govern* are made to *serve*; and those powers which were destined to *serve*, are allowed to *govern*. Passion guides human life; and most men make no other use of their reason than to justify whatever their interest or their inclinations determine them to do.

RELIGION likewise (the perfection of REASON) is, in its true nature, the inspirer of humanity and joy, and the spring of all that can be great and worthy in a character; and were we to see its genuine effects among mankind, we should see nothing but peace and hope and justice and kindness, founded on that regard to God and to his will, which is the noblest principle of action.—But how different an aspect does religion actually wear? What is it, too generally, in the practice of mankind, but a gloomy and cruel superstition, rendering them severe and sour; teaching them to compound for wickedness by punctuality in religious forms; and prompting them to harrass, persecute and exterminate one another?

The same perversion has taken place still more remarkably in CHRISTIANITY; the perfection of RELIGION.—JESUS CHRIST has established among Christians absolute equality. He has declared, that they have but *one* master, even himself; and that they are all *brethren*; and, therefore, has commanded them not to be called *masters*; and, instead of assuming authority over one another, to be ready to *wash one another's feet*^[67]. The princes of the Gentiles, he says, exercise lordship over them, and are flattered with^[68] high titles; but he has ordained, that it shall not be so amongst his followers; and that if any one of them would be *chief*, he must be the *servant* of all.—The clergy in his church are, by his appointment, no more than a body of men, chosen by the different societies of Christians, to conduct their worship, and to promote their spiritual improvement, without any other powers than those of persuasion and instruction. It is expressly directed, that they shall not

make themselves Lords of *God's heritage*, or exercise dominion over the faith of Christians, but be *helpers of their joy*^[69].—Who can, without astonishment, compare these appointments of Christianity, with the events which have happened in the Christian church?—That religion which thus inculcates humility and forbids all domination, and the end of which was to produce *peace on earth, and good-will among men*, has been turned into an occasion of animosities the most dreadful, and of ambition the most destructive. Notwithstanding its mildness and benignity, and the tendency it has to extinguish in the human breast pride and malevolence; it has been the means of arming the spirits of men with unrelenting fury against one another. Instead of *peace*, it has brought a *sword*; and its professors, instead of washing one another's feet, have endeavoured to tread on one another's necks.—The ministers, in particular, of Christianity, became, soon after its establishment, an independent body of spiritual rulers, nominating one another in perpetual succession; claiming, by divine right, the highest powers; and forming a *HIERARCHY*, which by degrees produced a despotism more extravagant than any that ever before existed on this earth.

A considerate person must find difficulties in enquiring into the causes and reasons of that depravity of human nature which has produced these evils, and rendered the best institutions liable to be so corrupted. This enquiry is much the same with the enquiry into the origin of moral evil, which has in all ages puzzled human wisdom. I have at present nothing to do with it. It is enough for my purpose in these observations, that the facts I have mentioned prove undeniably, that the state of civil government in the world affords no reason for concluding, that I have not given a just account of its true nature and origin.

I have shewn at the beginning of this section, that it is free government alone that can preserve from oppression, give security to the rights of a people, and answer the ends of government. It is necessary I should here observe, that I would not be understood to mean, that there can be no *kind* or *degree* of security for the rights of a people, under any government which cannot be denominated free. Even under an absolute Monarchy or an Aristocracy, there may be laws and customs which, having gained sacredness by time, may restrain oppression, and afford some important securities.—Under governments by representation, there must be still greater checks on oppression, provided the representation, though partial, is uncorrupt, and also frequently changed. In these circumstances, there may be so much of a common interest between the body of representatives and the people, and they may stand so much on one ground, that there will be no temptations to oppression.—The taxes which the representative body impose, they will be obliged themselves to pay; and the laws they make, they will make with the prospect of soon returning to the situation of those for whom they make them, and of being themselves governed by them.

It seems particularly worth notice here, that as far as there are any such checks under any government, they are the consequence of its partaking so far of Liberty, and that the security attending them is more or less in proportion as a government partakes more or less of Liberty. If, under an absolute government, fundamental laws and long established institutions give security in any instances, it is because they are held so sacred that a despot

is afraid to violate them; or, in other words, because a people, not being completely subdued, have still some controul over the government.—The like is more evidently true under mixed governments of which a house of representatives, fairly chosen and freely deliberating and resolving, forms a part; and it is one of the highest recommendations of such governments that, even when the representation is most imperfect, they have a tendency to give more security than any other governments.—Under other governments, it is the fear of exciting insurrections by contradicting established maxims, that restrains oppression. But, as, in general, a people will bear much, and are seldom driven to resistance till grievances become intolerable, their rulers can venture far without danger; and therefore, under such governments, are very imperfectly restrained. On the contrary; If there is an honest representation, vested with powers like to those of our *House of Commons*, the redress of grievances, as soon as they appear, will be always easily attainable, and the rulers of a state will be under a necessity of regarding the first beginnings of discontent.—Such, and greater than can be easily described, are the advantages of even an *imperfect representation* in a government. How great then must be the blessing of a COMPLETE REPRESENTATION?—^[70] It is this only gives full security; and that can properly denominate a people free.

It deserves to be added here, that as there can be no private character so abandoned as to want *all* virtue; so there can be no government so slavish, as to exclude *every* restraint upon oppression.—The most slavish and, therefore, the worst governments are those under which there is nothing to set bounds to oppression, besides the *discretion* and *humanity* of those who govern.—Of this kind are the following governments.

First, All governments *purely* despotic. These may be either monarchical, aristocratical. The latter are the worst, agreeably to a common observation, that it is better to have *one* master than *many*. The appetites of a single despot may be easily satiated; but this may be impossible where there is a multitude.

Secondly, All provincial governments.—The history of mankind proves these to be the worst of all governments; and that no oppression is equal to that which one people are capable of practising towards another. I have mentioned some of the reasons of this in the *Observations on Civil Liberty*, Part I. sect. 3. Bodies of men do not feel for one another as individuals do. The *odium* of a cruel action, when shared among many, is not regarded. The master of slaves working on a plantation, though he may keep them down to prevent their becoming strong enough to emancipate themselves, yet is led by *interest*, as well as *humanity*, to govern them with such moderation, as to preserve their use: But these causes will produce more of this good effect, when the slaves are under the eye of their proprietor, and form a part of his family, than when they are settled on a distant plantation, where he can know little of them, and is obliged to trust them to the management of rapacious servants.

It is particularly observable here, that *free* governments, though happier in themselves, are more oppressive to their provinces than despotic governments. Or, in other words, that the *subjects* of free^[71] states are worse slaves than the subjects of states not free. This is one

of the observations which Mr. HUME represents as an universal axiom in politicks^[72]. —“Though, says he, free governments have been commonly the most happy for those who partake of their freedom, yet are they the most oppressive and ruinous to their provinces; and this observation may be fixed as an universal axiom in politics. What cruel tyrants were the Romans over the world during the time of their commonwealth?—After the dissolution of the commonwealth the Roman yoke became easier upon the provinces, as *Tacitus* informs us; and it may be observed, that many of the worst Emperors (*Domitian*, for instance) were very careful to prevent all oppression of the provinces.—The oppression and tyranny of the *Carthaginians* over their subject states in *Africa* went so far, as we learn from *Polybius* (Lib. i. cap. 72.) that not content with exacting the *half* of all the produce of the ground, which of itself was a very high rent, they also loaded them with many other taxes.—If we pass from antient to modern times we shall always find the observation to hold. The provinces of absolute monarchies are always better treated than those of free states.”

Thirdly, Among the worst sorts of governments I reckon all governments by a corrupt representation.—There is no instance in which the trite observation is more true than in this, “that the best things when corrupted become the worst.” A corrupt representation is so far from being any *defence* against oppression, that it is a *support* to it. Long established customs, in this case, afford no security, because, under the sanction of such a representation, they may be easily undermined or counteracted; nor is there any injury to a people which, with the help of such an instrument, may not be committed with safety. It is not, however, every degree of corruption, that will destroy the use of a representation, and turn it into an evil so dreadful. In order to this, corruption must pass a certain limit. But *every degree* of it *tends* to this, saps the foundation of Liberty, and poisons the fountain of Legislation. And when it gets to its last stage, and has proceeded its utmost length: When, in particular, the means by which candidates get themselves chosen are such as admit the *worst*, but exclude the *best* men; a House of Representatives becomes little better than a sink into which is collected all that is most worthless and vile in a kingdom.—There cannot be a greater calamity than such a government.—It is impossible there should be a condition more wretched than that of a nation, once free, so degenerated.

CONCLUSION.

It is time to dismiss this subject. But I cannot take a final leave of it, (and probably of all subjects of this kind) without adding the following reflections on our own state in this kingdom.

It is well known, that MONTESQUIEU has paid the highest compliment to this country, by describing its constitution of government, in giving an account of a perfect government; and by drawing the character of its inhabitants, in giving an account of the manners and characters of a free people.—“All (he says) having, in free states, a share in government, and the laws not being made for some more than others, they consider themselves as *monarchs*, and are more properly *confederates than fellow-subjects*.—No one citizen being

subject to another, each sets a greater value on his Liberty than on the glory of any of his fellow-citizens.—Being independent, they are proud; for the pride of kings is founded on their independence.—They are in a constant ferment, and believe themselves in danger, even in those moments when they are most safe.—They reason; but it is indifferent whether they reason well or ill. It is sufficient that they *do* reason. Hence springs that Liberty which is their security.—This state, however, will lose its Liberty. It will perish, when the *Legislative* power shall become more corrupt than the *executive*.”^[73]

Such is the account which this great writer gave, many years ago, of the *British* constitution and people. We may learn from it, that we have nothing to fear from that disposition to examine every public measure, to censure ministers of state, and to be restless and clamorous, which has hitherto characterized us.—On the contrary; we shall have every thing to fear, when this disposition is lost. As soon as a people grow secure, and cease to be quick in taking alarms, they are undone. A free constitution of government cannot be preserved without an earnest and unremitting jealousy. Our Constitution, in particular, is so excellent, that it is the properest object of such a jealousy. For my own part, I admire so much the general frame and principles of it, that I could be almost satisfied with that representation of the kingdom, which forms the most important part of it, had I no other objection to this representation than its *inadequateness*. Did it consist of a body of men, fairly elected for a short term, by a number of independent persons, of all orders in every part of the kingdom, equal to the number of the present voters; and were it, after being elected, under no undue influence; it would be a security of such importance, that I should be less disposed to complain of the injustice done, by its inadequateness, to the greatest part of the kingdom by depriving them of one their natural and unalienable rights. To such a body of representatives we might commit, with confidence, the guardianship of our rights, knowing, that having one interest with the rest of the state, they could not violate them; or that if they ever did, a little time would bring the power of gaining redress without tumult or violence.—Happy the people so blessed.—If wise, they will endeavour, by every possible method, to preserve the purity of their representation; and, should it have degenerated, they will lose no time in effecting a reformation of it.—But if, unhappily, infection should have pervaded the whole mass of the state, and there should be no room to hope for any reformation, it will be still some consolation to reflect, that slavery, in all its rigour, will not immediately follow. Between the time in which the securities of Liberty are undermined, and its final subversion, there is commonly a flattering interval during which the *enjoyment* of Liberty may be continued, in consequence of fundamental laws and rooted habits which cannot be at once exterminated. And this interval is longer or shorter, according as the progress of corruption is more or less rapid; and men in power more or less attentive to improve favourable opportunities.—The government of this country, in particular, is so well balanced, and the institutions of our common law are so admirable, and have taken such deep root, that we can bear much decay before our liberties fall.—Fall, however, they must, if our public affairs do not soon take a new turn. That very evil, which, according to the great writer I have quoted, is to produce our ruin, we see working every where and increasing every day.—The following facts, among many others, shew too plainly whither we are tending and how far we are advanced.

First. It seems to me, that a general indifference is gaining ground fast among us.—This is the necessary effect of increasing luxury and dissipation; but there is another cause of it, which I think of with particular regret.—In consequence of having been often duped by false patriots; and found, that the leaders of opposition, when they get into places, forget all their former declarations; the nation has been led to a conviction, that all patriotism is imposture, and all opposition to the measures of government nothing but a struggle for power and its emoluments. The honest and independent part of the nation entertain at present most of this conviction; and, therefore, having few public men to whom they can look with confidence, they give up all zeal, and sink into inactivity and despondence.

Secondly. At the Revolution, the House of Commons acquired its just weight in the constitution; and, for some years afterwards, it was often giving much trouble to men in power. Of late, it is well known, that means have been tried and a system adopted for quieting it.—I will not say with what success—But I must say, that the men whose policy this has been, have struck at the very *heart* of public liberty, and are the worst traitors this kingdom ever saw.—“If ever, (says Judge *Blackstone*) it should happen, that the independency of any one of the three branches of our legislature should be lost; or that it should become subservient to the views of either of the other two, there would soon be an end of our constitution. The legislature would be changed from that which was originally set up by the general consent and fundamental act of the society; and such a change, however effected, is according to Mr. *Locke* (who perhaps carries his theory too far) at once an entire dissolution of the bands of government, and the people are thereby reduced to a state of anarchy, with liberty to constitute to themselves a new legislative power.”^[74]

Thirdly. Soon after the REVOLUTION, bills for triennial parliaments passed both Houses, in opposition to the court^[75]. At the ACCESSION, septennial parliaments were established. Since this last period, many attempts have been made, by the friends of the constitution, to restore triennial parliaments; and, formerly, it was not without difficulty that the ministry were able to defeat these attempts. The division in the House of Commons in 1735, on a bill for this purpose, was 247 to 184.—I need not say, that *now* all such attempts drop of themselves. So much are the sentiments of our representatives changed in this instance, that the motion for such a bill, annually made by a worthy member of the House of Commons, can scarcely produce a serious debate, or gain the least attention.—For several years, at the beginning of the last reign, the HOUSE OF COMMONS constantly passed *pension* and *place* bills, which were as constantly rejected by the HOUSE OF LORDS. At present, no one is so romantic as ever to think of introducing any such bills into the House of Commons.

Fourthly. Standing armies have in all ages been destructive to the Liberties of the states into which they have been admitted.—MONTESQUIEU^[76] observes, that the preservation of Liberty in ENGLAND requires, that it should have no land forces.—Dr. FERGUSON calls the establishment of standing armies “A FATAL REFINEMENT in the present state of civil government.”^[77]—Mr. *Hume* pronounces “our standing army a mortal distemper in the British constitution, of which it must *inevitably* perish.”^[78]—Formerly, the nation was apprehensive of this danger; and the *standing army* was a constant subject of warm debate in both Houses of Parliament. The principal reason then assigned for continuing it was, the security of the House of HANOVER against the friends of the *Pretender*. This is a reason

which now exists no more; the House of *Hanover* being so well established as not to want any such security.—The standing army also is now more numerous and formidable than ever; and yet all opposition to it is lost, and it is become in a manner a part of the constitution.

Fifthly. For many years after the accession the national debt was thought an evil so alarming, that the reduction of it was recommended every year from the throne to the attention of Parliament as an object of the last importance. The FUND appropriated to this purpose was called the ONLY HOPE of the kingdom; and when the practice of alienating it begun, it was reckoned a kind of sacrilege, and zealously opposed in the House of *Commons*, and protested against in the House of *Lords*. But now, though the debt is almost *tripled*, we sit under it with perfect indifference; and the sacred fund, which repeated laws had ordered to be applied *to no other purpose* than the redemption of it, is always alienated of course, and become a constant part of the current supplies, and much more an encouragement to dissipation than a preservative from bankruptcy.

Sixthly. Nothing is more the duty of the representatives of a nation than to keep a strict eye over the expenditure of the money granted for public services.—In the reign of King William, the House of Commons passed almost every year bills for appointing commissioners for taking, stating and examining the public accounts; and, particularly, the army and navy debts and contracts. In the reign of Queen Ann such bills became less frequent. But since the accession, only two motions have been made for such bills; one in 1715, and the other in 1741; and both were rejected.

Seventhly. I hope I may add, that there was a time when the kingdom could not have been brought to acquiesce in what was done in the case of the *Middlesex* election. This is a precedent which, by giving the House of Commons the power of excluding its members at discretion, and of introducing others in their room on a minority of votes, has a tendency to make it a self-created House, and to destroy entirely the right of representation: And a few more such precedents would completely overthrow the constitution.

Lastly. I cannot help mentioning here the addition which has been lately made to the power of the Crown, by throwing into its hands the *East-India Company*. Nothing more unfavourable to the security of public Liberty has been done since the REVOLUTION: And should our statesmen, thus strengthened by the patronage of the EAST, be farther strengthened by the conquest and patronage of the WEST, they will indeed have no small reason for triumph; and there will be little left to protect us against the encroachments and usurpations of power. ROME sunk into slavery, in consequence of enlarging its territories, and becoming the center of the wealth of conquered provinces, and the seat of universal empire. It seems the appointment of Providence, that free states, when, not contented with *self-government*, and prompted by the love of domination, they make themselves masters of other states, shall lose Liberty at the same time that they take it away; and, by subduing, be themselves subdued. Distant and dependent provinces can be governed only by a military force. And a military force which governs abroad, will soon govern at home. The *Romans* were so sensible of this, that they made it treason for any of their generals to march their armies over the *Rubicon* into *Italy*. CÆSAR, therefore, when he came to this river, hesitated; but he passed it, and enslaved his country.

“Among the circumstances (says Dr. FERGUSON) which in the event of national prosperity and in the result of commercial arts, lead to the establishment of despotism, there is none perhaps that arrives at this termination with so sure an aim as the perpetual enlargement of territory. In every state the freedom of its members depends on the balance and adjustment of its interior parts; and the existence of any such freedom among mankind depends on the balance of nations. In the progress of conquest those who are subdued are said to have lost their liberties. But, from the history of mankind, to conquer or to be conquered has appeared in effect the same.”^[79]

Many more facts of this kind might easily be enumerated; but these are sufficient.—They shew, with sad evidence, how fast we have, for some time, been advancing towards the greatest of all public calamities.

We may, also, infer from the preceding observations, that there is only one way in which our deliverance is possible; and that is, by RESTORING OUR GRAND NATIONAL SECURITY. This is the object which our great men in opposition ought to hold forth to the kingdom, and to bind themselves by some decisive tests to do all they can to obtain. That patriotism must be spurious which does not carry its views principally to this. Without it, nothing is of great importance to the kingdom; and even an accommodation with *America* would only preserve a limb, and save from present danger, while a gangrene was left to consume the vitals.

But, probably, we are gone too far; and corruption has struck its roots too deep to leave us much room for hope.—Mr. HUME has observed,^[80] that as the affairs of this country are not likely to take a turn favourable to the establishment of a perfect plan of Liberty, “an absolute monarchy is the easiest death, the true EUTHANASIA of the British constitution.”—If this observation is just, our constitution (should no great calamity intervene) is likely, in some future period, to receive a very quiet dissolution.—At present, however, it must be acknowledged, that we enjoy a degree of Liberty, civil and religious, which has seldom been paralleled among mankind. We ought to rejoice in this happiness; and to be graceful to that benevolent disposer of all events who blesses us with it. But, at the same time, our hearts must bleed when we reflect, that, the supports of it having given way, it is little more than a *sufferance* which we owe to the temper of the times; the lenity of our governors; and some awe, in which the friends of despotism are still held, by the voice and spirit of the uncorrupted part of the kingdom.—May these causes, if no better securities can be hoped for, long delay our fate.

It must not be forgotten, that all I have now said is meant on the supposition, that our affairs will proceed smoothly till, by a common and natural progress, we have gone the round of other nations once free, and are brought to their end.—But it is possible this may not happen.—Our circumstances are singular; and give us reason to fear, that we have before us a death which will not be easy or common.

PART II.
CONTAINING
REMARKS on some Particulars in a SPEECH at opening the BUDGET in April
1776.

SECT. I.
Supplemental Observations on the Surplus of the Revenue; the Quantity of Coin in the
Kingdom; and Paper-Credit.

It is well known, that the great minister who presides over our finances, took occasion, at opening the Budget in April last, to enter into a particular account of the state of the nation. In this account, he represented us as in a condition the most sound and happy; our trade and revenue flourishing; our common people well provided for; our debts and taxes light; our current specie sufficiently ample; our paper-circulation safe; and the BANK, in particular, as little less firm and durable than the world.

This account, so encouraging and flattering, was generally understood to be given in designed opposition to another account very different, which had been given in the *Observations on Civil Liberty*.—It cannot, therefore, I hope, be thought too presuming in me to offer the following remarks in my own defence.

I have grounded my opinion of the hazardous state of the kingdom, partly on the smallness of the surplus in the revenue, and the nature and circumstances of our paper-circulation, compared with the quantity of *specie* in the kingdom, and the weight of our debts and taxes.

The surplus of the revenue I have made out in two different methods; and by a deduction so minute, that it is, I think, scarcely possible it should be materially wrong. One of these methods brings it out 338,759*l. per ann.* ^[81]; and the other, 300,000*l. per ann.* supposing the expence of calling in the gold coin, and the profits of lotteries excluded; the land-tax at three shillings in the pound; and the peace establishment the same that it has been at a medium for eleven years, from 1764 to 1775.

Nothing more was said in opposition to this, than a general intimation, that had it not been for the war with *America*, the peace-establishment for the navy would have been reduced, and a sufficient surplus gained (including lotteries) to enable parliament to pay off a million every year of the public debt.

I am very sensible that reductions of the public expences and improvements in the revenue are practicable, which would give such a surplus. But I am afraid, they will never

take place. Nor can I think it proper, in determining what permanent surplus we possess, to include those pernicious profits of lotteries, by which infinitely more is upon the whole lost than gained; or, to form our judgment of the expence of *future* years, by any other rule than the medium expence of *past* years.—It would, however, give little consolation, were there a certainty that, had peace continued, a MILLION annually of the public debt would have been discharged. This would have made a very slow progress in discharging our debts. A million every year discharged in peace, and eight or ten millions every year added in war, would leave us under the necessity of breaking at last. But hitherto we have not proceeded in a course so favourable. The great person to whom I refer, must know, that in 1772, he announced in the *House of Commons*, his intention to pay off a *million and a half* every year, and SEVENTEEN MILLIONS in ten years; that yet only 2.800,000*l.* was paid off in the three subsequent years; and that, on account of the increase of the *navy* and *civil-list* debts, there has not been in fact the ability (without the help of lotteries) to pay half that sum.

In page 74th of the *Observations on Civil Liberty*, I have said, “that it has appeared lately, that the gold specie of the kingdom, is no more than about TWELVE MILLIONS AND A HALF.”—This assertion has been much controverted; and it is therefore necessary I should give a distinct account of the reasons on which it was grounded.

I had learnt from unquestionable authority, that the quantity of gold coin brought into the mint, by the Acts of Parliament and Proclamations in 1773 and 1774, was about NINE MILLIONS^[82]; or as much as, when recoin'd, amounted nearly to that sum.—I find also, that it was expected by the best judges, that the proclamation lately issued would bring in about *three* millions. These two sums make up *twelve* millions; and they include the gold coin of *Ireland*. Let this be estimated at a^[83] million; and the whole gold coin of *Britain*, to be brought in by all the calls, will be ELEVEN millions; and none will remain, except that part which was deficient less than a grain in a guinea, and remained in the kingdom, at the time the coin Act took effect in June 1773. We are here left entirely to conjecture. But it should be remembered, that for many years before 1773, the heavy coin was catch'd up as soon as issued, and either clipped, or melted down and exported; and that from hence arose such a scarcity of heavy coin, that, in some counties, heavy guineas might be disposed of at a premium.—In such circumstances, an allowance of about a million and a half, for the coin deficient less than a grain in a guinea before the coin Act in 1773, seems to be sufficient; and therefore, it might, I think, with reason be said, that it appeared that the gold coin of the kingdom was about TWELVE MILLIONS AND A HALF.

But there is another reason, by which I have been convinced, that this is a moderate estimate.

The quantity of gold coin, deficient between three and six grains in a guinea, was 4.800,000*l.* and this, when recoin'd, made 4.600,000*l.*—The coin deficient less than three grains could not have been so much, for the following reasons. First, new coin being rougher, wears faster than old coin; and therefore, does not remain so long in any given degree of deficiency.—Secondly, coin, deficient less than three grains, is subject to several

peculiar causes of diminution and destruction.—Clipping and sweating remove part of it to greater degrees of deficiency; and part is destroyed by being melted down and exported; whereas, lighter coin is diminished only by being worn^[84].

These reasons seem to prove, that if the gold coin, deficient in June 1773 less than three grains, is estimated at *five millions*, (that is, at a little more than the coin deficient between three and six grains) it will be rated rather too high; and the conclusion will be, that the whole of our gold coin (exclusive of the *Irish*) might possibly be *less*, but could not have been *much more*, than the sum at which I have reckoned it.

Such have been the facts and arguments by which my judgment has been determined in this instance.—But it must not be overlooked, that it helps only to ascertain the quantity of *circulating* specie in the kingdom, as distinguished from that which is *hoarded*. When the *Observations on Civil Liberty* were published, I did not apprehend, that this part of the coin could be considerable enough to deserve regard. But the contrary has lately appeared. The Proclamation issued last summer, and which it was expected would bring in about three millions, has, I am informed, brought in about *six millions and a half*. This exceeds the sum at which I have been led to state the *whole* gold coin deficient less than three grains; and proves, that several millions must have been hoarded^[85]. Nor, I think, will this appear incredible, when it is recollected, that only gold coin under three grains of deficiency is likely to be hoarded; and also, that distrust of the *Funds* and of Paper-money has a particular tendency to increase the practice of hoarding.

Assisted, therefore, by this new light, I would now state the *circulating* gold coin of the kingdom before 1773, nearly as I did before; and call it TWELVE OR THIRTEEN MILLIONS. But the whole gold coin (including the hoarded part) I would reckon at SIXTEEN OR SEVENTEEN MILLIONS^[86].

An account very different from this was given at opening the Budget; the substance of which I will state as faithfully as my memory will enable me; and just as I understood it.

“From the beginning of the year 1772, to the 23d of April last, 13.200,000*l.* had been coined at the Tower; and on that day there was 600,000*l.* more ready to be coined.—All this, (it was intimated) is now left in the kingdom. The last Proclamation, it was expected, would bring in three millions more; which, added to the coin deficient less than a grain resting in the kingdom at the time of the Coin Act in 1773, and issued before 1772, will make the whole, EIGHTEEN OR NINETEEN MILLIONS^[87].”

On this account I would observe,

First. That if just, it proves that, in 1773, a *third* at least of the *circulating* coin was in the best state possible. For the late calls having shewn, that there was then, in *Britain* and *Ireland*, no more than about twelve *millions* deficient *more* than a grain; six millions (that is, a third of eighteen millions) or seven millions (that is, more than a third of nineteen

millions) must have been deficient *less* than a grain.^[88]—It will also follow, (since the quantity brought in by the first call is known to have been 4,900,000l.) that but little more than a *fourth* could have been deficient so much as six grains, or a shilling in a guinea.—No person can think this credible who recollects the distress of traffic, and the complaints of the kingdom before 1773.

Secondly. The truth of the account I have stated depends, in a great measure, on the supposition, that all the gold coined since the beginning of 1772 is now in the kingdom. I cannot conceive on what grounds this was taken for granted.—From the beginning of 1772 to June 1773, the practice of clipping was more prevalent than it had ever been. During the greatest part of 1772, the price of gold was so much above mint price, that a profit, from 2 to 4 *per cent.* might be got by melting heavy guineas^[89]. And, in February in that year, the price of gold was at 4l. 1s. 6d. per ounce; and 4½ *per cent.* might be got by melting heavy guineas. Instead, therefore, of believing, that all the gold coined since the beginning of 1772 remains with us; I think it almost certain, that the greatest part of all coined during the first year and a half of this period, has been either clipped or melted into bullion. That part which was clipped has been recoined; and that part which was melted has been either recoined or exported; and, therefore, neither has made any addition to the coin of the kingdom.

These observations demonstrate, that the amount of the gold coin at the time of the Coin Act in 1773, must have been near the sum at which I have reckoned it. There may, for ought I know, have been an increase since; but I shall not believe there has, till I know, whether the coin brought in by the last proclamation has been all recoined and issued. But this cannot be expected; for should it be done, FOUR MILLIONS^[90] more will have been coined and issued, than has been brought in.—The truth, therefore, may be, that the coinage, since June 1773, has been carried on only to provide a supply of new coin to be exchanged for old; in which case, the quantity of coin in the kingdom, even according to this method of computing it, will come out nearly the same with that which I have given.

After all, let the *specie* of the kingdom, including the silver, be allowed to be as considerable as some have asserted; or about four millions more than I have reckoned it; the difference arising from hence will not be of particular consequence; and it will be still true, that notwithstanding all our increase of trade and apparent opulence, the *specie* of the kingdom^[91] is not much more than it was at the *Revolution*.—What then is all the rest of our circulating cash? What is it keeps up rents; feeds our luxury; pays our taxes; supplies the revenue, and supports government?—Paper, chiefly, emitted, not only at the Bank, but by tradesmen, merchants, and bankers in every corner of the kingdom.—And is this a solid and permanent support?^[92] Is there, in the annals of the world, another instance of a great kingdom so supported?—The causes are numberless which may suddenly destroy it; and were this to happen, we should fall at once, with a debt of 140 millions upon us, to the state we were in before the REVOLUTION.—Imagination cannot paint to itself the shock this would give.—I must repeat here what I have said in the *Observations on Civil Liberty*, page 73, &c. that we should think of nothing but guarding ourselves against the danger of such a

situation, by restricting our paper currency, and gradually discharging our public debts.—In giving this admonition, I look upon myself as doing my country one of the best offices in my power; and acting in the character of one who calls to another to awake who is sleeping over a precipice.—But I know I call in vain.—The great minister who directs our finances has assured us all is well; and, under this persuasion, we are advancing, with unsuspecting and careless speed, to the catastrophe I have pointed out; and pursuing measures which must increase the difficulty of avoiding it, and the distress attending it.

Among these measures I have mentioned the present new coinage.—Before this coinage, I have observed, the light money always remained, because nothing could be got by melting and exporting it. But now, as soon as gold rises to the price it bore for many years before 1773, the melters and exporters of coin will be saved the trouble of selection; and every piece on which they can lay their hands will be proper for their purpose.—It seems, therefore, obvious, that, in consequence of this measure, all our coin may be carried away, and the whole superstructure of paper supported by it, break down, before we are aware of any danger.

I will take this opportunity to add, that this measure will at the same time increase our paper. This has been the consequence of the two former calls; but it will probably be more the consequence of the last call. For, as no coin is now to be current which is more than a grain deficient; and as also a great deal of it is already at or near that limit; the vexation attending it will be so intolerable, that it will be generally cried down, and paper substituted in its room.—Certain it is, that nothing can prevent this evil, but another evil; I mean, the deficient coin forcing itself again into circulation, and furnishing clippers with more employment than ever; and, consequently, a return, with increased violence, of the confusion and distress which took place before the Coin Act in 1773.—This, indeed, will be much the least of the two evils; nor, in my opinion, are there any methods of preventing the diminution of the coin, which will not produce greater evils, except such alterations in its form^[93] as shall render clipping less practicable, joined to the execution of severe laws against clippers, and a strict vigilance in detecting them.

Upon the whole, it seems to me, that enough had been done by the first coin act to restore the gold coin; and that all which has been done since, at the expence of about 650,000*l.* has been nothing but a preparation of the coin for melters and exporters, to the dreadful hazard of the kingdom.—These are my present views of this subject. But I must say, that I suspect my own judgment in this instance. The noble Lord, who is furnished with infinitely more of the means of information than I am, intimated, if I remember rightly, that there is no such danger: And though I did not understand the reason he assigned for this assertion, I must believe, that, in a matter so particularly interesting to the kingdom, he has gone upon the best evidence.

SECT. II.

Of the State of the Nation; and the War with America.

At the beginning of the preceding section, I have taken notice of the flattering account which was given, at opening the Budget in April last, of the state of the kingdom with

respect to its commerce, revenue, and opulence. On that account I shall beg leave to offer the following reflections.

First. The observations in the last section prove, I think, that it is not so well supported by facts, as there is reason to wish. I am sensible, indeed, that we never made a more gay and splendid appearance. But no considerate person will draw much encouragement from hence. That pride and security; that luxury, venality and dissipation which give us this appearance, are melancholy symptoms; and have hitherto been the forerunners of distress and calamity.

Secondly. When this account was given there was a particular end to be answered by it. Additional taxes were to be imposed; and it was necessary to reconcile the public to the prospect of a great increase of its burthens, in order to carry on the war with *America*.—On other occasions, different accounts had been given. In order to prove the justice of taxing the *Americans*, the weight of our own taxes had been often insisted upon; and the difficulty of raising a sufficient force among ourselves to reduce them, had been urged as a reason for seeking and employing, at a great expence, the assistance of foreign powers. On such occasions, I have heard our unhappy and embarrassed situation mentioned; and, at the end of the last session of Parliament, one of our greatest men, whose opinion in favour of coercion, had contributed to bring us into our present situation, acknowledged the distress attending it, and represented the vessel of the state as having never before rode in so dangerous a storm.—This is, without doubt, the truth. But, if the account on which I am remarking was just, we were then safe and happy; nor was the vessel of the state ever wafted by more gentle and prosperous gales.

But the reflection which, on this occasion, has given me most pain is the following.

If, without *America*, we can be in a state so flourishing, a war to reduce *America* must be totally inexcuseable. I wish I could engage attention to this. War is a dreadful evil; and those who involve a people in it *needlessly*, will find they have much to answer for. Nothing can ever justify it, but the necessity of it to secure some *essential* interest against unjust attacks. But, it seems, there is no interest to be secured by the present war. The revenue has never flourished so much, as since *America* has been rendered hostile to us; and it is now reckoned by many a decided point, that little depends on the *American* trade. It follows then, that if the end of the present war is to “obtain a revenue,” it is a revenue we do not want; if “to maintain authority,” it is an authority of no use to us.—Must not humanity shudder at such a war?—Why not let *America* alone, if we can subsist without it?—Why carry fire and sword into a happy country to do ourselves no good?

Some of the very persons who depreciate the value of the colonies, as a support to our revenue and finances, yet say, that we are now under a necessity of reducing them, or perishing. I wish such persons would give an account of the causes which, according to their ideas, create this dreadful necessity. Is it the same that led *Haman* of old to reckon all his honours and treasures nothing to him, while *Mordecai* the Jew would not bow to him?—Or, are we become so luxurious, that luxury even in the revenue is become necessary to

us; and so depraved, that, like many individuals in private life, having lost *self*-dominion, we cannot subsist without dominion over *others*?

It must not be forgotten, that I speak here on the supposition, that it is possible for this country to be as safe and prosperous without *America* as some have asserted, and as was implied in what was said at opening the last Budget.—This is far from being my own opinion.—Some time or other we shall, in all probability, feel severely, in our commerce and finances, the loss of the colonies. As a source of revenue they are, I think, of great importance to us; but they are still more important as supports to our navy, and an aid to us in our wars. It appears now, that there is a force among them so formidable and so growing, that, with its assistance, any of the great *European* powers may soon make themselves masters of all the *West-Indies* and *North-America*; and nothing ought to be more alarming to us than that our natural enemies see this, and are influenced by it.—With the colonies united to us, we might be the greatest and happiest nation that ever existed. But with the colonies separated from us, and in alliance with *France* and *Spain*, we are no more a people.—They appear, therefore, to be indeed worth any price.—Our existence depends on keeping them.—But *HOW* are they to be kept?—Most certainly, not by forcing them to unconditional submission at the expence of many millions of money and rivers of blood. The resolution to attempt this, is a melancholy instance of that infatuation, which sometimes influences the councils of kingdoms. It is attempting to keep them by a method, which, if it succeeds, will destroy their use, and make them not worth the having; and which, if it does *not* succeed, will throw them into the scale of rival powers, kindle a general war, and undo the empire.

The extension of our territories in *America*, during the last war, increased the expence of our *peace*-establishment, from 2.400,000*l. per ann.* to four millions *per ann.*—Almost all the provinces in *America*, which used to be ours, are now to be conquered. Let the expence of this be stated at 25 or 30 millions; or, at a capital bearing a million *per annum* interest.—*America* recovered by the sword must be kept by the sword, and forts and garrisons must be maintained in every province to awe the wretched inhabitants, and to hold them in subjection. This will create another addition of expence; and both together cannot, I suppose, be stated at less than two millions *per annum*.—But how is such an increase of revenue to be procured?—The colonies, desolated and impoverished, will yield no revenue.—The surplusses of the sinking fund have, for many years, formed a necessary part of the current and ordinary supplies.—It must, therefore, be drawn from *new taxes*.—But can the kingdom bear such an increase of taxes? Or, if it can, where shall we find a surplus for discharging an enormous debt of above 160 millions? And what will be our condition, when the next foreign war shall add two millions *per annum* more to our expences?—Indeed this is a frightful prospect. But it will be rendered infinitely more frightful by carrying our views to that increase of the power of the Crown which will arise from the increase of the army, from the disposal of new places without number, and the patronage of the whole continent of *North-America*.

These consequences have been stated moderately on the supposition, that we shall succeed in subduing *America*; and that, while we are doing it, our natural enemies will

neglect the opportunity offered them, and continue to satisfy themselves with assisting *America indirectly*.—But should the contrary happen.—I need not say what will follow.

Some time ago this horrid danger might have been avoided, and the colonies kept by the easiest means.—By a prudent lenity and moderation.—By receiving their petitions.—By giving up the right we claim to dispose of their property, and to alter their governments.—By guarantying to them, in these respects, a legislative independence;^[94] and establishing them in the possession of equal liberty with ourselves.—This a great and magnanimous nation should have done. This, since the commencement of hostilities, would have brought them back to their former habits of respect and subordination; and might have bound them to us for ever.

MONTESQUIEU has observed, that ENGLAND, in planting colonies, should have *commerce*, not *dominion*, in view; the increase of dominion being incompatible with the security of public liberty.—Every advantage that could arise from commerce they have offered us without reserve; and their language to us has been—“Restrict us, as much as you please, in *acquiring* property by regulating our trade for your advantage; but claim not the disposal of that property after it has been acquired.—Be satisfied with the authority you exercised over us before the present reign.—PLACE US WHERE WE WERE IN 1763.”—On these terms they have repeatedly sued for a reconciliation. In return, we have denounced them *Rebels*; and with our fleets in their ports, and our bayonets at their breasts, have left them no other alternative than to acknowledge our supremacy, and give up rights they think most sacred; or stand on the defensive, and appeal to heaven.—They have chosen the latter.

In this situation, if our feelings for *others* do not make us tremble, our feelings for *ourselves* soon may.—Should we suffer the consequences I have intimated, our pride will be humbled.—We shall admire the plans of moderation and equity which, without bloodshed or danger, would have kept *America*.—We shall wish for the happiness of former times; and remember, with anguish, the measures which many of us lately offered their lives and fortunes to support.

I must not conclude these observations, without taking particular notice of a charge against the colonies, which has been much insisted on.—“They have, it is said, always had independency in view; and it is this, chiefly, that has produced their present resistance.”—It is scarcely possible there should be a more unreasonable charge. Without all doubt, our connexion with them might have been preserved for ages to come, (perhaps *for ever*) by wise and liberal treatment. Let any one read a pamphlet published in 1761, by Dr. *Franklin*, and entitled, *The interest of Great Britain with respect to her Colonies*; and let him deny this if he can.—Before the present quarrel, there prevailed among them the purest affection for this country, and the warmest attachment to the House of HANOVER. And since the present quarrel begun, and not longer ago than the beginning of last winter, independency was generally dreaded among them. There is the fullest evidence for this; and all who are best acquainted with *America*, must know it to be true. As a specimen of this evidence, and of the temper of *America* till the period I have mentioned, I will just recite the following facts.

In the resolutions of the *Assembly*, which met at *Philadelphia*, July 15, 1774, after making the strongest professions of affection to *Britain*, and duty to their sovereign, they declare their abhorrence of every idea of an unconstitutional independence on the parent state.—An assembly of delegates from all the towns of the county of *Suffolk* (of which *Boston* is the capital) delivered in September 1774, to General Gage, a remonstrance against fortifying *Boston-neck*. In this remonstrance, they totally disclaim every wish of independence.—The same is done in the instructions given by the several colonies to the first deputies chosen for a general Congress.—In the petition of the first Congress to the King, they declare they shall always, carefully and zealously, endeavour to support and maintain their connexion with *Great Britain*. In the memorial of the same Congress to the people of this country, they repeat this assurance.—In the order of the *Congress*, which met in May 1775, for a general fast, they call upon all *America* to unite in beseeching the Almighty to avert the judgments with which they were threatened, and to *bless their rightful Sovereign*, that so *a reconciliation might be brought about with the parent state*.—And in their declaration setting forth the causes of their taking arms, they warn us, “that, should they find it necessary, foreign assistance was undoubtedly attainable;” but at the same time declare, “that they did not mean to dissolve the union which had so long and so happily subsisted between them and this country; that necessity had not yet driven them to that desperate measure, or induced them to excite any other nation to war against us; and that they had not raised armies with ambitious designs of forming independent states, but solely for the protection of their property against violence, and the defence of that freedom which was their birth-right.”—In the instructions, delivered Nov. 9, 1775, by a committee of the representatives of the province of *Pensylvania*, to their delegates in the third general congress; they enjoin them, in behalf of the province, “utterly to reject any propositions, should such be made, that might lead to a separation from the mother country.”

What reason can there be for thinking the colonies not sincere in all these declarations?—In truth; it was not possible they should be otherwise than sincere; for so little did they think of war, at the time when most of these declarations were made, that they were totally unprepared for it: And, even when hostilities were begun at *LEXINGTON* in April 1775, they were so destitute of every instrument of defence, particularly ammunition, that *half* the force which is now invading them, would have been sufficient to conquer them at once.

I will beg leave to add on this occasion, the following extracts from letters, written by some leading persons at *NEW-YORK*, the genuineness of which may be depended on.

New-York, August 3d. 1775.—“I am sensible of the many artifices and falshoods which have been used to biass the minds of your countrymen, who believe evil reports of us; and, particularly, that we are aiming at independence.—Of this be assured, that even *HANCOCK* and *ADAMS* are averse to independence. There was a lye current last week, that the congress had finally agreed upon independence to take place the 10th of March next, should not our grievances be redressed before that time. I wrote to one of our delegates, to enquire whether this report was true. In his answer he declares, upon his honour, that he believed there was not one man in the Congress who would dare to make a motion tending to independence; or, that if any one did, two could not be found to support the motion.—None but those who are on the spot can conceive what a spirit is gone forth among all ranks and

degrees of men.—We deserve to be free. It is a heavy sacrifice we are making. Trade is at an end. We expect our city to be knocked about our ears. But I declare solemnly, I will submit to all, and die in a log-house in the wilds of America, and be free; rather than flourish in servitude.”—In a subsequent letter, dated NEW-YORK, Jan. 3d. 1776, the same person writes as follows:—“It is in the power of the ministry to annihilate all our disputes, by restoring us to the situation we were in at the conclusion of the last war. If this is done, we shall immediately return to our allegiance. But if not, be assured, that an awful scene will be opened in the spring. Let me repeat a caution to you; believe not the insinuations of our enemies, who would make you all believe that *independence* is what *America* aims at. It is an insidious falshood. Madmen will be found in all large societies. It would be singular, were there none such to be found in a body of three millions of people and upwards. But they are like a grain of sand on the sea shore.”

Another person writes thus.—NEW-YORK, Nov. 2d. 1775. “We love and honour our King. He has no subjects in all his dominions more attached to his person, family and government, notwithstanding the epithet of rebels bestowed upon us. No charge is more unjust than the charge that we desire an independence on *Great Britain*. Ninety-nine in a hundred of the inhabitants of this country deprecate this as the heaviest of evils. But if administration will persist in their present measures, this will and must inevitably be the event; for submit to the present claims of the British parliament, while unrepresented in it, you may be assured they never will. And what deserves notice is, that all the violence of *Britain* only unites the *Americans* still more firmly together, and renders them more determined to be free or die. This spirit is unconquerable by violence; but they may be easily won by kindness.—Serious people of all denominations among us, episcopal and non-episcopal, are much employed in prayer to God for the success of the present struggles of *America*. They consider their cause as the cause of God; and as such, they humbly commit it to him, confident of success in the end, whatever blood or treasure it may cost them.”

Since these letters were written, the sentiments of *America*, with respect to *independence*, have been much altered. But it should be remembered, that this alteration has been owing entirely to OURSELVES; I mean, to the measures of the last winter and summer, and particularly the following.

First. The rejection of the petition from the Congress brought over by Governor PENN. In this petition they professed, in strong language, that they still retained their loyalty to the King and attachment to this country; and only prayed, “that they might be directed to some mode by which the united applications of the Colonies might be improved into a happy reconciliation; and that, in the mean time, some measures might be taken for preventing their farther destruction, and for repealing such statutes as more immediately distressed them.”—The Colonies had often petitioned before without being heard. They had, therefore, little hope from this application; and meant that, if rejected, it should be their last.

Secondly. The last prohibitory bill, by which our protection of them was withdrawn; their ships and effects confiscated; and open war declared against them.

Thirdly. Employing *foreign* troops to subdue them. This produced a greater effect in *America* than is commonly imagined. And it is remarkable, that even the writers in *America* who answered the pamphlet entitled COMMON SENSE, acknowledge, that should the *British* ministry have recourse to foreign aid, it might become^[95] proper to follow their example, and to embrace the necessity of resolving upon *independence*.

I have, further, reason to believe, that the answer to the last petition of the City of London, presented in March 1776,^[96] had no small share in producing the same effect.

By these measures, and others of the same kind, those Colonists who had all along most dreaded and abhorred independence, were at last reconciled to it.—I can, however, say from particular information, that even so lately as the month of June last, an accommodation might have been obtained with the Colonies, on a reasonable and moderate plan; without giving up any one of the rights claimed by this country, except that of altering their charters and disposing of their property.—And, as it would have restored peace and prevented the desolating calamities into which *America* and *Britain* are now plunged, no friend to humanity can avoid regretting that such a plan, when offered, was not adopted. But our rulers preferred coercion and conquest: And the consequence has been, that the Colonies, after being goaded and irritated to the utmost, resolved to disengage themselves, and directed the CONGRESS to declare them Independent States; which was accordingly done, as is well-known, on the 4th of July last. Since that time, they have, probably, been making applications to foreign powers; and it is to be feared, that *now* we may in vain offer them the very terms for which they once sued.—All this is the necessary consequence of the principles by which human nature is governed.—There was a time when, perhaps, we should ourselves have acted with more violence; and, instead of remonstrating and praying, as *America* has done, have refused the most advantageous terms when offered with defiance, and under an awe from a military force. Had King WILLIAM, instead of coming over by invitation to deliver us, invaded us; and, at the head of an army, offered us the BILL OF RIGHTS; we should, perhaps, have spurned at it; and considered LIBERTY itself as no better than SLAVERY, when enjoyed as a boon from an insolent conqueror.—But we have all along acted as if we thought the people of *America* did not possess the feelings and passions of *men*, much less of *Englishmen*.—It is indeed strange our ministers did not long ago see, that they had mistaken the proper method of treating the Colonies; and that though they might be gradually *influenced* to any thing, they could be dragooned to nothing.—Had King *James the Second* avoided violence; and been a little more patient and secret in pursuing his views, he might have gained all he wished for. But an eager haste and an open avowal of the odious claims of prerogative ruined him.—This has been since considered; and a plan both here and in *Ireland*,^[97] less *expeditious* indeed, but more *sure*, has been pursued. And had the same plan been pursued in *America*, the whole empire might in time have been brought, without a struggle, to rest itself quietly in the lap of corruption and slavery. It may, therefore, in the issue prove happy to the Colonies, that they have not been thought worthy of any such cautious treatment. Our coercive measures have done all for them that their warmest patriots could have desired. They have united them among themselves, and bound them together under one government. They have checked them in the career of vicious luxury; guarded them against any farther infection from hence; taught

them to seek all their resources within themselves; instructed them in the use of arms; and led them to form a naval and military power which may, perhaps, in time, become superior to any force that can attack them, and prove the means of preserving from invasion and violence, a government of justice and virtue, to which the oppressed in every quarter of the globe may fly, and find peace, protection, and liberty.—In short. These measures have, in all probability, hastened that disruption of the *new* from the *old* world, which will begin a new *æra* in the annals of mankind;^[98] and produce a revolution more important, perhaps, than any that has happened in human affairs.—As a friend, therefore, to the general interest of mankind, I ought, probably, to rejoice in these measures; and to bless that all-governing Providence, which, often, out of the evil intended by wretched mortals, brings the greatest good.—But when I consider the *present* sufferings which these measures must occasion, and the *catastrophe* with which they threaten GREAT-BRITAIN; I am shocked; and feel myself incapable of looking forward, without distress, to the fate of an empire, once united and happy, but now torn to pieces, and falling a sacrifice to despotic violence and blindness. Under the impressions of these sentiments, and dreading the awful *crisis* before us, I cannot help, however impotent my voice, crying out to this country—“Make no longer war against yourselves. Withdraw your armies from your Colonies. Offer your power to them as a *protecting*, not a *destroying* power. Grant the security they desire to their property and charters; and renounce those notions of dignity, which lead you to prefer the exactions of force to the offerings of gratitude, and to hazard *every thing* to gain *nothing*.—By such wisdom and equity *America* may, perhaps, be still preserved; and that dreadful breach healed, which your enemies are viewing with triumph, and all *Europe* with astonishment.”

But what am I doing?—At the moment I am writing this, the possibility of a reconciliation may be lost.—*America* may have formed an alliance with FRANCE—And the die may be cast.

SECT. III.

Of Schemes for raising Money by Public Loans.

The following observations were occasioned by the scheme for the public loan of last year, proposed to the *House of Commons* at opening the *Budget*, and afterwards agreed to. I have thought proper, therefore, to introduce these observations here; and, as they appear to me of some importance, I shall endeavour to explain them with as much care and perspicuity as possible.

In order to raise *two millions*, the Legislature created last year a new capital in the 3 *per cent.* consolidated annuities, of 2.150,000*l.* Every share of 77*l.* 10*s.* in this new capital was valued at 65*l.* 17*s.* 6*d.* or every 100*l.* stock at 85*l.* For the whole new capital, therefore, Government has received in money, 1.827,500*l.*—The remaining sum, necessary to make up *two millions*, was a compensation advanced to Government for relinquishing the profits of a Lottery, consisting of 60,000 tickets, each of the same value with 10*l.* *three per cent.* stock; and might have been obtained, without annexing the Lottery to the annuities.—This new capital the public may be obliged to redeem at *par*; in which case, 322,500*l.* (being the

difference between 1.827,500 and 2.150,000*l.*) that is 17½ *per cent.* will be paid by the public more than it has received.—In this transaction, therefore, Government has acted as a private person would act, who, in order to raise 850*l.* on a mortgage, should promise for it 30*l.* *per ann.* (or 3½ *per cent.* interest) and 150*l.* (that is 17½ *per cent.* nearly) over and above the principal, when the mortgage came to be discharged.—Such a *premium* (should the mortgage be discharged soon) would be very extravagant; but, if *never* to be discharged, would be insignificant: Nor would it be possible to account for such a bargain, except by supposing, that the borrower, instead of meaning to repay the sum he borrowed, chose to continue *always* paying interest for it, or returning 30*l.* annually for 850*l.* once advanced; and to subject his estate, for that purpose, to an eternal incumbrance.

The public, I have said, may be obliged to discharge the new capital, lately created, at *par*; and, consequently, to suffer a loss by this year's loan of 322,500*l.* This will, undoubtedly, happen, should the nation prosper, and the public debts be put into a regular and fixed course of redemption; for the 3 *per cents.* would then soon rise to *par*.

The extravagance I have pointed out is the more to be regretted, because it was entirely needless; for the same sum might as well have been borrowed by schemes, which would not have subjected the public to the necessity of paying, when the loan came to be discharged, more money than had been received.—For instance. The sum advanced for the new capital of 2.150,000*l.* *three per cent.* annuities, might have been procured by offering 3½ *per cent.* on a capital equal to the sum advanced; or on 1.827,500*l.* And the remainder, necessary to make up *two millions*, might have been obtained by the profits of a Lottery, consisting of 60,000 tickets each worth 10*l.* in MONEY. This scheme would have differed but little in value from the other; and the interest, or the annuity payable by the public, would have been 63,962*l.* at 3½ *per cent.* on a capital of 1.827,500*l.*; ^[99] instead of 64,500*l.* at 3 *per cent.* on a capital of 2.150,000*l.*

When a 100*l.* *stock* in the 3 *per cent.* annuities is sold at 85¾, purchasers get 3½ *per cent.* interest for their money. When, therefore, the 3 *per cents* are at this price, 3½ *per cents* would be at *par*; and a capital of 1.827,500*l.* might be redeemed by the public, (without losing any advantage arising from its debts being at a discount,) by paying this sum; or by returning the money borrowed ^[100]. But in the same circumstances, a capital of 2.150,000*l.* in the 3 *per cent.* annuities, for which 85*l.* *per cent.* or, in the whole, 1.827,500*l.* had been received, could not be redeemed without offering 86 or 87 *per cent.* for it; nor, therefore, without paying *more* than the original sum borrowed.—When the 3 *per cents* are near *par*, there would be a loss of 322,500*l.* in redeeming the same capital; whereas, the former annuities, for which the same sum had been advanced, might be always discharged by either paying the very sum ^[101] advanced, or a *less sum*.—In all possible circumstances, therefore, these annuities would have the advantage.—But we never, when contracting debts, carry our views to the discharge of the principal; and the consequences must prove fatal.

It is necessary I should observe, in justice to our present ministers, that in adapting the scheme on which I have made these remarks, they have only followed the example of

former ministers; and that, however needless a waste it occasions of public money, there is reason to fear it will be followed by future ministers; for the increase of difficulty and expence in redeeming the public debts, which such schemes create, being to be felt *hereafter*, it makes no impression, and is little regarded.

In 1759, the fifth year of the last war, the lenders of 6.600,000*l.* were granted a capital in the 3 *per cents* of 7.590,000*l.* together with the profits of the Lottery. Subtract from the sum advanced, 150,000*l.* for the profits of the Lottery; and it will appear, that, in this instance, 1.140,000*l.* was *needlessly* added to the capital; there being no reason to doubt, but that lenders would then have readily advanced 6.600,000*l.* for a capital of 6.450,000*l.* bearing 3½ *per cent.* ^[102] interest, provided the profits of a Lottery were annexed; instead of advancing the same sum for a nominal capital near 18 *per cent.* greater, but bearing 3 *per cent.* interest.

Again. In 1762, in order to raise 12 millions, every contributor of 80*l.* was entitled to a capital of 100*l.* to bear 4 *per cent.* interest for 19 years; and afterwards to become redeemable, and to bear interest at 3 *per cent.* And for the remaining 20*l.* necessary to make up a 100*l.* contributors were entitled to an annuity of 1*l.* for 98 years.—This was the same with promising, for every 60*l.* advanced, a 100*l.* capital in the 3 *per cent.* annuities, not redeemable for 19 years; and, for the remaining 40*l.* necessary to make up 100*l.* an annuity of 2*l.* for 19 years; and, after that, of 1*l.* for 79 years.

By this scheme no less a sum than 4.800,000*l.* was needlessly added to the capital of the public debts. For, had 5 *per cent.* been offered for every 60*l.* advanced; ^[103] and, for the remaining 40*l.* an annuity of 2*l.* during 19 years, and afterwards of 1*l.* for 79 years; equal encouragement would have been given to contributors; the annuity payable by the public would have been the same; and the new capital would have been 7.200,000*l.* bearing 5 *per cent.* interest; which might, at any time, have been redeemed with a saving of a million *per ann.* (the first payment to be made immediately) in *five* years and a *quarter*: Whereas now, this debt will not become redeemable till 1781; and then, it will form a capital of 12 millions, not capable of being redeemed with the same saving, in less than *nine* years and a half. Five millions and a quarter, ^[104] therefore, will be wasted.

The capital of 12 millions four *per cent.* annuities created this year, were made irredeemable for 19 years, to guard against the effects of an apprehension then unavoidable, that an interest of 4 *per cent.* would, if the capitals were redeemable, be reduced, whenever peace came, to 3 *per cent.* as had been done in the preceding peace.—But this end would have been answered, with equal effect and more advantage to the public, by pledging the faith of Parliament, that whatever interest was promised on any capital, should not be *reduced* for 19 years; or (which comes to the same) that the capital should not be *redeemed*, during that term, by borrowing money, and creating a new capital bearing *lower* interest. This would have placed capitals bearing any interest on the same footing *nearly* with the 3 *per cent.* annuities; and an assurance, that no part of them should be discharged, without at the same time discharging an equal capital in the 3 *per cents*, would have placed them

entirely on the same footing.—Had it, however, been necessary, on account of the fear of a reduction of interest, to make the capital here proposed bearing 5 *per cent*, and the capitals to be mentioned presently bearing 4 *per cent*. irredeemable, (and therefore the interest irreducible) for any term (suppose till 1781); had, I say, even this been necessary (and more could not have been necessary) no advantage of great consequence would have been lost. These capitals would, during that term, have been exactly the same burden on the public with the capitals which were actually created; and after that term, they would have been a much less burden, as will be shewn at the end of this section.

Again. In January 1760, eight millions were borrowed by offering for this sum a capital of eight millions to carry 4 *per cent*. interest for 21 years, and afterwards 3 *per cent*, together with a *premium* of 240,000*l*. stock carrying the same interest, and divided into 80,000*l*. lottery tickets, each 3*l*. stock.—This was the same with offering, for 80*l*. of every 100*l*. advanced, a capital of 100*l*. in the 3 *per cent*. annuities, ^[105] not redeemable for 21 years; and for the remainder besides a lottery ticket an annuity of 1*l*. for 21 years.—The same sum might have been raised by offering 4 *per cent*, irreducible during 21 years, or 3*l*. *per ann*. for 75*l*. of every 100*l*. advanced, and for the remaining 25*l*. an annuity of 1*l*. for 21 years, together with a lottery ticket.—In this case, the new capital, instead of 8,240,000*l*. bearing 3 *per cent*. not subject to redemption, and having an annuity of 82,400*l*. annexed to it, for 21 years; would have been 6,000,000*l*. bearing 4 *per cent*. with the same annuity annexed, but redeemable at *any* time; and 240,000*l*. ^[106] bearing 4 *per cent*. for 21 years, and afterwards 3 *per cent*.

By the scheme likewise in 1761, for borrowing 11,400,000*l*. a capital of 100*l*. bearing 3 *per cent*. interest, was given for part of every 100*l*. advanced; and for the other part, an annuity of 1*l*. 2*s*. 6*d*. for 99 years. Had, in this case, 75*l*. FOUR *per cent*. STOCK, been offered for 75*l*. in *money*; and, for the remaining 25*l*. necessary to make up 100*l*. the said annuity of 1*l*. 2*s*. 6*d*. for 99 years; ^[107] the whole annual charge would have been the same; subscribers could not have been sensible of any difference in the encouragement offered them; and the public, in paying its debts, would have saved 2,850,000*l*.

There was also this year 600,000*l*. received by government for 600,000*l*. stock, carrying 3 *per cent*. interest, and divided into 60,000 lottery tickets, each worth 10*l*. in stock.—As 150,000*l*. of this sum was paid for the profits of the lottery; and as 4 *per cent*. could not at this time be made of money laid out in the funds, it is out of doubt, that the same sum (or 600,000*l*.) would have been given for 450,000*l*. stock, carrying 4 *per cent*. and divided into 60,000 lottery tickets, each of the same value with 7*l*. 10*s*. four *per cent*. stock; and thus 150,000*l*. more would have been saved.

In like manner; it will appear, that *three millions*, raised in 1757, by creating a capital of *three millions* bearing 3 *per cent*. interest, ^[108] with a life annuity annexed of 1*l*. 2*s*. 6*d*. for every 100*l*. advanced; and also, *four millions and a half* raised in 1758, by creating a capital of *four millions and a half*, bearing 3 *per cent*. with an annuity of a *half per cent*. annexed for 24 years; might have been raised by creating, in the former case, a capital of two millions and a half, and, in the latter, a capital of four millions, bearing 3½ *per cent*. interest, with the same annuities annexed.

In 1758, the additional sum of half a million was borrowed at 3 *per cent.* by a lottery, consisting of 50,000 tickets, each of the same real value with 10*l.* *stock*, but sold to the subscribers for 10*l.* in *money*^[109]. As the 3 *per cents.* were now at 94, 3¼ *per cent.* could not be made of money laid out in the funds. Therefore, 350,000*l.* of this half million might have been raised at 3½ *per cent.* interest, and the remaining 150,000*l.* might have been procured for the profits of the lottery. Or (which is the same) 10*l.* each would have been given for 50,000 tickets, of the same value taken all together, with 350,000*l.* carrying 3½ *per cent.* interest; and a capital of 150,000*l.* would have been saved.

The same is true of the lottery, by which half a million was borrowed in 1756.—A million and a half also borrowed in this year, by creating a capital of a million and a half, bearing 3½ *per cent.* for 15 years, and afterwards 3 *per cent.* might have been procured, by creating a capital of only 1,400,000*l.* bearing 3¼ *per cent.* interest. But I will not examine any more of these loans. Let us next consider how detrimental they have been to the public.

All the savings and surplus monies of the kingdom from 1763 to 1775, have amounted (deducting 400,000*l.* gained by debts discharged at a discount) to 10,739,793*l.* and with this sum 11,139,793*l.* of the national debt has been paid off. (See the *Postscript* at the end of this work.)—The needless addition which was made to the capital of the national debt, by injudicious schemes for raising money during the last war, exceeded this sum; and it follows, therefore, that the whole surplus of the revenue for twelve years, has not been sufficient to discharge the capital, to which in the last war a right was given, without receiving any money for it, or obtaining the least advantage by it.

The attentive reader must have observed, as I have gone along, that the extravagance on which I have insisted, has been the consequence of not separating, in the schemes for raising money, the premiums (consisting of short and long and life-annuities) from the perpetual annuities, and requiring them to be distinctly paid for; and also, of not attending to the difference between selling an *annuity*, and selling the *stock* for which that annuity is paid. When a 100*l.* *stock* in the 3 *per cents.* is at any given price, there is no one who would not be glad to purchase from government a perpetual annuity of 3*l.* at any *lower price*^[110]. But when government sells the *stock*, instead of the *annuity*, at that price, the public is injured in the manner I have represented.

Would any one, in selling any part of his property, offer to make the purchase-money an outstanding principal which he shall be bound to return?^[111] This is what government has uniformly done in its proposals for raising money.—Were I to desire any sum to be lent me *without* interest, offering as a *compensation* or *premium* an annuity for a given term, or an advantageous contract; the proposal would not be accepted, unless the annuity or the contract was worth the sum to be lent; and I should make myself a debtor to the purchaser for the very thing which I sold to him.—The absurdity would be the same, if instead of borrowing *without* interest, I should in the same way borrow at a *low* interest. In every such bargain, I should bring upon myself a needless debt, equal to the value of the *premium*.

I am afraid I have tired my reader's attention on this subject. But as much depends upon a right understanding of it, I am anxious about shewing it in every possible light. In hopes,

therefore, of being attended to a little longer, I shall endeavour to give a yet fuller view of this subject, and to prove its importance, by recapitulating some of the foregoing remarks, and comparing the *present* state of our public debts, with that which would have been their state, had the errors I have pointed out, in the schemes of the public loans during the last war, been avoided.

The sum of 12 millions, borrowed in 1762, would have left, at the end of the war, a redeemable capital of 7.200,000*l.* carrying 5 *per cent.* interest, with an annuity added of 120,000*l.* for 18 years from January 1763, instead of an *ir*-redeemable capital of 12 millions carrying 4 *per cent.* for 18 years, and afterwards 3 *per cent.* See [page 95, &c.](#)

The sum of 12 millions, borrowed in 1761, would have left a redeemable capital of 9 millions bearing 4 *per cent.* interest, with a long annuity annexed; instead of 12 millions with the same annuity annexed. [Page 100.](#)

The sum of 8 millions, borrowed in 1760, would have left a redeemable capital of 6.180,000*l.* carrying 4 *per cent.* with an annuity of 82,400*l.* for 18 years from January 1763; instead of 8.240,000*l.* *ir*-redeemable, and carrying 4 *per cent.* for 18 years, and afterwards 3 *per cent.* [Page 99.](#)

The sum of 6.600,000*l.* borrowed in 1759, would have left a capital of 6.450,000*l.* carrying 3½ *per cent.*; instead of a capital of 7.590,000*l.* carrying 3 *per cent.* [Page 95.](#)

The sum of five millions, borrowed in 1758, would have left a redeemable capital of 4.350,000*l.* bearing 3½ *per cent.* interest, with an annuity added of 22,500*l.* for 19 years from Midsummer 1763; instead of a capital of five millions irredeemable, and carrying 3½ *per cent.* for 19 years, and afterwards 3 *per cent.* [Page 101, 102, &c.](#)

The sum of three millions, borrowed in 1757, would have left a capital of two millions and a half bearing 3½ *per cent.* interest, instead of three millions bearing 3 *per cent.* interest.—And two millions, borrowed in 1756, instead of leaving a capital of two millions, would have left a capital of only 1.750,000*l.* [Page 104.](#)

The result, therefore, is, that the whole capital of the public debts would have been, at the end of the last war, near TWELVE MILLIONS AND A HALF less than it was; and at the same time, the annual charge not greater.—In 1775, the difference would have been much more considerable. For,

Supposing all the same sums applied since the last war to the discharge of the public debts that we know have been so applied, not only the *capital* but the *annual charge* would have been considerably less.—This will be demonstrated by the following account.

It may be learnt from the *Postscript* at the end of this Tract, that 11.139,793*l.* of the public debts has been discharged with 10.739,793*l.* of the public money, derived from various savings and surplusses. All this money *might* have been employed, and without doubt *would* have been employed, in redeeming first the capital I have mentioned in [Page 107](#), of 7.200,000*l.* bearing 5 *per cent.* interest; and afterwards, the two other capitals there mentioned of 9 millions, and of 6.180,000*l.* bearing 4 *per cent.* interest. It would have been

sufficient to redeem the whole of the former capital, and also 3.539,793l. of the two last capitals; which would have set free for the public an annual charge of 501,591l.—To this sum must be added an annual charge of 256,000l. saved in 1765, 1766, 1767 and 1768, by redeeming, with 6.400,000l. borrowed in those years, so much of a debt unfunded at the end of the war, but afterwards funded, and carrying 4 *per cent.* interest. And also 12,537l. *per ann.* gained by changing 1.253,700l. from an interest of 4 to 3 *per cent.* and 7,500l. *per ann.* gained in 1771, by the ceasing of an annuity of a $\frac{1}{2}$ *per cent.* annexed for 15 years to 1.500,000l. borrowed in 1756.—The total decrease, therefore, of the annual charge would have been 777,628l.—But at the same time there would have been the following additions to it.—First. There would have been the addition of 199,500l. *per ann.* being the interest of 6.650,000l. borrowed since 1763.—Secondly. Of 69,187l. *per ann.* being the interest of 2.306,240l. applied, in 1764 and 1765, to the discharge of German and army debts derived from the war, and which might have been converted into a funded capital bearing 3 *per cent.* interest, by borrowing money to pay them off, in order to avoid diverting money employed in redeeming capitals bearing 5 *per cent.*

These two sums make 268,687l. which deducted from 777,628l. leaves 508,941l. And this is the clear annual charge which would have been saved to the public, exclusive of the savings which have arisen from the falling in of life-annuities.

But the annual charge that has in fact been saved is only 382,129^[112].—The difference is 126,812l.—With this additional saving, as it fell in and increased from time to time during the course of 12 years, a million more of the public debts bearing 4 *per cent.* might have been redeemed; and this would have made a farther saving of 40,000l. *per ann.* It appears, therefore, upon the whole, that had the mistakes I have pointed out, in the loans of the last war, been avoided, (all other public measures remaining the same) the nation would *now* have had 13 millions and a half less to pay, in order to redeem its debts; and also an annual charge upon it 166,812l. less.

All this supposes that the capitals of the 5 *per cent.* and 4 *per cent.* annuities in the improved schemes were redeemable.—But had they been made irredeemable till 1781, as mentioned in [page 98](#), the public would not have been much less benefited: For, soon after 1781, these 5 and 4 *per cents.* (the former 7.200,000l. and the latter 15.180,000l.) might have been easily reduced to $3\frac{1}{2}$ *per cent.* and this would have occasioned an annual saving of 183,900l. over and above the savings, which would have arisen in that year, from the extinction of the short annuities.

I will add, that had these annuities been made not only *irredeemable* till 1781; but *irreducible* for some time beyond that year, in the manner intimated in [page 98](#), the public would still have been greatly benefited. For, the annual charge upon it would not at any time have been greater; but its debts would have been 12 millions and a half less; and, at the same time, they would have been capable of being discharged with more expedition, and at a less expence, than a smaller quantity of its present debts. See the note, [page 94](#).

I cannot doubt but that all who will attentively examine these observations will find them to be just.—I have confined my enquiries to the loans of the last war. Had I extended them

to all our loans, it would have appeared, that a greater sum than most persons can think credible, [\[113\]](#) has been such a needless addition to our debts as I have explained; or, “a pure and uncompensated loss, which might have been avoided by only framing differently the schemes of the public loans.”

PART III.

SECT. I.

ABSTRACT of the EXPORTS from and IMPORTS to GREAT-BRITAIN from 1697 to 1773, with REMARKS.

	IMPORTS.	EXPORTS.	EXCESS of EXPORTS.
ANNUAL MEDIUM	£.	£.	£.
for FOUR YEARS ended at 1700	4.956,975	6.034,724	1.077,749 or 10/56 of the exports.
For FIVE YEARS ended at 1710	5.321,717	6.713,246	1.391,529 or 10/48 of the exports.
at 1715	5.304,343	7.401,946	2.097,603 or 10/35 of the exports.
at 1725	6.628,279	9.663,527	3.035,248 or 10/32 of the exports.
at 1735	7.470,454	11.855,226	4.384,772 or 10/27 of the exports.
at 1745	7.363,079	11.922,982	4.559,903 or 10/26 of the exports.
at 1750	7.429,739	12.877,129	5.447,390 or 10/24 of the exports.
at 1755	8.264,834	13.406,530	5.141,696 or 10/26 of the exports.
at 1760	8.877,144	14.253,377	5.376,233 or 10/26 of the exports.
For FOUR YEARS ended at 1764	10.110,870	15.793,158	5.682,228 or 10/28 of the exports.
For NINE YEARS ended at 1773	11.996,769	14.814,074	2.817,305 or 10/53 of the exports.

This ABSTRACT has been formed from the accounts delivered annually to the HOUSE OF COMMONS, and lately published by Sir CHARLES WHITWORTH.

In order to draw just inferences from it, the following particulars should be remembered.—First. The EXPORTS in the *Custom-House* entries are, for reasons well-known, too high. This excess has, by some of the best judges, been reckoned at a million *per ann.*—Secondly. The IMPORTS are too low, no smuggled commodities being included in them. This deficiency has been estimated at another million *per ann.* But, in order to be sure of keeping within bounds, I will take both at a *million and a half per ann.*—Thirdly. The interest of the national debt paid to foreigners; the money spent in foreign countries by *English* travellers; the bullion consumed in manufactures; and the wear of the current coin, cannot, perhaps, amount to much less than two millions *per ann.* I will, however, take them at no more than the annual sum which has been commonly supposed to be due to foreigners from our funds; or, a *million and a half.*—In order, therefore, to find the GRAND BALANCE OF PAYMENT between *Britain* and the rest of the world *since* the last war, all these sums (making up THREE MILLIONS) must be deducted from the excess of the exports.—But, in order to find the same balance *before* the end of the last war, less must be deducted, in proportion as the national debt and the foreign trade were *then* less than they are *now*.

If the foregoing Abstract is examined with a due regard to this rule, it will be found that, from^[114] 1710 to 1764, the BALANCE OF PAYMENT must have been in favour of *Britain*; and that consequently, there must have been, during that period, an influx of money into the kingdom.—It was this, together with the increase of our paper, that produced the rapid fall of interest which began a few years before the *Accession*. And it was this also that enabled us to bear the great expence of the two last wars, and the loss of those enormous sums which were sent out of the kingdom to pay foreign subsidies, and to support armies on the continent.

Before 1710 it appears to be doubtful, whether the excess of the exports was such as brought any money into the kingdom; but it seems certain, that it could not have been such as in any degree compensated that drain of the public cash, which was occasioned by the continental wars of King *William* and Queen *Ann*. In consequence of this, the quantity of *specie* in the kingdom must have been greatly diminished; and Dr. *Davenant* computes that in 1711 it was nine millions less than at the *Revolution*. Hence proceeded the high rate of interest; the unproductiveness of the taxes; and the difficulties which government met with in raising money during those two wars: And there is reason to believe, these difficulties would have been insurmountable, had not a substitute for *specie* been provided by the establishment of the *Bank*.

In the interval of peace between the two last wars, or from 1748 to 1755, the balance in favour of *Britain* was at the highest; and this contributed to raise the stocks^[115] to such a price, as enabled government to reduce the interest of the public debts from 4 to 3 *per cent*.

But the observation I here intended principally to make is, that the *balance*, since the year 1764, appears, from the preceding abstract, to have been *against* *BRITAIN*; and that this accounts for the high price of bullion, the scarcity of *specie*, and the distress of the *Bank* from that year to 1773.

It deserves farther to be observed that, while the exports were decreasing from 1764 to 1773, the IMPORTS appear to have increased faster than ever: And the fact is, that since 1760, a greater addition has been made to them, than had been made during the whole time from the *Accession* to that year.—This is a striking proof that luxury has been for some years increasing with rapidity among us; and it is worth adding, that the productiveness of the taxes has kept pace, as might have been expected, with this increase of luxury, both the CUSTOMS and EXCISES having brought in lately, near 250,000*l. per ann.* each, more than they did twelve years ago.—It should be attended to, that this improvement of the revenue must be the effect solely of an increased consumption occasioned by luxury; the taxes, ever since the end of the last war, having been nearly the same.

The *exports* from 1710 to 1764 went on increasing constantly. I have observed, that from 1764 to 1773 they have decreased. One reason of this has been, the decline of the PORTUGAL trade; the exports to that country having fallen, since 1760, from 1.200,000*l. per ann.* to 600,000*l. per ann.*—Another reason has been the check which a wretched policy has been giving, ever since 1763, to our trade with the Colonies. This trade had for many years contributed more than any other trade towards raising our *exports*; and even in the period between 1763 and 1774, notwithstanding the checks it received, it went on increasing, and

produced a balance in our favour of a million and a half *per ann.* But since 1774 it has been entirely lost. *Before* this loss, the balance of payment between us and the rest of the world was, according to the account I have given, *against* us. Undoubtedly then, it was a loss we could by no means have sustained, had it not been for the seasonable interposition of some very particular causes. Time will shew whether these causes are of a permanent nature, or temporary and accidental.

SECT. II.

HISTORICAL DEDUCTION *and* ANALYSIS *of the* PUBLIC DEBTS.

STATE *and* AMOUNT *of the* NATIONAL DEBT, at Midsummer, 1775, with the Charges of Management.

CAPITALS and ANNUITIES transferable at the BANK OF ENGLAND.

	Principal. £.	Interest. £.
CAPITAL of their original Fund—See Note (1) p. 125	3.200,000	96,000
EXCHEQUER bills, by 3d of <i>Geo. I.</i> c. 8th, bearing originally 5 <i>per cent.</i> interest, but reduced to 4 <i>per cent.</i> in 1727, and to 3 <i>per cent.</i> by 23d <i>George II.</i> 1749. See Note (2) p. 126	500,000	15,000
Purchased of the SOUTH SEA COMPANY in 1722,—reduced from 6 to 5 <i>per cent.</i> interest in 1717; from 5 to 4. <i>per cent.</i> in 1727; and to 3 <i>per cent.</i> by 23d of <i>George II.</i> 1749.—See Note (3)	4.000,000	120,000
Lent to government at 4 <i>per cent.</i> in 1728, charged on the surplus of the fund for the lottery in 1714, and reduced to 3 <i>per cent.</i> by 23d <i>George II.</i> 1749	1.250,000	37,500
Lent at 4 <i>per cent.</i> in 1727; charged on the duties on coals; and reduced to 3 <i>per cent.</i> by 23d of <i>George II.</i> 1749	1.750,000	52,500
Lent at 4 <i>per cent.</i> in 1746; charged on licences for retailing spirituous liquors; and reduced to 3 <i>per cent.</i> by 23d <i>Geo. II.</i> 1749	986,800	29,604
Amount of Bank capital	11.686,800	350,604
See Note (4) p. 126 .		
Charge of management 5,898 <i>l.</i> <i>per ann.</i>		

BANK ANNUITIES.

Consolidated 4 <i>per cent.</i> annuities due April 5, and October 10 —See Note (5)	18.986,300	759,452
These annuities fall to 3 <i>per cent.</i> in January, 1781.		
Charge of management 10,680 <i>l.</i> <i>per ann.</i>		

Annuities at 3½ <i>per cent.</i> 1758, due <i>Jan.</i> 5, and <i>July</i> 5.—These annuities fall to 3 <i>per cent.</i> in 1782	4.500,000	157,500
See an account of them in p. 101 .		
Charge of management 2,805 <i>l.</i> <i>per ann.</i> including management on half a million raised at the same time by a lottery, and made a part of the consolidated 3 <i>per cents.</i> CONSOLIDATED 3 <i>per cent.</i> annuities due <i>Jan.</i> 5, and <i>July</i> 5. See Note(6)	38.251,696	1.147,551
Management 21,087 <i>l.</i> <i>per ann.</i>		
REDUCED 3 <i>per cent.</i> annuities, due <i>April</i> 5, and <i>Oct.</i> 10. See Note (7)	18.353,774	550,613
Charge of management 10,324 <i>l.</i> <i>per ann.</i>		
Three <i>per cent.</i> 1726, due <i>Jan.</i> 5, and <i>July</i> 5, charged on the deduction of 6 <i>d.</i> <i>per</i> pound on all pensions from the civil list; and on all payments from the crown, except to the navy and army—See Note (8) p. 128	1.000,000	30,000
Management 360 <i>l.</i> <i>per ann.</i>		
Long annuity due <i>Jan.</i> 5, and <i>July</i> 5	6.702,750	248,250
The remaining term from <i>Jan.</i> 1776, is 84 years—See Note (9) p. 128 .		
Management 3,491 <i>l.</i> <i>per ann.</i>		
CAPITALS and ANNUITIES transferable at the SOUTH SEA HOUSE.		
SOUTH SEA STOCK	3.662,784	109,884
The dividend on this stock, at 3½ <i>per cent.</i> is 128,197 <i>l.</i> 9 <i>s.</i> —Due <i>Jan.</i> 5, and <i>July</i> 5.		
SOUTH SEA 3 <i>per cent.</i> OLD Annuities due <i>April</i> 5, and <i>Oct.</i> 10	11.907,470	357,224
Three <i>per cent.</i> NEW Annuities due <i>Jan.</i> 5, and <i>July</i> 5	8.494,830	254,845
Three <i>per cent.</i> 1751, due <i>Jan.</i> 5, and <i>July</i> 5	1.919,600	57,588
Charge of management on <i>South Sea</i> Stock and Annuities 15,100 <i>l.</i> <i>per ann.</i> —See Note (10).		
CAPITAL and ANNUITIES transferable at the INDIA HOUSE.		
EAST INDIA STOCK	3.200,000	96,000
Interest 3 <i>per cent.</i>		
<i>Dividend</i> 7 <i>per cent.</i> 224,000 <i>l.</i> due <i>Jan.</i> 5, and <i>July</i> 5.—See Note (11).		
Charge of management 1.285 <i>l.</i> 14 <i>s.</i> 4 <i>d.</i>		
EAST INDIA Annuity due <i>April</i> 5, and <i>Oct.</i> 10, charged on the surplus of a tax on spirituous liquors. See Note (12)	1.000,000	30,000
Management 401 <i>l.</i> 15 <i>s.</i> 8 <i>d.</i> <i>per ann.</i>		

ANNUITIES payable at the EXCHEQUER.

ANNUITIES for 96 and 99 years, from various dates, in the time of King <i>William</i> and Queen <i>Anne</i> —See Note (13)	1.836,276	131,203
Salaries to Exchequer officers, and management—5,250 <i>l. per ann.</i>		
Annuities for lives, with benefit of survivorship, granted by the 4th of <i>William</i> and <i>Mary</i> , 1693.—These annuities are not yet extinct, and they are valued at three years purchase	22,781	7,567
Annuities for lives, with benefit of survivorship, by an Act of the 5th of <i>Geo. III.</i> 1765—See Note (14)	18,000	540
Annuities for two or three lives, granted in 1694.—Also, Annuities on single lives 1745, 1746, and 1757.—See Note (15)—Their original amount, taken all together, was very nearly 124,000 <i>l.</i> but they are now reduced by deaths to near 80,000 <i>l.</i> and their value is here taken at 10 years purchase	800,000	80,000
UNFUNDED DEBT, consisting of Exchequer bills, (1.250,000 <i>l.</i>) Navy debt, (1.850,000 <i>l.</i>) and Civil list debt, supposed 500,000 <i>l.</i> —The interest is reckoned at 2 <i>per cent.</i> —See Note (16)	3.600,000	72,000
Salaries to Exchequer bill officers 650 <i>l. per ann.</i>		
Total of the principal and interest of the National Debt at <i>Midsummer</i> 1775.	£. 135.943,051	4.440,821

NOTES containing an EXPLANATION and HISTORY of the different Articles in the foregoing Account.

NOTE (1)—BANK OLD CAPITAL. See [Page 119](#).—The BANK was established in 1694. Their original capital was 1.200,000*l.* bearing 8 *per cent.* interest, charged on 5/7ths. of 9*d. per* barrel excise, with 4000*l. per ann.* for management.—In 1709, they lent to government 400,000*l.* without interest, which increased their old capital to 1.600,000*l.* bearing 6 *per cent.* interest. In 1742, they again lent to government 1.600,000*l.* without interest; and thereby increased this capital to its present amount, or to 3.200,000*l.* bearing 3 *per cent.* with the same annual sum for management.—It is of particular importance to observe with respect to the sums of 400,000*l.* and of 1.600,000*l.* just mentioned, that they were properly a compensation from the *Bank* to the public for continuing their exclusive privileges; and would have been advanced, or at least the greatest part of them, though government had not bound itself to return the purchase money, by making it a part of the principal due to the *Bank*, provided the same interest had been continued for some time on their former principal, and the same liberty granted to increase their *stock*.—The like is true of

1,200,000*l.* advanced by the *India* Company without interest in 1708.—In these instances, therefore, a needless addition was made to the public debt of 3,200,000*l.* which, had it been avoided, the public would have had not only a principal so much less to pay; but it would have saved in interest at least 96000*l. per ann.* for the old capital of the *Bank* and the capital of the *East India* Company would have formed, in this case, between them, a debt of only 3,200,000*l.* (instead of 6,400,000*l.*) the interest of which might long ago have been reduced at least one half; or from 8 *per cent.* the original interest, to 4 *per cent.*

NOTE (2)—*Half a million*, part of the BANK CAPITAL. See [Page 119](#).—This part of the Bank capital consisted originally of two millions in *Exchequer* bills, cancelled for government by an act of the 3d of *Geo. I.* But half a million was discharged in 1729; and a million in 1738.

NOTE (3)—FOUR MILLIONS purchased of the SOUTH-SEA COMPANY; part of the BANK Capital. See [Page 119](#).—In order to procure this money, the *Bank* sold new stock at 18 *per cent.* premium. This produced a saving of 610,169*l.* the sale of 3,389,831*l.* stock having produced four millions in *money*. And, consequently, though by this transaction the capital for which they received interest was increased four millions, yet the *stock* on which they made their dividends was increased only 3,389,831*l.*

NOTE (4)—BANK STOCK and DIVIDEND.—The *stock* on which the *Bank* divides is only 10,780,000*l.* This dividend varies as their profits vary; but for several years it has been 5½ *per cent.* payable half-yearly at *Lady-day* and *Michaelmas*. Their whole annual dividend is, therefore, 592,900*l.* which subtracted from 350,604*l.* the interest paid by government, makes their clear annual profit 242,296*l.*—Besides interest, they receive for management of their capital 4000*l. per ann.* on account of their old capital, and 1,898*l. per ann.* on account of four millions purchased of the South Sea Company; in all, 5,898*l. per ann.*—The *Bank* receives farther the sums specified in the foregoing account, towards bearing the expences of managing the annuities commonly called *Bank Annuities*. All these expences, including the sums granted for managing their capital, amount to 54,645*l. per ann.*

NOTE (5)—CONSOLIDATED 4 *per cent.* BANK ANNUITIES. See [Page 120](#).—The capital of these Annuities consists of two loans, one in 1760, and the other in 1762, consolidated into one stock, and charged on the additional duty of 3*d.* per bushel on malt, the surplus of the duties on spirituous liquors, and the additional duties on windows; all which duties were ordered by 2d *Geo. III.* to be carried to the Sinking Fund, and the interest with which they were charged to be paid out of that fund.—I have made some remarks on these loans in [page 96](#), and [page 99](#). They amounted to 20,240,000*l.* But 1,253,700*l.* of this capital was changed in 1770, from an interest of 4 to 3 *per cent.* and the capital reduced to the present sum.—A more full account of these annuities may be found in Mr. *Ashmore's* Analysis of the several Bank Annuities, p. 17.

NOTE (6)—CONSOLIDATED 3 *per cent.* BANK ANNUITIES. See [page 121](#).—The capital of these annuities is made a distinct stock from that of the annuities called *Reduced*, because it never bore a higher interest than 3 *per cent.*—It consisted originally of the following loans—37,821*l.* remaining in 1727, of 3 *per cent.* annuities, granted in lieu of St. *Christopher's* and *Nevis* debentures—800,000*l.* borrowed in 1731—600,000*l.* borrowed in 1736—300,000*l.* in 1738—6.400,000*l.* in 1742, 1743, 1744 and 1745, and charged on additional duties on spirituous liquors, wines, vinegar, &c.—1.000,000*l.* borrowed in 1750—24.490,000*l.* borrowed in the course of the last war, and funded on the additional duties on beer, houses, stamps, &c.—4.900,000*l.* borrowed in 1766, 1767 and 1768—And 1.253,700*l.* of the 4 *per cent.* annuities, subscribed into the 3 *per cent.* annuities in 1770.

All these loans were by 25 Geo. II. 1751, and several subsequent Acts of Parliament, consolidated into one joint stock; and carried, with the duties for paying the interest, to the *Sinking Fund*. And in 1770, they formed a capital of 39.781,521*l.* which has been since reduced, by the payments mentioned in the *Postscript* at the end of this tract, to the sum specified in the account to which this note refers.—See a more full account in Mr. Ashmore's Analysis, &c. from page 5 to page 11.

NOTE (7)—REDUCED 3 *per cent.* BANK ANNUITIES. See [page 121](#).—The capital of these annuities consisted, in 1749, of loans in 1746, 1747, and 1748, and navy, ordnance and transport debts funded in 1749, amounting to 18.402,472*l.* and all bearing 4 *per cent.* interest.—By the 23d of Geo. II. 1749, these loans were reduced to an interest of 3 *per cent.* and by the great consolidating Act in 1751, they were converted into one stock, and carried into the Sinking Fund with the duties on carriages, and the additional duties on glass, spirituous liquors, houses, windows, stamps, merchandize imported, &c. which had been granted for paying the interest.—In 1751, certain exchequer tallies and orders, amounting to 129,750*l.* were subscribed into this stock; and in 1765, navy bills to the amount of 1,482,000*l.* were subscribed into it, which made its whole original amount 20.014.222*l.*—In 1751, there was paid off 830,898*l.* being stock which had not been subscribed agreeably to the Act in 1749 for reducing interest; and in 1772, 1774, and 1775, so much more of this stock was paid off as reduced it to its present amount.—See Mr. Ashmore's Analysis, p. 12-16.

NOTE (8)—CIVIL LIST MILLION. See [page 121](#).—The income settled upon King George I. for his civil list, was 700,000*l.*—In 1720, there had been granted him besides, from the *Royal Exchange* and *London Assurance* companies, 300,000*l.* And in 1726, this million was farther granted towards paying off his debts.

NOTE (9)—BANK LONG ANNUITY. See [page 122](#).—This annuity consists of 128,250*l.* *per ann.* for 99 years, given in 1761, as a *premium* to the subscribers of 11.400,000*l.* at 3 *per cent.*; and of 120,000*l.* *per ann.* for 98 years, given in 1762, as a premium to the lenders of twelve millions at 4 *per cent.* See [page 95](#) and [100](#). It is charged, together with the loans to which it was annexed, on the *Sinking Fund*.—Its value in the Alley is about 25 years

purchase; but the remaining term is really worth 27 years purchase, reckoning interest at $3\frac{1}{2}$, (or the 3 *per cents.* being at $85\frac{3}{4}$.) But when interest is at 4 *per cent.* or the 3 *per cents.* are at 75, it is worth only 24 years purchase.—When this annuity is called a *premium*, it must not be imagined, that no compensation was given for it. Government received the value of it; but, at the same time, made itself a debtor for that value. And, what is very surprizing, this has been uniformly practised with respect to all the premiums or douceurs granted by government; and the consequence has been, that great and needless increase of the public debt explained in the 3d section of the 2d Part.

NOTE (10).—SOUTH-SEA STOCK AND ANNUITIES. See [page 122](#).—These four capitals amounting to 25,984,684*l.* 13*s.* consist almost entirely of the remainder of debts contracted in the reigns of *King William* and *Queen Anne*. The following account will probably give sufficient information concerning them.

In 1711, Lord Oxford being minister, the proprietors of certain navy, army, ordnance and transport debts, to the amount of 9,177,968*l.* including arrears of interest, and half a million for the current supplies, were incorporated into a company for trading to the *South-seas*. They were allowed 6 *per cent.* interest for this debt, with 8000*l.* *per ann.* for management; and the duties on wine, tobacco, *East-India* goods, candles, &c. were made perpetual, and granted as a *Fund* (ever since called the *South-sea Company's Fund*) for paying the interest. This kept up public credit at the time, and has been called the *Earl of Oxford's* masterpiece.—By the 1st of Geo. I. 822,032*l.* consisting chiefly of interest payable on the Company's capital, was added to the capital, in consequence of which it was increased to TEN MILLIONS, (ever since called their *original capital*) bearing 6 *per cent.* interest.—In 1717, they agreed to take 5 *per cent.*; and this was the first great reduction of interest, which in conjunction with the same reduction of the other redeemable debts almost all carrying 6 *per cent.* laid the foundation of the SINKING FUND established in this year. But it is remarkable, that so fast did interest fall at this time, that the price of *South-sea stock*, notwithstanding this reduction, rose from 101 to 111.—In 1719, the *South-sea* capital was increased to 11,746,844*l.* bearing 5 *per cent.* interest (with an addition of 1,397*l.* 9*s.* to their former allowance for management) by advancing to government 544,142*l.* and by the proprietors of 94,329*l.* 12*s.* lottery annuities for 32 years granted in 1710, accepting in lieu of them 1,202,702*l.* *South Sea stock*.—In 1720, the agreement was made by government with the South Sea Company, which produced the great SOUTH SEA BUBBLE.—There existed at that time *long* annuities to the amount of 666,821*l.* 8*s.* and *short* annuities, for 32 years from 1710, to the amount of 127,260*l.* 6*s.* The proprietors of these annuities were allowed to subscribe them into the *South Sea* trading stock; and the Company, for every 100*l.* of the *long* annuity which should be subscribed, were to receive from government an addition to their capital of 2000*l.* bearing 5 *per cent.* interest till 1727, and afterwards 4 *per cent.* till redeemed: and for every 100*l.* of the *short* annuities, they were to receive an addition to their capital of 1400*l.* bearing the same interest.—They were besides to take in the redeemable debts to the amount of 16,546,482*l.* and to receive an addition to their capital of 100*l.* for every 100*l.* subscribed.—By the subscription of the *long* and *short* annuities which followed this agreement, a capital due from government to the Company was

created, which was greater by 3.034,769*l.* than the original sum advanced for the annuities subscribed. And as much of these annuities and of the redeemable debts were subscribed, as increased the *South Sea* trading capital to 37.802,203*l.*—In 1722, four millions of this capital was purchased by the BANK, (See Note 3.) which reduced it to 33.802,203*l.*—By 9 Geo. I. 1723, this remaining capital was divided into two equal parts, one of which alone (or 16.901,101*l.*) was ordered to be the trading capital of the Company, and the other part was directed to be called *South Sea Annuities*.—In 1733, the *South Sea* trading capital had been reduced by payments at different times to 14.651,137*l.* 12*s.* By an Act of Parliament in that year, this remaining stock received a farther division; and only a fourth part, or 3.662,784*l.* was allowed to be the Company's stock; and the other three parts, or 10.988,353*l.* were directed to be called NEW *South Sea Annuities*, in order to distinguish them from the former annuities, which have ever since gone under the name of OLD *South Sea annuities*.—From 1733, to the present time, SOUTH SEA STOCK has continued the same; but the capital of the OLD *South Sea annuities* has been reduced, by redemptions, to 11,907,470*l.* and of the NEW *South Sea annuities*, to 8.494,830*l.* And of the whole *South Sea* debt, which in 1722 was 33.802,203*l.* there has, since that year, been paid off in all 9.737,119*l.* This should have reduced it to 24.065,081*l.* but it is in reality 25.984,685*l.* The reason of this is, that the diminution just mentioned of the *South Sea* debt was made in part with money borrowed in 1751, to pay off such proprietors of *South Sea annuities* as had refused to consent to the reduction of interest proposed to them in 1749. The sum borrowed for this purpose was 2.100,000*l.* bearing 3 *per cent.* with 1181*l.* 5*s.* for management. This debt is now reduced by redemptions to the sum specified in the preceding account; or to 1.919,600*l.*

NOTE (11).—EAST-INDIA STOCK. See [page 123](#).—In 1698, a company of merchants, in consideration of two millions lent to government at 8 *per cent.* were incorporated, and entitled to the sole privilege of trading to the *East-Indies*.—These two millions formed the first capital of the present *East-India* Company.—In 1702, an old company of traders to the *East-Indies* was united to this company; and in 1708, these united companies lent to government 1.200,000*l.* without additional interest, which made their capital 3.200,000*l.* bearing 5 *per cent.*—In 1730, this interest was reduced to 4 *per cent.* and by the 23d Geo. II. 1749, to 3 *per cent.*—The salt duties, and some additional stamp duties, were at first charged with the annuity due on this capital; but at present the duties constituting the aggregate fund are charged with it.

NOTE (12).—EAST-INDIA ANNUITY. See [page 123](#).—The capital of this annuity was advanced to government in 1744, at 3 *per cent.* and, in consideration of this loan, the exclusive charter of the Company was continued to Lady-day 1783, at which time it is to cease, provided three years notice has been given, and the debt due from government discharged.

An observation here forces itself upon me, which I have often had occasion to make.—Part of this loan was a compensation from the *East-India* Company for prolonging the term of its charter; and, therefore, ought not to have been included in the loan. The Company would have lent 750,000*l.* on the interest common at the time, or 4 *per cent.* and the remainder would have been advanced as a gratuity.—It is a pity those who managed these contracts for the public, did not attend to the absurdity and extravagance of making a *debt* of purchase money, and *borrowing* in the very act of *selling*.

NOTE (13).—EXCHEQUER LONG ANNUITIES. See [page 123](#).—These are the *long* annuities which, in 1720, remained unsubscribed to the South Sea Company. See Note 10.—They consist first of annuities to the amount of 54,900*l.* 14*s.* 6*d.* purchased by the 4th, 5th, and 6th of *William and Mary*, for 96 years, from January 1695, with the addition of 1350*l.* *per ann.* for

salaries to exchequer officers. These annuities were originally 14 *per cent.* life-annuities. By the 6th and 7th of *William* and *Mary*, in order to raise more money, these annuitants, or any other persons for them, were offered a reversionary interest in the annuities after the failure of the lives, till the end of 96 years from January 1695, on paying 4½ years purchase, (that is 63*l.*) for every annuity of 14*l.*—The predecessors of the present company of the MILLION BANK (so called from the MILLION lottery 1694, in which they were some of the principal adventurers) purchased 30,669*l.* 4*s.* of these reversionary annuities. The life annuitants being now reduced to a very small number, almost the whole of this annuity is lapsed to the *company*; and though they have divided for several years 5 *per cent.* on a capital of half a million, yet their growing savings, from the falling in of lives, have been such, that, when their annuity ceases in 1791, they will, I am informed, have accumulated a fund considerably larger, than the capital on which they have made their dividends. But to return.

These EXCHEQUER Annuities consist farther of

£.	s.	d.	
30,400	6	8	purchased for 99 years from <i>Christmas</i> 1705, by 2d and 3d of <i>Anne</i> , with 1450 <i>l.</i> for management.
23,234	16	6	purchased for 99 years from <i>Lady-day</i> , 1706, by 4 <i>Anne</i> , with 1470 <i>l.</i> <i>per ann.</i> for management.
7,776	10	0	purchased for 99 years from <i>Lady-day</i> , 1707, by 5 <i>Anne</i> , with 375 <i>l.</i> 12 <i>s.</i> <i>per ann.</i> for management.
4,710	0	0	purchased for 99 years from <i>Lady-day</i> , 1708, by 6th of <i>Anne</i> , with 208 <i>l.</i> 2 <i>s.</i> <i>per ann.</i> for management.
10,181	0	0	purchased for 99 years from <i>Lady-day</i> , 1707, by a 2d Act of 5th of <i>Anne</i> , with 416 <i>l.</i> <i>per ann.</i> for management.
Add	54,900	14	6
	131,203	7	8 Total.

The original sum contributed for these annuities was 1.836,276*l.* They are even now worth more than this sum. The public has already paid above TEN MILLIONS; and by the time they are all extinct, it will have paid above

THIRTEEN MILLIONS, on their account. This is great extravagance; but it is nothing to the extravagance constantly practised of borrowing on perpetual annuities, without putting them into a fixed course of redemption.

NOTE (14).—TONTINE by an act of 6 Geo. III. See [page 124](#).—The intention of this Act was to raise 300,000*l.* towards paying off navy bills, by offering to subscribers for every 100*l.* advanced, an annuity of 3*l.* for their lives, with benefit of survivorship. But the scheme did not succeed, and only 18000*l.* was subscribed.

NOTE (15).—LIFE ANNUITIES. See [page 124](#).—The annuities on *two* lives in 1694, were sold at 12*l. per ann.* during *two* lives, of any ages, and the annuities on *three* lives, at 10*l. per ann.* during *three* lives, for every 100*l.* advanced.—This was very extravagant; for, supposing the annuitants in general, about the age of 20 or 30, it was the same, in the case of *two* lives, with giving above 10 *per cent.* for money, and in the case of *three* lives, 9 *per cent.*—It is, likewise, extremely absurd in these cases to pay no regard to difference of ages. A *single* life at the age of 60, supposing money improved at 4 *per cent.* is intitled to 11 *per cent.* but at the age of 10, scarcely to 6 *per cent.* *Two* lives at 60, are entitled, on the same supposition, to 8½ *per cent.* but at 10, not to 5 *per cent.*—The original amount of these annuities was 22,700*l.* nearly. In 1762, that is, in 68 years, they were reduced by deaths no lower than 9,215*l.*

The other life-annuities mentioned in the preceding account were *douceurs* granted for loans in 1745, 1746, and 1757. An account of the annuities granted in the last of these years may be seen in [page 101](#).

The life-annuities in 1745, amounted to 22,500*l.* and were granted, together with the profits of a lottery, for a loan of two millions at 4 *per cent.*

The life-annuities in 1746, amounted to 45,000*l.* and were granted, with the profits of another lottery, for a loan of three millions, at the same interest.—The remarks made in the 3d section of the last part, and particularly in the note, [p. 101](#), are applicable to these two loans. The value of the life-annuities, and the profits of the lotteries, were made a part of the public debt. And, supposing the life-annuities worth, one with another, only

14 years purchase, and the profits of the two lotteries worth 300,000*l.* it will follow, that the capital created by these loans, instead of being 5.000,000*l.* should have been only 3.755,000*l.*

But there is another remark, which it is proper to mention here. The life-annuities granted in 1757, amounting to 33,750*l.* were, in January 1775, that is in 18 years, reduced by deaths to 28,732*l.* or but a little more than a seventh part. But, supposing the annuitants all in the firmest stage of life, or between the age of 10 and 30, they ought, according to some of the best tables of observations, to have been reduced a *quarter*. These life-annuities have, therefore, fallen in much more slowly than could have been expected; and I have found the same to be true of all the other life-annuities.—The reason, undoubtedly, is, that the tables exhibit the rate of mortality among all sorts and orders of men taken together; whereas, the lives on which annuities are bought, are a selection of the better sort of lives from the general mass, and therefore must be of greater value.—Indeed I am not acquainted with any table of observations which gives the probabilities of the duration of life high enough to be a guide in this case; except that which was formed by Mr. *De Parcieux*, from the French *Tontines*.—A calculation, therefore, of the values of lives, agreeably to this table, would be of considerable use.

NOTE (16).—UNFUNDED DEBT. See [page 124](#).—I have given the navy debt, as it was in January, 1775.—The civil list debt in 1775, was probably more than the sum at which I have reckoned it. Lord STAIR, in his account of the national debt, income, and expenditure, reckons it at 800,000*l.*

Much the greatest part of the foregoing debts, with the taxes for paying the interest, including the duties composing the *Aggregate*, *South-Sea*, and *General* Funds, have, by the 25th of *George* the Second, 1751, and several subsequent acts of Parliament, been thrown into one general account; and the *surplus* of the whole, after deducting the interest, 800,000*l.* *per ann.* to the civil list, and a few other payments, forms the SINKING FUND.—The debts not brought to this account are about seven millions and a half in the *South-Sea* House; 11.186,800*l.* of the *Bank* capital; the Civil List million; four millions and a half borrowed at 3½ *per cent.* in 1758; the capital of the East-India annuity; and the Exchequer long and life annuities, except those

granted in 1758. But the *surplusses* of the duties which pay the interest of these debts are either carried *immediately* into the *Sinking Fund* account; or brought *first* to the *Aggregate Fund*, and from thence carried into that account.—On the contrary. Deficiencies in these duties when they happen, are made good out of the Sinking Fund; and afterwards replaced from the supplies.

For example. Three old nine-penny excises on beer, with an additional three-pence per barrel, producing above half a million annually; also, 3,700l. *per week* out of the hereditary excise on beer, together with some duties on paper, coals, &c. and $\frac{1}{3}$ additional subsidy of tonnage and poundage, are appropriated to the payment of the Banker's Annuity; the Life Annuities granted in 1693 and 1694; the Exchequer Long Annuities; and annuities on various sums subscribed to the South-Sea Company in 1720. The *surplusses* make a part of the *Aggregate Fund*; and after contributing to satisfy the charge on that fund, are carried into the *Sinking Fund*.—Again. Certain additional duties on soap, parchment, coals, &c. are appropriated to pay the interest of 1.250,000l. and of 1.750,000l. parts of the Bank capital.—The *surplusses* are carried *directly* to the *Sinking Fund*.—In like manner. The duties on houses and windows imposed by an act of the 20th of *George the Second*, 1747,^[116] after deducting from them 91,485l. *per ann.* to satisfy certain charges on old house-duties in the *Aggregate Fund*; and, also, other duties on houses and windows imposed by the 2d and 6th of *George the Third*, amounting in all to about 205,000l. *per ann.* are carried into the Sinking Fund, together with the capitals, the interest of which has been charged upon them. But the addition to these duties (with a tax on pensions) granted in 1758, and charged with the interest (at $3\frac{1}{2}$ *per cent.*) of the loan in that year, having not been carried into the *Sinking Fund*, and proving deficient; the deficiency is constantly made good out of this fund, and afterwards replaced from the supplies.

State and Amount of the NATIONAL DEBT at Christmas 1753; with the Charges of Management.

BANK OF ENGLAND.

Principal.	Interest.
£.	£.

BANK capital	11.686,800	393,038
Of this capital 3.200,000l. bore at this time 3 <i>per cent.</i> interest; and the remainder bore 3½ <i>per cent.</i> till 1757, by 23d Geo. II. 1749.— See note (1) p. 125.		
Management 5,898l. <i>per ann.</i>		
Three <i>per cent.</i> BANK Annuities consolidated by 25 Geo. II. 1751.—See note (6) p. 127.	9.137,821	274,135
Management 4,450l. <i>per ann.</i>		
BANK Annuities consolidated by 25 Geo. II. 2.713,618l. carrying 3½ <i>per cent.</i> interest till 1755; and 14.857,956l. carrying the same interest till 1757. See note (7) p. 128.	17.740,132	619,546
Management 9,884l. <i>per ann.</i>		
Civil List million, 1726	1.000,000	30,000
Management 360l. <i>per ann.</i>		
Whole charge of Management at the Bank in 1753—20,592l. <i>per ann.</i>		
SOUTH-SEA COMPANY.		
SOUTH-SEA STOCK carrying 4 <i>per cent.</i> till 1757	3.662,784	146,511
Old and New SOUTH-SEA Annuities carrying 3½ <i>per cent.</i> till 1757	21.362,525	747,688
Three <i>per cent.</i> 1751—See note (10) p. 131.	2.100,000	63,000
Whole charge of management at the <i>South-Sea-</i> <i>House</i> on stock and annuities, 15,748l. <i>per</i> <i>ann.</i>		
EAST-INDIA HOUSE.		
EAST-INDIA STOCK, reduced to 3½ till 1757	3.200,000	112,000
EAST-INDIA annuity 1744	1.000,000	30,000
Management 1,687l. 10s. <i>per ann.</i>		
Total [117]	£. 70,851,254	2.415,918

EXCHEQUER.

ANNUITIES for 96 and 99 years from various dates in King <i>William's</i> and Queen <i>Anne's</i> times being the original sum contributed. See note (13) page 132 .	1.836,276	131,203
Management 5,230l. <i>per ann.</i> inclusive of management for the two next articles.		
ANNUITIES for lives with benefit of survivorship, being the original sum contributed	108,100	7,567
ANNUITIES for two and three lives, being the remainder after deducting the annuities fallen in by deaths, and reckoned worth 10 years purchase	106,650	10,665
ANNUITIES for single lives 1745, being the remainder after deducting the annuities fallen in by deaths; and reckoned worth 14 years purchase	296,142	21,153
ANNUITIES for single lives 1746, being the remainder after the lives fallen in	582,274	41,591
Navy debt in 1754—Interest reckoned at 2 <i>per cent.</i>	1.296,568	25,931
Total of the principal and interest of the public debts in 1753	£. 75.077,264	2.654,028

STATE *and* AMOUNT *of the* NATIONAL DEBT *in* 1739.

BANK OF ENGLAND.

	Principal. £.	Interest. £.
BANK CAPITAL, consisting of 1.600,000l. old capital carrying 6 <i>per cent</i> ; and 7.500,000l. carrying 4 <i>per cent</i> . See note 1, p. 123 .	9.100,000	396,000
BANK ANNUITIES at 3 <i>per cent</i> . for the lottery in 1731.	800,000	24,000

SOUTH-SEA COMPANY.

Stock and annuities bearing 4 <i>per cent</i> .	27.302,203	1.092,088
EAST-INDIA COMPANY.		
EAST-INDIA stock carrying 4 <i>per cent</i> .	3.200,000	128,000
EXCHEQUER ANNUITIES.		
Annuities at 3½ by 4 Geo. II. paid off in 1752	400,000	14,000
ANNUITIES at 4 <i>per cent</i> . charged on the duty on wrought plate by 6 Geo. I. 1720	312,000	12,480
182,250l. of this capital was paid off in 1750. The remainder is now included in the capital of the reduced 3 <i>per cent</i> . annuities.		
ANNUITIES at 3 <i>per cent</i> . charged on the Sinking Fund by 9 and 10 Geo. II. Now included in the consolidated 3 <i>per cent</i> . annuities	900,000	27,000
ANNUITIES on <i>Nevis</i> and <i>St. Christopher</i> Debentures at 3 <i>per cent</i> . Now included in the consolidated 3 <i>per cents</i> .	37,821	1,135
EXCHEQUER BILLS charged on a duty upon victuallers by 12 Geo. I. 1726—Carrying 3 <i>per cent</i> .	480,000	14,400
EXCHEQUER BILLS charged on a duty on sweets by 10 of Geo. II. 1737—Carrying 3 <i>per cent</i> . and paid off in 1754—See the note p. 140 .	499,600	14,988
ANNUITIES for long terms from various dates	1.836,276	131,203
ANNUITIES for lives with <i>benefit of Survivorship</i> granted in 1693	108,100	7,567
ANNUITIES for two and three lives, 1694	106,650	15,000
Navy debt ^[118]	1.300,000	26,000
Total of the <i>Principal</i> and <i>Interest</i> of the National Debt in 1739 ^[119]	£. 46.382,650	1.903,861

From the account in the POSTSCRIPT, at the end of this tract, it will appear, that 10.639,793l. of the public debt was discharged between the years 1763 and 1775; and also that the *funded* debt was, in 1775, 1.400,000l. greater

than it was at the end of the last war. From hence, and from the amount of the public debt in 1775, as stated in [page 124](#), it follows, that the funded debt at the end of the war was 130.943,051l. and the whole debt 146.582,844l. and, consequently, that the war left upon the nation an *unfunded debt* amounting to^[120] 15.639,793l. This unfunded debt consisted of the following particulars—Of 3.500,000l. borrowed after the peace in 1763, and applied towards bearing such expences of the war as could not immediately cease with its operations.—Of near *eight millions* in navy, victualling, ordnance, and transport debts.—Of 1.800,000l. *Exchequer bills*; and the remainder, of subsidies to foreign princes, extraordinaries of the army, and German demands.

In the interval of peace between 1748 and 1755 the following debts were paid off.

	£.
<i>Bank Annuities</i> bearing 4 <i>per cent</i> .	1.013,148
SOUTH-SEA Annuities bearing 4 <i>per cent</i> .	176,893
<i>Annuities</i> bearing 3½ <i>per cent</i> . charged by 4 Geo. II. on additional Stamp-duties	400,000
EXCHEQUER Bills bearing 3 <i>per cent</i> . charged by 10 Geo. II. 1737 on the duties on sweets	499,600
Borrowed in 1745 at 3½ <i>per cent</i> . on the credit of the Salt duties	1.000,000
See note, page 140 .	
^[121] Total	£. 3.089,641

From the whole, the following account of the progress of the National Debt, from 1739 to 1775, may be deduced.

	Principal. £.	Interest. £.
<i>Amount</i> of the <i>principal</i> and <i>interest</i> of the national debt before the war which begun in 1740	46.382,650	1.903,861
<i>Amount</i> in 1749 immediately after the war	78.166,906	2.765,608
Increased by the war	31.784,256	861,747

Diminished by the Peace from 1748 to 1755	3.089,641	111,590
Amount at the commencement of the last war	75.077,264	2.654,018
Amount at the end of the war in 1763	146.582,844	4.840,821
Increased by the last war	71.505,580	2.186,803
Diminished by the Peace, in twelve years from 1763 to 1775	10.639,793	[122] 400,000
Amount at <i>Midsummer</i> , 1775	135.943,051	4.440,821

We are now involved in another war, and the public debts are increasing again fast. *Exchequer* Bills have been increased from 1.250,000*l.* to 1.500,000*l.* A new capital of 2.150,000*l.* has been added to the 3 *per cent.* Consolidated Annuities. And a vote of credit was given in the last session of Parliament for a million. The last year, therefore, has added 3.400,000*l.* to our debts, besides a vast sum not yet provided for, consisting of navy, ordnance, victualling, transport and army debts.—The present year (1777) must make another great addition to them; and what they will be at the end of these troubles, no one can tell.—The union of a *foreign* war to the present *civil* war might perhaps raise them to TWO HUNDRED MILLIONS; but, more probably, it would sink them to—NOTHING.

SECT. III.

Of the DEBTS and RESOURCES of France.

Ministers have of late sought to remove the public apprehensions by general accounts of the weakness of powers, which, from the circumstances of former wars as well as national prejudices, have been felt by the people as jealous rivals or formidable enemies.—I wish it was possible for me to confirm these accounts; and by contrasting the preceding state of our own debts with a similar one of those of FRANCE, to shew, that from this power in particular we have nothing to fear. The following particulars, on the correctness of which I can rely, may give some assistance in judging of this subject.

The whole expence of the last war to FRANCE was 1.118.307,047 livres; that is, 49.702,000*l.* sterling: of which 23.152,000*l.* (520.926,000 livres) consisted of money procured by the sale of taxes, by free-gifts, and extra-

impositions during the war, which left behind them no debts: And 26.550,000l. (597.380,100 livres) consisted of LOANS, or money raised on perpetual annuities, life-annuities, and lotteries.—At the beginning of 1769 the whole amount of the debts of *France*, including all arrears and capitals advanced on annuities and lotteries, was 128.622,000l. sterling, or 2.894.053,616 livres. The annual charge derived from this debt was 6.707,500l. sterling (150.919,284 livres)—All the appropriations amounted to 8.218,500l. sterling (184.919,284 livres).—The expences of the army, navy, king's household, prince's household, foreign affairs, &c. amounted to 8.947,000l. or 201.307,312 livres. So that the whole annual expence was 17.165,000l. (386.226,596 livres).—The whole revenue had amounted, before 1769, to 13.484,500l. sterling (303.401,696 livres).—The public expence, therefore, had exceeded the revenue 3.681,000l. (82.800,000 livres.) *per ann.*

From the year 1769 to the present King's Accession, by forced reductions of interest, and by new taxes, the public revenue was carried to 16.289,000l. sterling (366.508,000 livres) and the public expence was reduced so as not to exceed the revenue above 766,800l. *per annum* (17.253,000 livres).—The anticipations also of the revenue, which before 1769 had extended to *seventeen* months, were reduced to *five* months.—Such was the progress of reformation; namely, an increase of revenue amounting to little less than THREE MILLIONS sterling *per ann.* in a few years, under an unpopular minister, in the latter days of a reign never characterized by an attention to oeconomy, or a regard to the public interest; and at this time particularly stamped by unprecedented profusion and a general relaxation.

A new reign produced a new minister of finance whose name will be respected by posterity for a set of measures as new to the *political* world, as any late discoveries in the system of nature have been to the *philosophical* world.—Doubtful in their operation, as all unproved measures must be, but distinguished by their tendency to lay a solid foundation for endless peace, industry, and a general enjoyment of the gifts of nature, arts, and commerce.—The edicts issued during his administration exhibit indeed a phænomenon of the most extraordinary kind. An absolute king rendering a voluntary account to his subjects, and inciting his people to *think*; a right which it has been the business of all absolute princes and their ministers to extinguish in the minds of men.—In these edicts the king declared in the most distinct

terms against a bankruptcy, an augmentation of taxes, and new loans; while the minister applied himself to increase every public resource by principles more liberal than *France*, or any part of *Europe*, ever had in serious contemplation.—It is much to be regretted, that the opposition he met with, and the intrigues of a court, should have deprived the world of those lights which must have resulted from the example of such an administration.

After a short interval, a nomination, in some respects still more extraordinary, has taken place in the court of FRANCE. A court which a few years since was distinguished by its bigotry and intolerance, has raised a *Protestant*, the subject of a small but virtuous republic, to a decisive lead in the regulation of its finances. It is to be presumed, that so singular a preference will produce an equally singular exertion of integrity and talents. Though differing from Monsieur TURGOT in several principles, which regard the larger lines of government, he appears by his first steps, and, particularly, the preamble to a late edict for raising 24 millions of livres by a lottery, to put his foot on the same great basis of general justice, and a strict conservation of the faith of the king; and points more particularly at the surest of all resources in any modern states, a simplification of taxes and a reformation in the collection of them. This administration, making improvements in the Revenue its immediate object, is more capable of present exertion; and, as such, is more formidable.

From these facts and observations it is impossible not to conclude, that if we trust our safety to the difficulties of FRANCE, we may find ourselves fatally deceived. I will add, that though (like the 3s. land-tax and lotteries among ourselves) some of the extraordinary impositions of the last war have been continued in *France*, there are some which ceased with the war, and which they can renew. It is, particularly, an advantage of unspeakable importance to them, that they can carry on a war, as they did the last, at *half* our expence; and that, having no dependence on the flattering delusion of paper, they can, as they did in 1759, bear even a bankruptcy in the middle of a war, and yet carry it on vigorously.—Their debts time itself is sinking fast. Of 3.111,000l. (seventy millions of livres) in annuities on the *Hotel de Ville* at *Paris*, 1.777,000l. (forty millions of livres) consisted in 1774 of Life Annuities, which were falling by deaths at the rate of 71,000l. (1.600,000 livres) every year.—Even their loss of credit, whatever present embarrassment attends it, favours them upon the whole. To this they owe

the advantages just mentioned. The facility with which our high credit has enabled us to run in debt ensnares us; and, if a change of measures does not take place,^[123] must *ruin* us. Experience has given them a just horror at borrowing on permanent funds; and were they inclined to do it, they are not able to do it to any great amount; and, consequently, they cannot go on mortgaging one resource after another till none is left.—While we lose sight of the capital in the interest, they carry their views chiefly to the reimbursement of the capital; and after receiving high interest, for some years, can be satisfied with receiving back a part of their capital.—Their debts, being confined in a great measure to the *Farmers General* and others at PARIS, are not circulated and diffused among the body of the people in the manner ours are: And it is well known, that they can make use of methods to discharge them which our government must never think of. The acts of arbitrary power and unjust expedients to which, on many occasions, they have had recourse for this purpose without producing any tumults, are such as appear to us almost incredible; and should the time ever come, when it will be necessary in this country to make use of any violence of the same kind, all government will probably be at an end.

In point of territory and number of inhabitants, the two countries will bear no comparison^[124]. We have hitherto opposed *France* by our free spirit, and our colonies; and to them chiefly we owe our prosperity and victories. Our colonies once separated from us, the islands will soon follow. But should they remain ours, our comparative advantages will best appear from the following authentic account of the imports into *France* from their islands.

In 1774.

	Weight in Pounds.
Sugar imported into <i>France</i>	147.986,959
Indigo	1.734,206
Rocou	210,187
Coffee	58.247,133
	208.178,485

In 1775.

	Weight in Pounds.
Sugar imported into <i>France</i>	171.932,972
Indigo	2.134,247
Rocou	169,831
Coffee	58.545,000
	[125] 232.782,050

Value of the above commodities re-exported from *France*, taken upon the average price.

	<i>Livres.</i>	<i>Sterling.</i>
In 1774	75.901,373	3.373,000
In 1775	74.961,318	3.331,000

The whole importation from the *West Indies* into *Britain* is about three millions *per ann.*

But I have gone much beyond the views with which I begun this section. The facts which have been stated, and the reflections which they have occasioned, are intended principally to shew that we ought not to suffer ourselves to be drawn into security by any assurances of the weakness of *France*.—May she, however, find herself the weakest of kingdoms whenever, from motives of interest or ambition, she shall attempt to injure any of her neighbours.—May *Britain*, hitherto the most favoured spot under heaven, always preserve her distinguished happiness, and escape the danger which now threatens her. And may the time soon come, when all mankind, sensible of the value of the blessings of peace and equal liberty, shall suffer one another to enjoy them, and learn war no more.

SECT. IV.

Containing an Account of the National Income and Expenditure; the Surplus of the Revenue; and the Money drawn from the Public by the Taxes; with Remarks on Lord STAIR's Account.

APPROPRIATED REVENUE *at Midsummer, 1775.*

	£.
Interest of the national debt	4.440,821
Civil list revenue. See the note in page 163	800,000
Expences of management attending the national debt; of which 71,432 l. is the expence of management at the Bank, South-Sea House, and <i>India</i> House; and 5.900 l. salaries to <i>Exchequer Officers</i> . See Page 119, &c.	77,332
Annuities payable out of the Aggregate Fund to the DUKE OF GLOUCESTER, 8000 l.—DUKE OF CUMBERLAND, 8000 l.—the Representatives of ARTHUR ONSLOW, Esq; 3000 l.—And the Sheriffs of ENGLAND and WALES, 4000 l.—In all	23,000
Clerk of the Hanaper in Chancery—Coinage ^[126] expence—Tenths and first-fruits of the Clergy appropriated to the augmentation of small livings—Extra revenues of the crown, consisting of <i>American</i> quit-rents; duty of 4½ <i>per cent.</i> in the Leeward Islands; revenues of Gibraltar and dutchy of <i>Cornwall</i> , &c.—Fees for warrants and orders, for auditing and engrossing accounts of dividend warrants, and other charges at the EXCHEQUER and TREASURY ^[127]	100,000
Total of the Appropriated Revenue	£. 5.441,153

State of the SURPLUS of the REVENUE for 11 years ended at 1775.

UNAPPROPRIATED REVENUE.

NEAT PRODUCE of the Sinking Fund, for five years, including casual surplusses, reckoning to <i>Christmas</i> in every year; being the annual medium, after deducting from it about 45,000l. always carried to it from the supplies, in order to replace so much taken from it every year to make good a deficiency in a Fund established in 1758.	£. 2.610,759
Neat annual produce of Land Tax at 3s. militia deducted; and of the Malt Tax ^[128]	1.800,000
(N. B. These two taxes in 1773, brought in only 1.665,475l.)	
There are some casual Receipts, not included in the Sinking Fund, such as Savings in Pay-Office, duties on Gum	50,000

Senega, American Revenue, &c. But they are so uncertain and inconsiderable, that it is scarcely proper to give them as a part of the permanent Revenue. Add however on this account

Total of unappropriated Revenue	£. 4.460,759
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Produce of the SINKING FUND, reckoned to Christmas in every Year.

1770	£. 2.486,836
1771	2.553,505
1772	2.683,831
1773	2.823,150
1774	2.731,476

The average of these five years is 2.655,759l. or, deducting 45,000l. (as directed in the last page), 2.610,759l.

In 1775, the Sinking Fund was taken for 2.900,000l. including an extraordinary charge of 100,000l. on the *Aggregate* Fund; but it produced 2.917,869l. The average of six years, including 1775, was 2.654,443l. The average of five years before 1770, was 2.234,780l.

ANNUAL EXPENDITURE.

	£.
Peace Establishment, for the Navy and Army, including all miscellaneous and incidental expences	3.700,000
Annual increase of the Navy and Civil List debts	350,000
Interest at 2 <i>per cent.</i> of 3.600,000l. unfunded debt, which must be paid out of the unappropriated Revenue	72,000
	Total 4.122,000
ANNUAL SURPLUS of the Revenue	338,759
Annual income	£. 4.460,759

The estimate for the peace establishment, including miscellaneous expences, amounted, in 1775, to 3.703,476l.—But the extraordinary expences, occasioned by the war with America, made it fall very short.—In 1774 it amounted to 3.784,452l. exclusive of 250,000l. raised by Exchequer

Bills, towards defraying the expence of calling in the gold coin. And the medium for eleven years, from 1765, has been nearly 3.700,000l.—According to the accounts which I have collected, the expence of the peace establishment (including miscellaneous expences) was in 1765, 1766, and 1767, 3.540,000l. *per ann.*—In 1768, 1769, and 1770, it was 3.354,000l. *per ann.*—In 1771, 1772, 1773, 1774, and 1775, the average has been nearly four millions *per ann.* exclusive of the expence of calling in the coin.

The parliament votes for the sea service 4l. *per month per man*, including wages, wear and tear, victuals and ordnance. This allowance is insufficient, and falls short every year more or less, in proportion to the number of men voted. From hence, in a great measure, arises that annual increase of the navy debt, mentioned in the second article of the *National Expenditure*. This increase in 1772 and 1773 was 669,996l. or 335,000l. *per ann.* The number of men voted in those two years, was 20,000. I have supposed them reduced to 16,000, and the annual increase of the Navy Debt to be only 250,000l.—Add 100,000l. for the annual increase of the Civil List Debt, and the total will be 350,000l.

Soon after the publication of the preceding account in *February* last year, the EARL OF STAIR obliged the public with another account of the same kind, which brings out a conclusion much more unfavourable. According to this account, were lotteries abolished, and the land-tax at 3s. in the pound only, there would be a *deficiency* in the revenue, instead of such a *surplus* as I have stated. The following remarks will shew the reason of this difference.

The EARL OF STAIR has taken the annual produce of the *Sinking Fund* at 2.506,400l. being the average produce of EIGHT years ended at *Lady day* 1775.—I have taken it at 2.610,759l. being the average of FIVE years ended at *Christmas* 1775.—The neat produce of the land and malt taxes has been also taken near 50,000l. higher in my account; and I have besides admitted 50,000l. *per ann.* for casual supplies, which his Lordship has not charged.

The annual increase of the Navy Debt, LORD STAIR states at 300,000l. and of the Civil List at 200,000l. I have stated the former at 250,000l. and the latter at 100,000l.—In order also to avoid, as much as possible, all exaggeration, I have thrown out the expence of the new coinage. Lord Stair

has admitted it, and given an yearly expence derived from hence of 100,000l.—He has also taken the Peace Establishment for 1774, as a fair medium for common years of peace, because it was lower in that year than in the three years preceding 1775. I have taken the average of *eleven* years of peace, which is 75,000l. less.

In consequence of these differences, the national PEACE expenditure in *Lord Stair's* account comes out 325,000l. *per ann. higher* than in mine; and the national income comes out 204,359l. *lower*; from whence it follows, that without lotteries, and the land being at 3s. in the pound, the kingdom must, according to his Lordship's calculation, run out at the rate of about 200,000l. every year.

In some of the particulars I have mentioned, this account is probably nearest to the truth; but, I hope, it will be considered, that I have studied to give moderate accounts, and aimed at erring always rather on the favourable than the unfavourable side.

Second Method of deducing the SURPLUS of the REVENUE.

From the year 1763 to the year 1775, or during a period of 12 years, 10.639,793l. of the public^[129] debt was paid off.—The money employed for this purpose must have been derived from the surplus of the *ordinary* revenue, added to the *extraordinary* receipts. These receipts have consisted of the following articles.—1st. The land-tax at 4s. in the pound in 1764, 1765, 1766, and 1771; or 1s. in the pound extraordinary for four years, making 1.750,000l.—2. The profits of ten lotteries^[130] making (at 150,000l. each lottery) 1.500,000l.—3. A contribution of 400,000l. *per ann.* for five years from the EAST INDIA Company, making 2.000,000l.—4. Savings by debts discharged at a discount,^[131] making at least 400,000l.—5. Paid by the Bank in 1764 for the renewal of their charter, 110,000l.—6. Savings on high grants during the war; produce of *French* prizes taken before the declaration of war; sale of lands in the ceded islands; and composition for maintaining *French* prisoners,^[132] making 2.520,000l.—All these sums amount to 8.280,000l. There remains to make up 10.639,793l. (the whole debt discharged) 2.359,793l. and this, therefore, is the amount of the whole surplus of the *ordinary* revenue for twelve years; or 196,000l. *per ann.*^[133]

The Earl of STAIR has also, in this method, calculated the *surplus* of the Revenue; and makes the total, for eleven years, to be no more than 2.557,378l. even with the assistance of lotteries, and the land-tax at 4s. in the pound for five years; from whence it follows, that *without* these assistances, there would have been a deficiency of near 60,000l. *per ann.*—The reason is, that his Lordship has taken the whole debt paid since 1763, at no more than 7.053,855l. or three millions and a half less than I have made it; and he has taken it so much less, chiefly in consequence of including in the amount of the public debt in 1775, the excess of the expences of that year above the common peace expences. This excess is to be charged to the present war; and, in determining the ordinary peace *surplus*, which is my object, it was proper to exclude it, and to terminate the account at the commencement of the war.—I will only add, that Lord STAIR has also included more in the extraordinary receipts than I have; and, particularly, 700,000l. which he supposes the public gained by the TEA INDEMNITY.—But this was only a compensation made by the *East-India* Company for the loss which the public sustained by taking off, in 1766, a part (or 1s. *per* pound) of the duty on tea. In 1772 it was restored; and the excise upon tea has since, if I am rightly informed, produced as much as ever. *Before* 1766, it produced annually 474,091l. Immediately^[134] after 1766, it produced 341,284l.—But in 1775, it produced near half a million.

Sketch of an Account of the Money drawn from the Public by the Taxes, before the Year 1776.

	£.
CUSTOMS in ENGLAND, being the medium of the payments into the Exchequer, for 3 years ending in 1773 ^[135]	2.528,275
Amount of the EXCISES in ENGLAND, including the malt tax, being the medium of 3 years ending in 1773	4.649,892
Land Tax at 3s.	1.300,000
Land Tax at 1s. in the pound	450,000
SALT DUTIES, being the medium of the years 1765 and 1766	218,739
Duties on Stamps, Cards, Dice, Advertisements, Bonds, Leases, Indentures, News-papers, Almanacks, &c.	280,788

Duties on houses and windows, being the medium of 3 years ending in 1771	385,369
Post Office, Seizures, Wine Licences, Hackney Coaches, Tenthhs of the Clergy, &c.	250,000
EXCISES in SCOTLAND, being the medium of 3 years ending in 1773	95,229
CUSTOMS in SCOTLAND, being the medium of 3 years ending in 1773	68,369
Annual profit from Lotteries	150,000
Inland taxes in SCOTLAND, coinage duties, casual revenues, such as the duties on Gum-Senega, American revenue, &c.	150,000
EXPENCE of collecting the EXCISES in ENGLAND, being the average of the years 1767 and 1768, when their produce was 4.531,075 <i>l. per ann.</i> —6 <i>per cent.</i> of the gross produce	297,887
EXPENCE of collecting the Excises in SCOTLAND, being the medium of the years 1772 and 1773, and the difference between the gross and nett produce—31 <i>per cent.</i> of the gross produce	43,254
EXPENCE of collecting the CUSTOMS in ENGLAND, being the average of 1771 and 1772, bounties included, and 15 <i>per cent.</i> of the gross produce, exclusive of drawbacks and over-entries	468,703
N. B. The bounties for 1771 were 202,840 <i>l.</i> —for 1772, 172,468 <i>l.</i>	
The charges of management for 1771, were 276,434 <i>l.</i>	
For 1772, 285,764 <i>l.</i> or 10 <i>per cent.</i> nearly.	
Interest of loans on the land tax at 4 <i>s.</i> expences of collection, militia, &c.	250,000
PERQUISITES, &c. to Custom-house officers, &c. supposed	250,000
EXPENCE of collecting the Salt-duties in ENGLAND, 10½ <i>per cent.</i>	27,000
Bounties on fish exported	18,000
EXPENCE of collecting the duties on Stamps, Cards, Advertisements, &c. 5¼ <i>per cent.</i>	18,000

Total £. 11.900,505

It must be seen, that this account is imperfect and defective. It is, however, sufficient to prove, that the whole money raised DIRECTLY by the taxes, (exclusive of tithes, county rates, and the taxes which support the poor,) cannot be much less than TWELVE MILLIONS. The *Earl of Stair* has in his papers made it to be above 400,000*l.* more, by including in his estimate several articles which I have omitted; particularly, the interest and management on the equivalent to *Scotland*, the Scotch crown Revenues, Dutchy of *Cornwall* and *Lancaster* Fines, &c. He has also given an estimate of the fees and perquisites of office of every kind, and reckoned them at half a million; whereas, I have only reckoned the perquisites of office at the *Custom-house*.

I should be inexcusable were I to quit this subject, without taking notice of the particular gratitude due from the public to *Lord Stair*, for publishing his papers; and for stepping forth at this time to draw attention, by the weight of his name and character, to calculations, which, as he justly says, “it becomes every man of property among us to understand; to awaken the nation from the lethargy into which the mockery of paper wealth has plunged it; and to bear his testimony against the present unnatural war.”

POSTSCRIPT.

The following POSTSCRIPT has been published only in a few of the last Editions of the *Observations on Civil Liberty*. It has been often referred to in the preceding work; and, therefore, it is necessary to give it a place here.

ACCOUNT of Public Debts discharged, Money borrowed, and Annual Interest saved from 1763 to 1775.

Debts paid off since 1763.				Annuity decreased.	
	£.			£.	s.
1765		funded, bearing interest	4 <i>per</i>		
	870,888	at	<i>cent.</i>	34,835	10
		unfunded,	4 <i>per</i>		
	1.500,000		<i>cent.</i>	60,000	00
1766		funded,	4 <i>per</i>		
	0.870,888		<i>cent.</i>	34,835	10
	1.200,000	unfunded,	4 —	48,000	00
1767	2.616,777	funded,	4 —	104,671	0
1768	2.625,000	funded,	4 —	105,000	0
1771		funded,	3 <i>per</i>		
	1.500,000		<i>cent.</i>	45,000	0
1772		funded,	3 <i>per</i>		
	1.500,000		<i>cent.</i>	45,000	0
1773	800,000	unfunded,	3 —	24,000	0
1774	1.000,000	funded,	3 —	30,000	0
1775	1.000,000	funded,	3 —	30,000	0
Total	15.483,553		Total	561,342	0

In 1764, there was paid off 650,000*l.* navy-debt; but this I have not charged, because scarcely equal to that annual increase of the navy-debt for

1764, 1765, and 1766, which forms a part of the ordinary peace establishment. The same is true of 300,000*l.* navy-debt, paid in 1767; of 400,000*l.* paid in 1769; of 100,200*l.* paid in 1770; 200,000*l.* in 1771; 215,883*l.* in 1772; and 200,000*l.* in 1774.

Account of money borrowed and debts contracted since 1763.

	£.	Annual interest increased.
Borrowed and funded, at 3 <i>per cent.</i> in 1765	1.500,000	45,000
in 1766	1.500,000	45,000
in 1767	1.500,000	45,000
in 1768	1.900,000	57,000
Unfunded in 1774	250,000	7,500
Civil list debt in 1775	500,000	[136]
Total	7.150,000	199,500

From 15.483,553*l.* the total of debts discharged, subtract 7.150,000*l.* the total of debts contracted; and the remainder, or 8.333,553*l.* will be the diminution of the public debts since 1763. Also, from 561,342*l.* the total of the decrease of the annual interest, subtract 199,500*l.* (the total of its increase), and the remainder, or 361,842*l.* will be the interest or annuity saved since 1763.—To this must be added 12,537*l. per ann.* saved by changing a capital of 1.253,700*l.* (part of 20.240,000*l.*) from an interest of 4 to 3 *per cent.* pursuant to an act of the 10th of George III.; also the life-annuities that have fallen in; and 7,500*l. per ann.* gained by the falling (in 1771) of 1.500,000*l.* from an interest of 3½ to 3 *per cent.*; which will make a saving in the whole of near 400,000*l. per annum*: And it is to this saving, together with the increase of luxury, that the increase of the *Sinking-Fund* for the last ten years has been owing.

To the debts discharged the following additions must be made.

In 1764 there was paid towards discharging the extraordinary expences of the army, 987,434*l.*: In 1765, these expences amounted to 404,496*l.*: In 1766, to 479,088*l.*—Total 1.871,018*l.*—This sum is at least a million higher than the extraordinary expences of the army for three years in a time of peace. This excess, being derived from the preceding war, must be reckoned

a debt left by the war. And the same is true of 1.106,000*l.* applied, in 1764, 1765, and 1766, towards satisfying *German* demands.—There are likewise some smaller sums of the same kind; such as subsidies to *Hesse-Cassel*, *Brunswick*, &c. And they may be taken at 200,000*l.*—The total of all these sums is 2.306,240*l.*; which, added to 8.333,553*l.* makes the whole diminution of the public debt since 1763, to be 10.639,793*l.*

Soon after the peace in 1763, an unfunded debt, amounting to 6.983,553*l.* was funded on the *Sinking Fund*, and on new duties on wine and cyder, at 4 *per cent.* There has been since borrowed and funded on coals exported, window-lights, &c. 6.400,000*l.* The funded debt, therefore, has increased since the war 13.383,553*l.* It has decreased (as appears from [page 171](#)) 11.983,553*l.*; and, consequently, there has been on the whole an addition to it of 1.400,000*l.*—During seven years, from 1767 to 1774, 1.415,883*l.* navy-debt was paid off. See [page 172](#). But, as this is a debt arising from constant deficiencies in the peace estimates for the navy, it is a part of the current peace expences.—In 1768 this debt was^[137] 1.226,915*l.*—In 1774 it was 1.850,000*l.*; and consequently, though 1.415,883*l.* was paid off, an addition was made to it, in seven years, of 623,085*l.* It increased, therefore, at the rate of 291,000*l. per ann.*

The paper from which I have taken the following account, came into my hands after almost the whole of this work had been printed off. It contains a fact of so much importance, that I cannot satisfy myself without laying it before the public.—In a Committee of CONGRESS in *June* 1775, a declaration was drawn up containing an offer to GREAT BRITAIN, “that the Colonies would not only continue to grant extraordinary aids in time of war, but also, if allowed a free commerce, pay into the SINKING FUND such a sum annually for ONE HUNDRED YEARS, as should be *more* than sufficient in that time, if faithfully applied, to extinguish all the present debts of BRITAIN. Or, provided this was not accepted, that, to remove the groundless jealousy of *Britain* that the Colonies aimed at Independence and an abolition of the Navigation Act, which, in truth, they had never intended; and also, to avoid all future disputes about the right of making that and other Acts for regulating their commerce for the general benefit, they would enter into a covenant with *Britain*, that she should fully possess and exercise that right for *one hundred years* to come.”

At the end of the *Observations on Civil Liberty*, I had the honor of laying before the public the Earl of *Shelburne's* plan of Pacification with the Colonies. In that plan, it is particularly proposed, that the Colonies should grant an annual supply to be carried to the Sinking Fund, and unalienably appropriated to the discharge of the public debt.—It must give this excellent Peer great pleasure to learn, from this resolution, that even this part of his plan, as well as all the other parts, would, most probably, have been accepted by the Colonies. For though the resolution only offers the alternative of either a *free* trade, with extraordinary aids and an annual supply, or an *exclusive* trade confirmed and extended; yet there can be little reason to doubt, but that to avoid the calamities of the present contest, both would have been consented to; particularly, if, on our part, such a revisal of the laws of trade had been offered as was proposed in Lord *Shelburne's* plan.

The preceding resolution was, I have said, drawn up in a Committee of the Congress. But it was not entered in their minutes; a severe Act of Parliament happening to arrive at that time, which determined them not to give the sum proposed in it.

FINIS.

POSTSCRIPT.

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ACCOUNT of Public Debts discharged, Money borrowed, and Annual Interest saved from 1763 to 1775.

Debts paid off since 1763.				Annuity decreased.	
	£.			£.	s.
1765	funded, bearing	4	<i>per</i>		
	876,888 interest at		<i>cent.</i>	34,835	10
	unfunded,	4	<i>per</i>		
	1.500,000		<i>cent.</i>	60,000	00
1766	funded,	4	<i>per</i>		
	0.870,888		<i>cent.</i>	34,835	10
	1.200,000 unfunded,	4	—	48,000	00
1767	2.616,777 funded,	4	—	104,671	0
1768	2.625,000 funded,	4	—	105,000	0
1771	funded,	3½	<i>per</i>		
	1.500,000		<i>cent.</i>	52,500	0
1772	funded,	3	<i>per</i>		
	1.500,000		<i>cent.</i>	45,000	0
1773	800,000 unfunded,	3	—	24,000	0
1774	1.000,000 funded,	3	—	30,000	0
1775	1.000,000 funded,	3	—	30,000	0
Total	15.483,553		Total	568,842	0

In 1764, there was paid off 650,000*l.* navy-debt; but this I have not charged, because scarcely equal to that annual increase of the navy-debt for

1764, 1765, and 1766, which forms a part of the ordinary peace establishment. The same is true of 300,000l. navy-debt, paid in 1767; of 400,000l. paid in 1769; of 100,200l. paid in 1770; 200,000l. in 1771; 215,883l. in 1772; and 200,000l. in 1774.

Account of money borrowed and debts contracted since 1763.

	£.	Annual interest increased.
Borrowed and funded, at 3 <i>per cent.</i> in 1765	1.500,000	45,000
in 1766	1.500,000	45,000
in 1767	1.500,000	45,000
in 1768	1.900,000	57,000
Unfunded in 1774	250,000	7,500
Civil list debt in 1775	500,000	[138]
Total	7.150,000	199,500

From 15.483,553l. the total of debts discharged, subtract 7.150,000l. the total of debts contracted; and the remainder, or 8.333,553l. will be the diminution of the public debts since 1763. Also, from 568,842l. the total of the decrease of the annual interest, subtract 199,500l. (the total of its increase), and the remainder, or 369,342l. will be the interest or annuity saved since 1763.—To this must be added 12,537l *per ann.* saved by changing a capital of 1.253,700l. (part of 20.240,000l.) from an interest of 4 to 3 *per cent.* pursuant to an act of the 10th of George III.; also the life-annuities that have fallen in; which will make a saving in the whole of near 400,000l. *per annum*: And it is to this saving, together with the increase of luxury, that the increase of the *Sinking Fund* for the last ten years has been owing.

To the debts discharged the following additions must be made.

In 1764 there was paid towards discharging the extraordinary expences of the army, 987,434l. In 1765, these expences amounted to 404,496l. In 1766, to 479,088l.—Total 1.871,018l.—This sum is 1.100,000l. higher than the extraordinary expences of the army for three years in a time of peace. This excess, being derived from the preceding war, must be reckoned a debt left by the war. And the same is true of 1.106,000l. applied, in 1764, 1765, and

1766, towards satisfying *German* demands.—There are likewise some smaller sums of the same kind; such as subsidies to *Hesse-Cassel*, *Brunswick*, &c. And they may be taken at 200,000*l*.—The total of all these sums is 2.406,240*l*. which, added to 8.333,553*l*. makes the whole diminution of the public debts, or the whole saving of the kingdom, since 1763, to be 10.739,793*l*.

Soon after the peace in 1763, an unfunded debt, amounting to 6.983,553*l*. was funded on the *Sinking Fund*, and on new duties on wine and cyder, at 4 *per cent*. There has been since borrowed and funded on coals exported, window-lights, &c. 6.400,000*l*. The funded debt, therefore, has increased since the war 13.383,553*l*. It has decreased (as may appear from [page 177](#)) 11.983,553*l*. and, consequently, there has been on the whole an addition to it of 1.400,000*l*.—During seven years, from 1768 to 1774, 1.115,883*l*. navy-debt was paid off. See [page 178](#). But, as this is a debt arising from constant deficiencies in the peace estimates for the navy, it is a part of the current peace expences.—On the 31st of December, 1767, this debt was 1.213,072*l*.—On the 31st of December, 1774, it was 1.850,000*l*. and consequently, though 1.115,883*l*. was paid off, an addition was made to it, in seven years, of 673,028*l*. It increased, therefore, at the rate of 255,558*l*. *per ann*.

SUPPLEMENT TO SECTION III PART II.

Containing additional Observations on Schemes for raising Money by Public Loans.

It is impossible, that any attentive person can reflect without concern, on that monstrous accumulation of artificial debt for which no value has been received, which has been pointed out in different parts of the preceding Tract; and, particularly in the third Section of the second Part. This being a subject which, in the present state of our finances, is highly interesting; I have been induced to return to it in this place; and to offer some further observations and proposals which have occurred to me in reconsidering it, and which I think necessary to explain and confirm those which have been already offered.

There are two methods in which money is capable of being borrowed for public services. The first is, by offering such *high* interest as may of itself be sufficient to induce lenders to advance the sums that are wanted: And the second is, by offering a *low* interest, with a *gratuity* or *douceur* to produce the acceptance of it.—The last has been the method in which our government has most commonly borrowed money; and the gratuity offered has been either a right to a greater capital than the sum advanced, or a *long* or *short* or *life* annuity, or the profits of a lottery, or some advantages of trade.—The first without doubt, is the most rational method of borrowing; and the latter is so absurd and extravagant as to be incapable of being adopted in the common transactions of life.—In order to give a just and full idea of this, I shall instance in the last loan; specifying the manner in which it *would* have been made if the usual method of borrowing had been followed; and comparing this with the manner in which it *was* made; and the manner in which, I think, it *might* have been made to the greatest advantage.

FIVE MILLIONS, it is well known, were borrowed last year; and, had the old plan of borrowing been adopted, this sum would have been borrowed by some such scheme as one of the two following.

First. Interest in the public funds being then near 4 *per cent. per ann.* an interest of only 3 *per cent.* would have been offered; or, in other words, for every 100*l.* in *money*, 100*l.* *stock* carrying 3 *per cent.* (worth then 78*l.*) would have been given; but at the same time, as a *premium* or *compensation* for accepting such low interest, a life-annuity, or a short annuity would have been offered worth somewhat more than the difference between 100*l.* and 78*l.* or about 24*l.* The whole premium, therefore, in raising *five millions*, would have been equal in value to about 1.200,000*l.* and, supposing it to have been either a life-annuity, or a short annuity for 17 years of 2*l.* worth 12 years purchase, annexed to every 100*l.* stock, the whole annual charge incurred by the loan would have been 250,000*l.* for a term of years, and 150,000*l.* for ever till the capital is redeemed.

It is manifest that the capital including in it according to this account almost the whole *premium*, the public makes itself, by this mode of borrowing, a *debtor* for the very thing it *gives*; and, besides paying the annuity, obliges itself to advance at redemption the whole value of it.—It is proper to add, that this is done *unnecessarily*, because 1.200,000 might have been procured by selling the annuity, and the remaining 3.800,000*l.* necessary to make up five millions, might have been procured, as will be shewn presently, without any *douceur* by giving higher interest.

But there is another method of borrowing which has been practised by government on former occasions, and which might have been adopted in the last loan.

For every 100*l.* advanced a new capital in the 3 *per cent.* funds worth that sum would have been sold, including a funded 10*l.* lottery ticket. This new capital would have been nearly 127*l.* three *per cent.* stock for every 100*l.* in *money*, or 6.343,954*l.* stock for FIVE MILLIONS in money; of which stock 5.718,954*l.* would have been sold, to encourage subscriptions, at 2 *per cent.* below the market price, that is, at 76*l.* $\frac{1}{2}$; and the remaining stock, having a lottery annexed, would have been sold at *par*. A fictitious or artificial capital, therefore, would have been created, or a debt incurred more than the value received, of 1.343,954*l.* besides relinquishing about 150,000*l.* which might have been obtained by the profits of the lottery.

I have been seldom more surprized than at the preference of this scheme, which, at the time of settling the last loan, was expressed by some very

respectable members of the House of Commons; nor can this preference be easily accounted for on any other supposition than that they consider the public debts as incumbrances, never to be removed, and, therefore, think it of no consequence with what difficulties the redemption of them is loaded by an increase of capitals bearing low interest. It must be acknowledged indeed that this method of borrowing would have been attended with a small present advantage; for the interest of 6.343,954l. at 3 *per cent.* is 190,318l. and this, together with the interest of 150,000l. or 6000l. *per ann.* lost by giving up the profits of a lottery, would have been the whole present annual charge it would have brought on the public. But if this be a sufficient reason for preferring such a scheme, it would perhaps be best to create capitals bearing 2 *per cent.* or even 1 *per cent.* interest; for probably such capitals would bear a better price, in proportion to the rates of interest, than any 3 *per cent.* capitals, and consequently, a greater present saving might be made by selling them. No other objection can be made to this than that by lowering interest, and laying the public under an obligation to return *double* or *triple* every sum it receives; the redemption of the public debts might be rendered so expensive and difficult as to be entirely impracticable. But this would be of no consequence if indeed their redemption is already become impracticable; and if, therefore, every new charge they bring on the public is to be considered as laid on for eternity.

With these schemes let us now compare the scheme actually adopted for the last loan.

Instead of a 3 *per cent.* capital, a new capital bearing 4 *per cent.* interest, irredeemable for ten years, was offered at 95l. for every 100l. *stock*, with two *douceurs* to raise the value of the stock above 100l. in money; namely, a short annuity of a HALF *per cent.* for ten years, (reckoned worth 4l. 2s.) and the profit (reckoned at 3l.) of one ticket in a money lottery consisting of 50,000 tickets.

The chief difference between this scheme and the first I have described is, that the new stock created is a FOUR *per cent.* instead of a THREE *per cent.* stock. But this is a difference of particular importance, and brings it near to such plans of borrowing as appear to me the best.—In the *first* scheme, the artificial capital is 1.200,000l. In the *second*, 1.343,954l. In this *third*

scheme it is only 250,000*l.* This scheme, therefore, has evidently great merit; and perhaps, in the present state of the public debts, it does not admit of any great improvement. There is, however, an easy alteration which, I think, would have been an improvement, and which I shall take the liberty to mention.

According to a preceding observation, the two *douceurs* being included in the capital, are granted, and must be paid twice over. This is so absurd and extravagant that it ought to be avoided as far as possible; and it might have been avoided, in a great measure, by offering for every 100*l.* advanced 95*l.* stock, carrying 4 *and a quarter* interest irredeemable for ten years, with the same short annuity and a lottery ticket annexed.^[139] In this case, the new capital would have been 4.750,000*l.* carrying (at 4¼ *per cent.*) 201,875*l.* *per ann.* interest. There would, therefore, have been a saving of 250,000*l.* in the capital; and the annual charge would have been nearly the same.

It must be observed that this scheme supposes that a stock bearing 4¼ *per cent.* interest would have been valued nearly at *par*; and, according to the principles on which the scheme was calculated, it could not have been valued at much less; or, supposing it valued at 1 or 2 *per cent.* less, the difference might have been made up by only adding two or three years to the duration of the short annuity and the term of irredeemableness.—Had a stock been offered bearing 4¼ *per cent.* interest irredeemable for ten years, one *half* at least of the short annuity might have been saved. The annual charge for ten years would have been somewhat less;^[140] and the excess afterwards would have been much more than compensated by the advantages at redemption attending a higher interest and a smaller capital.

But, perhaps, such a scheme as the following would have been preferable to any of those now proposed.

For every 100*l.* in *money* 75*l.* stock irredeemable for 10 years and carrying 4¼ *per cent.* interest, might have been offered, together with an annuity for 27 years of 1½ *per cent.* (valued cheap at 16 years purchase, or 24*l.*) and the advantage of a lottery ticket. This scheme would have been as likely to be attended with a profit as that which was adopted. The new capital would have been only 3.750,000*l.* bearing 159,375*l.* interest. The short annuity would have been 75,000*l.* and the whole annual charge

(supposing no redemptions of the capital to take place after ten years) 234,375l. for 27 years, and afterwards 159,375l. It appears, therefore, that 1.250,000l. or a *quarter* of the capital that was actually created, would have been saved; and also a rent charge on the public after 27 years of 40,750l. *per ann.* for ever.—The additional expence to balance these advantages would have been 9.650l. *per ann.* for ten years, and 34,375l. *per ann.* for 17 years. In other words; the public would have absolutely secured the redemption of a *quarter* of the loan, (or of 1.250,000l.) besides an easier redemption of the remainder, at the expence of 680,875l. in the whole, [\[141\]](#) to be paid annually in small sums during the course of 27 years.

All that has been now said has gone on the supposition that, agreeably to the calculations on which the last loan was formed, 100l. *stock* irredeemable for ten years and bearing 4 *per cent.* interest, would sell at 17l. more than 100l. *stock* bearing 3 *per cent.* interest; (or at 95l. when the latter *stock* is at 78l.) and also, that a short annuity for ten years would sell at $8\frac{1}{10}$ years purchase.—But events have shewn that these valuations were too high. The new subscription (including 100l. four *per cent.* *stock*, a half *per cent.* short annuity, and the profit of a lottery ticket) should have sold, according to these valuations, at about 102½. But it never bore so high a price; and in a little time it fell to *par*, and at last to 3 *per cent.* discount.—Various reasons have been assigned for this; but the true reasons were the following.

First. A general fall of near 2 *per cent.* which took place in the *stocks* soon after the loan was settled.

Secondly. A lower valuation of the new 4 *per cent.* *stock* and the short annuity which took place in the ALLEY.—This was the principal reason; and it will be proper particularly to explain it. In doing this, it will be necessary to look back a little to the history of the public funds.

In 1717 the public debts were reduced from an interest of 6 *per cent.* to 5 *per cent.* and in 1727, from 5 *per cent.* to 4 *per cent.* In 1737 a bill was brought into the HOUSE OF COMMONS by Sir John Barnard, for a farther reduction from 4 to 3 *per cent.* At this time the 3 *per cents.* were above *par*; and even, during the three first years of the war which began in 1740, they continued so high that government was able to raise the necessary supplies

by borrowing at 3 *per cent.*—In such circumstances, it was impossible the public creditors should avoid expecting a *third* reduction; and this expectation would necessarily link the value of the FOUR PER CENTS. by leading the public to consider them as no more than a THREE *per cent.* stock having a short annuity of ONE *per cent.* annexed. Accordingly; *before* the war the difference of price between the THREE and the FOUR *per cent.* stocks was about 10 or 11 *per cent.* After the commencement of the war, a reduction becoming more doubtful and more distant, this difference became greater, and generally kept between 14 and 17 *per cent.* At the approach of the PEACE in 1748, it sunk to 11 *per cent.* and soon *after* the PEACE, the 3 *per cents.* having risen considerably above *par*,^[142] and an universal expectation of a speedy reduction taking place, it sunk to 6 *per cent.*—It is evident, therefore, that the price of the FOUR *per cents.* has been governed by the expectation of their reduction,^[143] and that, had there been no such expectation, their price, compared with the 3 *per cents.* would have been much higher. It will appear presently to be most probable, that had it not been for this expectation, the prices of these stocks would not have differed much from the proportion of the rates of interest.

In taking this account, I have only compared the THREE *per cents.* with the SOUTH-SEA FOUR *per cent.* capitals before their reduction in 1749, at which time they amounted to above 27 millions, and were (as the consolidated three *per cent.* annuities are now) the grand staple stock of the kingdom. In 1746 and 1747, two new FOUR *per cent.* capitals were created redeemable at any time, and transferable at the BANK. The price of these new capitals kept for some time after their creation, considerably below the price of the old SOUTH-SEA four *per cents.* the reasons of which were, I suppose, the general reasons which make new funds bear a lower price than old ones; and, particularly, their having less traffic in them, and being small and detached parcels likely to be first selected for the operations of finance.

Were the cause now assigned, or the expectation of a reduction of interest, the only cause that governed the comparative prices of 3 *per cent.* and 4 *per cent.* capitals, the excess of one above the other would never be more than the supposed value of a short annuity of 1l. till *reduction.*—But there is another cause which may operate in this instance, and which ought not to be overlooked; I mean, the expectation of a greater payment at

redemption. The effect of the former is to *diminish*, and of the latter to *increase* the value of FOUR per cent. capitals.—In order to understand this it must be remembered, that when the *3 per cents.* are at any considerable discount, it becomes practicable to redeem them under *par*, while debts bearing *4 per cent.* interest must be redeemed at *par*. This will make a difference in favour of the latter, which will be greater or less in proportion to the greater or less discount at which the *three per cents.* are sold, the greater or less quantity of stock bearing *4 per cent.* interest, and the greater or less probability that the whole or a considerable part of it will be soon redeemed^[144]—Let us suppose, for instance, that all the public debts bearing *4 per cent.* interest, consist of a single capital of FIVE MILLIONS redeemable at any time; and that all the rest of the public debts are *THREE per cent.* capitals sold at a discount of *12 per cent.* or at 88*l.* for every 100*l.* stock. In these circumstances, there would be a certainty that the small stock bearing *4 per cent.* interest would be selected for redemption as soon as possible; and, as a stock carrying such high interest could not be expected, when the *3 per cents.* are at 88, to be redeemed under *par*, its real value would on this account exceed that of the *THREE per cents.* more or less in proportion as its redemption was more or less distant. And its *whole* excess of value in these circumstances is to be computed in the following manner.—It would consist of a *3 per cent.* capital, for every 100*l.* of which 100*l.* in money is to be received; and of an additional annuity of *1 per cent.* till redemption. Its excess of value, therefore, if the whole capital was to be redeemed immediately, would be the same with the discount of the *3 per cents.* or *12 per cent.* If the capital was not to be redeemed till the end of 7 years, its excess of value would consist of *12 per cent.* payable seven years hence, and the present worth of an annuity of *1 per cent.* for the intermediate term of seven years. 12*l.* payable at the end of 7 years is worth in present money (allowing compound interest at *4 per cent.*) 9*l.* 2*s.* 6*d.* An annuity of 1*l.* for seven years is worth (reckoning the same interest) 6*l.* The whole excess of value, therefore, will be 15*l.* 2*s.* 6*d.* for every 100*l.* stock. If the redemption of the capital is to be delayed 15 years, the excess of value computed in the same manner will be 17*l.* 15*s.* 6*d.*—if 20 years, 19*l.* 1*s.*—if 30 years, 21*l.*

If the *3 per cents.* had been supposed at a greater discount, it is evident that these several values would have been likewise greater; and had the quantity of *4 per cent.* stock been supposed *double* or *triple*, the effect

would have been the same with a delay of redemption; and had it been supposed thirty or forty millions, the effect (in consequence of our slow progress in redeeming our debts) would not have fallen very short of an eternal delay of redemption.

Before 1749, the amount of the public debts carrying 4 *per cent.* interest was near 58 millions. The expectation, therefore, of the advantage now explained could not *then* have any effect; and the only cause which could have influenced, in any considerable degree, the comparative prices of these stocks must have been the first I have assigned, or the expectation of their *reduction*; that is, in other words, the expectation of a *sudden redemption* of them, as soon as the 3 *per cents.* got above *par*, by borrowing money at that interest. Had not this been foreseen, or had there been an act of parliament rendering it impracticable, there is no reason to doubt but the price of the FOUR *per cents.* compared with the THREE *per cents.* would have approached nearly to the proportion of the rates of interest, agreeably to what is said in ([page 191](#)).

The state of the public funds has been much changed since the two last wars; but it is an alteration that has increased the comparative value of 4 *per cent.* capitals.

I have already observed, that during the last war there was reason to expect, that, as soon as peace came, the THREE *per cents.* would rise above *par*. No one can now entertain any such expectation. On the contrary; it is most probable, that they will never again rise to that which has been their average price during the last peace from 1763 to 1775, and which, I think, may be stated at 87 or 88.—My reason for this assertion is,

First, that after the present war, should we be so happy as to escape the ruin with which it threatens us, our taxes and expences will be so much increased, and at the same time our resources so much diminished, as necessarily to leave the credit and value of our public securities lower than ever.

Secondly. Though our credit and resources should continue undiminished, yet the great addition which the present war will make to the public debt, is alone likely to sink their value, because every increase of a saleable commodity has always a tendency to lower its price.—It follows from hence, that the purchasers of FOUR *per cent.* capitals have now a

prospect of an advantage of 12 or 14 *per cent.* at redemption, which they could not have had before the last peace.

In connexion with this it must be considered, that it is now highly probable, that it will never be again practicable to reduce the interest of any 4 *per cent.* capitals. In order to such a reduction, government must be able to offer to the proprietors of these capitals their *principal*, should they not chuse to take lower interest, and consequently to borrow at an interest of $3\frac{1}{2}$ or $3\frac{3}{4}$ *per cent.* But no sums will be lent on such lower interest, unless it can be depended Upon that capitals bearing that interest, when brought to market, will bear a premium of 1 or 2 *per cent.*; and this, when the *three per cents.* are not higher than 87 or 88, would require the excess of value of such capitals to be estimated at 14 or 15 *per cent.* whereas it has been lately found, that even *FOUR per cent.* capitals irredeemable for ten years, will not bear such an excess of value.—A *reduction*, therefore, of the interest of *FOUR per cent.* capitals, or a *redemption* of them by borrowed money, cannot now be reckoned upon; and the only cause that can *REASONABLY* sink their value compared with the *THREE per cents.* below the ratio of the rates of interest, is the probability of a redemption of them by the surplus of the national revenue. I need not say how little is to be expected from hence. Supposing, however, that much may be expected, I have shewn what effect it ought to have; and from the observations I have made, and particularly the computation in ([page 194](#)), &c. it appears, I think, that the price of the capital of five millions four *per cent.* annuities lately created ought to have been near 18 *per cent.* more than the price of the *THREE per cents.* This appears to be true on the supposition that this capital will be redeemed in fifteen years; (that is, in five years after the expiration of the term for which it is made irredeemable) that the 3 *per cents.* will rise to as high a price as they bore during the last peace; and that purchasers are allowed to make *FOUR per cent.* compound interest of their money.—Were we to suppose this capital discharged even in two years after it becomes redeemable, the value, made out in the same way, would be nearly 17l.

He who will consider all this, and also recollect the general price of the 4 *per cents.* before their reduction in 1749, (see [page 190](#)) must be convinced that the *TREASURY*, at the time the last loan was settled, had good reason for taking the price of the new *four per cent.* capitals 17 *per cent.* higher than the price of the *three per cents.*—It has, however, been found that this was

too high a valuation. Instead of being sold at 17l. more for every 100l. stock than the 3 *per cents*. they have been sold at only 13l. or 14l. more; and this has been the chief reason of the discount to which the last subscription fell.—It is hard to say, by what principles the money'd men who traffic in the funds have governed themselves in this instance; but certain it is, that they have not been guided by any of the rules of just calculation: And the same must be said of the value at which they have reckoned the short annuity of a half *per cent*. for ten years annexed to the new 4 *per cents*. In forming the scheme for the last loan this annuity was, I have said, estimated at $8\frac{1}{10}$ years purchase, agreeably to its real value, supposing the payments yearly, the first payment to be made at the distance of a year, and money improved at 4 *per cent*. compound interest. But it has in general been sold at about $7\frac{1}{2}$ years purchase; which is *less* than its value, supposing money improved at $5\frac{1}{2}$ *per cent*. compound interest. [\[145\]](#)

From this account it appears, that could the caprice of the public have been foreseen, the price of the new four *per cents*. should not have been reckoned at more than 91l.; (the 3 *per cents*. being at 78l.) and that, consequently, to make up a value which would have produced 102l. for every 100l. advanced, either the term of irredeemableness and of the short annuity should have been lengthened; or, supposing this term the same, the short annuity should have been more than doubled. An artificial capital, indeed, of near half a million would in this case have been created. But this disadvantage might have been avoided, without bringing any additional expence on the public, by such alterations as I have before proposed; and by increasing in the corrected schemes, ([page 186](#)), &c. either the term of irredeemableness, or the short annuity, or the rate of interest, or all of them together.

The preceding account will, I fancy, help to shew what is practicable, *taking things as they are*, in borrowing money for public uses. It proves, that the nation loses greatly by the low price of all capitals bearing a higher interest than 3 *per cent*. and that could their value be raised, it would be greatly benefited.—For example. Could the new FOUR *per cents*. have been taken at 99l. for every 100l. stock, instead of 95l. the whole expence of the short annuity in the scheme of the last loan, and of a *quarter per cent*. perpetual interest, in the corrected schemes, ([page 186](#)), &c. might have

been saved. But had the value of the 4 *per cents.* been raised in proportion to the rate of interest, or *nearly* in that proportion, a farther saving might have been made, in all the schemes, of the profits of the lottery, and, consequently, of 6000l. *per annum* in the annual charge.—My next enquiry, therefore, shall be, in what manner and by what regulations this may be done. I have written in the section on loans, on the supposition that such regulations are practicable; and I have proposed one of them; but I will here be more explicit.

It has been shewn, that before 1749 the cause which depressed the value of the 4 *per cents.* was the expectation of their being reduced; and that *now* this cause is the expectation of their being soon *redeemed*. Remove, therefore, these causes in any degree, and their value must rise in the same degree.—With respect to the first, it is in my opinion certain that it would be doing great service to the public to exclude it entirely. Our reductions of interest have proceeded from a policy too narrow; and the nation is likely to suffer by them much more than it has gained.^[146] The savings they produce, being expended on current services, tempt to extravagance; give a fallacious appearance of opulence; and, by making our debts sit lighter, render us less anxious about redeeming them, and less apprehensive of danger from the increase of them. At the same time they render their redemption a work of more difficulty, and oblige government, when under a necessity of contracting new debts, either to give extravagant interest, or to offer extravagant premiums. That accumulation of artificial debts which I have pointed out has been owing principally to this cause; and had it not been, in particular, for the reduction in 1749, the public debts would now have been near 14 millions less; and a debt of above a hundred millions, instead of consisting of capitals bearing interest at 3 *per cent.* would have consisted of capitals bearing some of them 3½, some 4, and some 4½ and 5 *per cent.* interest, which (supposing them all at a medium to bear 4 *per cent.*) a million *per ann.* would have redeemed in six years less time, and at twenty-one millions less expence.—In short; reducing of interest is one of those unhappy TEMPORARY EXPEDIENTS to which statesmen are apt to betake themselves; and by which *present* relief is gained at the expence of *future* safety, and distress postponed by rendering it in the end more unavoidable and dreadful.—There cannot, therefore, be any sufficient reason against

making the interest of the new capitals which may be created by any future loans, IRREDUCIBLE.^[147] Should this raise the price of capitals bearing high interest in proportion to the increase of interest, government would be enabled to borrow to equal advantage whatever interest it offered; the new loans would not bring any greater annual charge on the nation than would have been necessary had the same sums been obtained by selling 3 *per cent.* capitals; and, at the same time, all the immense expence of *douceurs* and *fictitious capitals* would be saved, and all the advantages in redeeming the public debts obtained, arising from smaller capitals bearing higher interest.

Such a regulation as that now proposed would be alone sufficient for these purposes, when the amount of the debts bearing high interest and declared irreducible, is considerable, as appears from what is said in ([page 195](#)). But when a debt happens to bear a higher interest than any other, and is at the same time small, the probability of a *quick redemption* will operate in the same manner on its price with the expectation of a *reduction*; and in this case, therefore, it will become necessary, in order to avoid the inconveniences I have described, to POSTPONE REDEMPTION; and one of the best methods of doing this will be, by ordering, that such a debt shall be redeemed *after* some other given part of the funded public debts.—So slow has been our progress in redeeming debts, that this (supposing the part to be first redeemed considerable) would be reckoned, in the present circumstances of the funds, the same with making the debt to be last redeemed, irredeemable for ever. And should such an apprehension prove right, the public would lose nothing, because the debt whose redemption was postponed, would bring no greater annual charge on the public, than if the same sum had been obtained by selling a capital bearing any lower interest. But should it prove false, or should our debts be ever put into a fixed course of redemption, the public would gain greatly by being able, after discharging one part of its debts, to discharge the remainder more expeditiously and easily.

I shall beg leave to illustrate what has been now said by having recourse again to the last loan of FIVE MILLIONS.—During the last 60 years, or from the first establishment of the sinking fund to the year 1777, no more than about FIFTEEN MILLIONS of the public funded debts have been paid. An order, therefore, that the capital of five millions bearing 4 *per cent.* created by the last loan, should not be discharged unless a capital of twenty-five or thirty

millions in the three *per cents*. shall have been *first* discharged, would have carried its redemption to so distant a period, as might probably have raised it to the same comparative value with any 3 *per cent*. capitals.

Let it, however, be supposed to advance its price only to 102*l*. when the 3 *per cents*. are at 78; that is, when the ratio of the rates of interest required the price to be at 104. In these circumstances, 4.850,000*l*. of the five millions would have been advanced for an equal capital carrying 194,000*l*. interest at 4 *per cent*.; and the remaining 150,000*l*. would have been advanced for the lottery: And thus the whole expence of the short annuity, and 150,000*l*. capital, would have been saved.—And had the same sum been obtained by selling a 3 *per cent*. capital, the amount of interest, though the least possible, would not have been much less; ^[148] but, at redemption, there would have been a necessity of paying above a MILLION AND A QUARTER for which no value had been received.—When such advantages, uncompensated by any loss, can be obtained by so easy and simple a regulation as only changing the ORDER of paying the public debts, ^[149] what possible reason can there be against adopting it?

There is another method by which the value of any stocks bearing high interest might be raised, which would probably be no less effectual; I mean, by ordering that no part of such stocks shall be redeemed, without at the same time redeeming an *equal*, or any *larger* sum, in other capitals. This is the regulation proposed in the section on public loans, ([page 98](#)); and it will not be amiss here to give an illustration of it, by supposing, that EIGHT MILLIONS will be wanted for the necessary supplies of this year; and that this sum will be procured by selling, as was done in the last loan, a capital equal to the sum advanced, bearing 4 *per cent*. interest. Were the interest in this case made irreducible, and the capital incapable of being redeemed without at the same time redeeming four times as much of the 3 *per ct*. or some other stocks, an increase of value would be communicated to it which would render all DOUCEURS unnecessary. For it would be a capital, the redemption of which could not be completed without discharging in all FORTY ^[150] MILLIONS of the public debts.—I cannot doubt but that, in these circumstances (supposing the price of the 3 *per cents*. to continue near 78) a 100*l*. in money would be given for 100*l*. in such a stock, and the whole extravagant expence of short annuities, lotteries, and artificial capitals would be saved.

In short. With the aid of such regulations as those now proposed, EIGHT MILLIONS might this year be borrowed (supposing the 3 *per cents.* not lower than 78 or 77) *probably* at an interest of 4 *per cent.*, but *certainly* at an interest an EIGHTH or a QUARTER higher, without offering any *premiums*. Whereas, if no such regulations are established, either an artificial debt of near^[151] *two millions and a half* must be created; or 5 *per cent.* for 15 or 20 years certain, together with the profits of a lottery, must be given; and a new tax laid which will produce 400,000*l. per ann.*

It may deserve to be added, that an unprosperous state of public affairs, and apprehensions of public danger, would have a tendency, by placing the redemption of our debts at a greater distance, to promote, rather than obstruct the success of schemes attended with such regulations.

There remains one proposal more on this subject which I wish may be attended to.

I have observed, that our reductions of interest have been the effect of too narrow a policy. It seems to me, that one of the best measures that could now be adopted, would be to undo what we have done in this instance, by restoring the 3 *per cent.* capitals to a higher interest, and making this restoration, one of the means of raising the necessary supplies. That this is practicable, and that it would be advantageous, will appear from the following scheme, and observations.

For 20*l.* in money, let 110*l.* stock bearing 3½ *per cent.* interest, be offered, in exchange for every 100*l.* of the 3 *per cent.* stocks; and let the new 3½ *per cent.* flock be capable of being redeemed at any time, but never under *par*, unless when the price of the 3 *per cents.* happens to be below 85*l.*—By this scheme the public would procure 20*l.* from the conversion of every 100*l.* 3 *per cent.* stock into 110*l.* stock carrying 3½ *per cent.*; or FIVE MILLIONS from the conversion of TWENTY-FIVE MILLIONS. The new *additional* capital would be only TWO MILLIONS AND A HALF, (or 10 *per cent.* of the old capital); and the *additional* interest would be 17*s.* (that is, a half *per cent.* added to 7*s.* the interest of 10*l.* at 3½ *per cent.*) for every 20*l.* advanced; or 4¼ *per cent.* for the whole loan.

That such a scheme would afford ample encouragement to subscriptions, supposing the 3 *per cents.* at or near 78, will appear from considering, that the interest offered is above a *quarter per cent.* more than could be made by purchasing any perpetual annuities, and at the same time, in consequence of forming a part of the interest of a THREE AND A HALF *per cent.* capital, is incapable of reduction, and therefore nearly on an equal footing with the interest of any 3 *per cent.* capital.—But to be a little more explicit.

The new capital of 110l. bearing $3\frac{1}{2}$ *per cent.* interest would be better than the 100l. THREE *per cent.* capitals for which it would be substituted, in the following respects.—1st. It would carry 17s. *per ann.* more interest; and such an interest, when the price of an annuity of 3l. is 78l., ought to be worth 22l. 2s. The additional interest, therefore, would be disposed of at 2l. 2s. for every sum of 22l. 2s. (or at $9\frac{1}{2}$ *per cent.*) less than its true value, compared with the price of the 3 *per cent.* annuities.

Secondly. The 3 *per cents.* when *peace* comes, will probably be capable of being redeemed at 88l.^[152] But this stock, in the same circumstances, must be redeemed at *par*. It will, therefore, produce 12l. more in every 100l. at redemption. Add the 10l. additional stock; and the whole additional sum to be received at redemption will be 22l.—There will, therefore, be a profit at redemption of 10l. *per cent.* of the money advanced; and this profit deserves the more notice, because the stock to which it is annexed, being redeemable at any time, and bearing a higher interest than the 3 *per cents.* will be selected for redemption before them; and therefore its price will be so much the more likely always to keep near *par*.—Setting aside, however, this advantage, and supposing only the 20l. advanced likely to be received at redemption, it may be found by calculating in the manner explained in ([p. 194](#)), &c. that the substitution of 110l. flock carrying THREE AND A HALF *per cent.* for 100l. carrying THREE *per cent.*, or, in other words, that 20l. to be received some time hereafter, besides an annuity of 17s. for the intermediate time, is worth in present money more than 20l., reckoning compound interest at 4 *per cent.*

Such a scheme, therefore, in whatever way its value was rightly calculated, would appear to offer an advantageous bargain. Should there, however, be reason to fear that the public might judge otherwise; or should the 3 *per cents.* be at 74 or 75, the value might be easily increased near nine *per cent.* by making the substituted stock 112l. instead of 110l. in which

case, the interest for the 20l. advanced would become 18s. 5d. *per ann.*, or a little more than four and a half *per cent.* instead of *four and a quarter*.

The advantages to the public which would arise from such a scheme are—1st. That it would be one of the best preparations for measures that must some time or other be entered into for putting the public debts into a *fixed* course of redemption.^[153]—In consequence of being raised to a higher interest, a considerable part of them would be made capable of being redeemed with more ease and expedition; and for this reason, it is certain that, if there remains a possibility of our escaping a public bankruptcy, the time must come when we shall wish all our debts bore a high interest.^[154]

Secondly. A capital of TWO MILLIONS AND A HALF would be saved in raising FIVE MILLIONS. That is; the nation in procuring *five millions* would incur a debt of only *half* that sum; and instead of having a QUARTER OR A THIRD *more* to pay at redemption than had been received, it would have ONE HALF *less* to pay.

Thirdly. Such a scheme would keep up public credit; and, by its necessary operation, contribute to carry *itself* into execution. For the advantages attending it being grounded entirely upon the old 3 *per cent.* stocks, few at such a time would chuse to sell them, but many would be induced to buy, and, consequently, their price would be advanced, contrary to the common effect of public loans.—These seem to me advantages so unspeakably important, that I cannot but think it would be right to go to some extraordinary expence, in making at least one experiment of this kind. If, in consequence of offering high terms in *one* trial for a small sum, such an experiment should succeed, it might be renewed on lower terms; and the way might be discovered of managing, in the best manner, larger loans on the same plan.—I cannot help thinking indeed, that it would be found that in this way great sums might be raised without creating *any* new capitals, or making any addition to the public debts. I fancy, for instance, that few, when the 3 *per cents.* are about 78, would scruple to pay 25l. for the conversion of 100l. THREE *per cent.* stock into a 100l. FOUR *per cent.* stock, provided this last stock was not to become redeemable till THIRTY OR FORTY MILLIONS of our present debts have been discharged: And supposing this true, money for public services would be raised at 4 *per cent.* or at an interest nearly as low as possible; and, at the same time, a sum equal to the whole money advanced would be saved. But were it necessary to take for

such a substitution 24l. or even 23l. (that is, to pay about 4¼ *per cent.* for money) the gain, if our debts are ever to be redeemed, would abundantly overbalance the increased expence of interest.

FOOTNOTES

[48] See Observations on Civil Liberty, page 74.

[49] Of all the writers against this war, the learned Dr. TUCKER is the severest. For if, as he maintains, contrary to repeated declarations from the throne, a separation from the Colonies would be an advantage to us, the attempt to keep them, by invasion and bloodshed, deserves a harsher censure than words can convey.

[50] See Observations on Civil Liberty, Part I. sect. 1.

[51] See Observations, Part I. sect. 2.

[52] The greatest part of Mr. *Goodricke's* remarks are founded on this misunderstanding. He is so candid that I know he did not mean to misrepresent me; and yet I cannot help thinking it hard, after repeated declarations of my preference of such a constitution as our own, to be considered as an advocate for a pure Democracy. See *Observations on Dr. Price's Theory and Principles of Civil Liberty and Government*, by Mr. GOODRICKE.

[53] One of the best plans of this kind has been with much ability, described by Mr. DE LOLME, in his account of the Constitution of England.

[54] "As in a free state, every man who is supposed a free agent, ought to be his own governor; so the legislative power should reside in the whole body of the people." *Spirit of Laws*, Book XI. chap. vi. See likewise Justice Blackstone's Commentaries on the Laws of England, page 158. 1st Vol. oct. edition.—*Demosthenes* speaking in his first Philippic, sect. 3d. of certain free states, calls them *their own legislators*, αὐτονομουμένην καὶ ἐλευθερά.

[55] See *Remarks*, printed for Mr. Cadell, on a pamphlet published by Dr. Price. In a letter from a gentleman in the country to a member of parliament, page 10.

[56] Rom. vii.

[57] Dr. PRIESTLY, in his Essay on the *first principles of Government*, makes a distinction between *civil* Liberty and *political* Liberty; the former of which he defines to be "the power which the members of a state ought to enjoy over their actions;" and the latter, "their power of arriving at public offices, or, at least, of having votes in the nomination of those who fill them."—This distinction forms a very proper subdivision of *the liberty of the citizen* here mentioned; and it may be accommodated to all I have said on this subject, by only giving some less general name to that which Dr. Priestly calls *civil* Liberty.

[58] See on this Subject an excellent Sermon entitled, *The Principles of the REVOLUTION vindicated*. By Dr. Watson, Regius Professor of Divinity, at

Cambridge.

[59] Some who maintain this doctrine concerning government, overthrow their own system by acknowledging the right of resistance in certain cases. For, if there is such a right, the people must be judges *when* it ought to be exercised; a right to resist only when civil governors *think* there is reason, being a gross absurdity and nullity.—The right of resistance, therefore, cannot mean less than a right in the people, whenever they think it necessary, to change their governors, and to limit their power. And from the moment this is done, government becomes the work of the people, and governors become their trustees or agents.

[60] It has been commonly reckoned, that it is the end of civil government and civil laws to protect the *property* and *rights* of men; but, according to this writer, civil government and civil laws create *property* and *rights*. It follows therefore, that, antecedently to civil laws, men could have no *property* or *rights*; and that civil governors, being the makers of civil laws, it is a contradiction to suppose, that mankind can have any property or rights which are valid against the claims of their governors. See Three Letters to Dr. *Price*, p. 21, &c. And Remarks on the principal Acts of the 13th Parliament of Great-Britain, p. 58, &c. and p. 191.

[61] This has been done in a lower instance. Parents have been furnished with a particular affection for their children, in order to prevent any abuse of their power over them.

[62] “In ages of darkness, and too often also in those of greater knowledge, by the perfidious arts of designing princes, and by the base servility of too many ecclesiastics, who managed the superstition of the populace, by the violent restraints put upon divulging any juster sentiments about the rights of mankind, the natural notions of polity were erased out of the minds of men; and they were filled with some confused imaginations of something adorable in monarchs, some representation of the Divinity; and that even in the worst of them; and of some certain Divine claims in certain families.—No wonder this! that millions thus look upon themselves as a piece of property to one of their fellows as silly and worthless as the meanest of them; when the like arts of superstition have made millions, nay the very artificers themselves, fall down before the block or stone they had set up; or adore monkies, cats, and crocodiles, as the sovereign disposers of their fortunes.” See Dr. HUTCHESON’S System of Moral Philosophy. Vol. ii. p. 280.

[63] “Let not, therefore, these *pretended masters* of the people be allowed even to do good against the general consent.—Let it be considered, that the condition of rulers is exactly the same as that of the Cacique, who being asked whether he had any slaves, answered; *Slaves? I know but one slave in all my district, and that is myself.*” See the Philosophical and Political History of the Settlements and Trade of the *Europeans* in the EAST AND WEST INDIES. Translated from the French of the Abbe *Raynal*, by Mr. *Justamond*. Vol. v. page 414.

[64] See Obs. p. 25. “The rights of mankind are so sacred that no prescription of tyranny or arbitrary power can have authority enough to abolish them.” Mr. *Hume*’s Essays, vol. iii. Essay on the Coalition of Parties.

[65] “Mankind have been generally a great deal too tractable; and hence so many wretched forms of power have always enslaved nine tenths of the nations

of the world, where they have the fullest right to make all efforts for a change.” Dr. *Hutcheson’s Moral Philosophy*. Vol. ii. p. 280.

[66] See Remarks on the Acts of the Thirteenth Parliament of *Great Britain*. P. 34, &c.—“Is not the same reasoning applicable to taxes paid for the support of civil government? Are not these too the property of the civil magistrate?” Ibid. p. 56.—If I understand this writer, his meaning is, not only that the taxes which the civil magistrate *has* imposed are his property; but also, *any* which he shall please to impose.

[67] Matth. xxiii. 8-12.—John xiii. 14.

[68] Luke xxii. 25, &c.

[69] 1 Pet. v. 3.—2 Cor. i. 24.

[70] He who wants to be convinced of the *practicability*, even in this country, of a complete representation, should read a pamphlet lately published, the title of which is, TAKE YOUR CHOICE.

[71] “A *free* subject of a free state” is a contradiction in terms. See the Proclamation for a Fast.

[72] Mr. Hume’s *Essays*. Vol. i. Essay iv. p. 31.

[73] *Spirit of Laws*. Book xix. ch. 27.

[74] Introduction to the *Commentaries on the Laws of England*, p. 48. See also Book i. ch. 8.

[75] In 1692 King William rejected a bill for triennial Parliaments, after it had passed both Houses. But in a following year he thought proper to give his assent to it.

[76] *Spirit of Laws*. Book xix. ch. 27.

[77] *History of Civil Society*. Part vi. sect. 5.

[78] *Political Discourses*. Essay xii. p. 301.

[79] *History of Civil Society*. Part iv. sect. 5.

[80] See Mr. Hume’s *Essays*. Vol. i. p. 91.

[81] See the conclusion of the Third Part.

[82] This was confirmed by the account of the noble Lord at opening the last Budget.

[83] I have mentioned this sum at random. It is not of great consequence whether it is half a million too little or half a million too much.

[84] The quantity of coin within all equal degrees of deficiency would be equal, were equal quantities issued every year, and were there also no cause which diminished or destroyed it, except the *uniform* operation of time in wearing it. Any cause, therefore, which destroys it more, or diminishes it faster at first than at last, must render the quantity less in the first degrees of deficiency. And the same must be the consequence of a greater proportion issued formerly, in any given time, than of late.—The causes of diminution never probably operated so much on the gold coin as they did for about twelve years before 1773; and this will balance the greater proportion coined during that time.

The very reason of the increase of coinage in those years was, a necessity created by the loss of the new coin, and never before felt in an equal degree. The coinage, however, in those years, was not so much more than usual as some may imagine. In ten years before 1770, eight millions and a half were coined; and in twelve years after the *Accession*, the same quantity was coined; and in twenty-seven years after the *Accession*, more was coined than in twenty-seven years before 1770. See *Considerations on Money, Bullion, &c.* p. 2.—The whole quantity of gold coined from the *Accession* to 1770, was near 29 millions; more than one half of which must have been melted and exported; and, the greatest part of the remainder must have been precipitated in its progress towards deficiency by being clipped and sweated.

[85] When the silver *specie* was recoined in King William's time, it appeared, that a great treasure had been hoarded before the *Revolution*, in consequence of the danger of public liberty at that time. See DAVENANT'S Works, Vol. I. p. 439, &c.

In *Russia* it is reckoned, that as much money lies buried under ground, as exists above ground.

[86] In these sums is included all the coin which the late Proclamations have brought in from HOLLAND and other foreign countries; and which, I think, ought not to be deemed a part of the resting stock of the kingdom.

[87] Or deducting a million for the *Irish* coin, seventeen or eighteen millions.

[88] This is said on the supposition, that the last call would bring in no more than was expected, or about three millions. Its having brought in above double this sum makes little difference. For it proves, that the whole quantity of gold coin must have been (according to Lord NORTH's method of computing) 21 or 22 millions; and the quantity deficient more than a grain about 15 millions; and, consequently, six or seven millions (that is, near a *third*) will still remain to be the quantity deficient less than a grain.

[89] It has been thought very strange, that a piece of metal should bear a higher price, merely because it wants the stamp of the mint. But the reason is, that bullion alone being exportable in any considerable quantity, the price of it must vary as the demand for it varies; or, in other words, as the *balance of payment* between us and the rest of the world is favourable or unfavourable.—This will be explained at the beginning of the Third Part, where it will appear that, in consequence of the increase of luxury and the national debt, this balance has been generally against us ever since the end of the last war.

[90] The coin brought in last Summer, added to near 14 millions coined from the beginning of 1772 to the time of the last call, amounts to about 20 millions and a half; but only 16 millions and a half have been brought in, including the coin from *Ireland* and foreign countries.

[91] Or EIGHTEEN MILLIONS AND A HALF. See Dr. DAVENANT'S Works, Vol. i. p. 363, &c. 443, &c. A great part of this *specie* was carried out of the nation in King WILLIAM'S wars; and the consequence was, that the taxes became unproductive; and that Government fell under great difficulties, from which it was afterwards relieved by the establishment of the *Bank* and the increase of trade. See the beginning of the Third Part.

[92] The paper currency of the Colonies is one of the greatest disadvantages under which they labour; but it is of a more safe and permanent nature than ours. Were it not so, it could not have been of the least use to them for the last year and a half. He who doubts this, need only consider what our paper would be worth were we now invaded as they are.

This difference depends chiefly, on the following circumstances.—Their paper is not payable on demand.—It is a legal tender.—It represents fixed property which is mortgaged for it.—It does not support such a monstrous debt as ours.—And when public emergencies require any extraordinary emissions, they are generally sunk by taxes in four or five years.—It is the first of these circumstances that gives our paper its currency; and it is also this circumstance that creates the danger attending it, by rendering it incapable of sustaining any great shock or panic.—The possession of securities equal in nominal value to the amount of the paper emitted, or the debts contracted, is of little consequence when the value of these securities depends on the paper, and is created by it; that is, in other words, when the debts themselves are the very cash which must pay the debts.—Nothing can be more unnatural than such a state of things; and it may hereafter be a curious object of enquiry, how it could be ever possible that it should subsist any long time.

In page 78 of the *Observations on Civil Liberty*, I have said, “that the kingdom of FRANCE has no such dependence as we have on paper-credit; and that its specie amounts to 67 millions sterling.” In mentioning this sum I took the lowest of different accounts which I had then received from different authorities. I have since received accounts which make it 87 millions and a half; or 2000 millions of *livres*. This, in particular, is the account of an author whom all know to be likely to be well informed on this subject; I mean the author of the Treatise on the *Legislation and Commerce of Corn*, Part I. chap. v.—In the same treatise it is said, (Part I. chap. viii,) that it appears, from the returns made by the intendants of the different Provinces, that the number of *annual* deaths in the whole kingdom of France, for three years ended in 1772, was 780,040. I have been informed by the ingenious author, that this account may be depended on; and if so, *France* must contain 26 millions of inhabitants; for the best observations prove, that no more than a thirty-third part of a whole kingdom dies annually. See *Observations on Reversionary Payments*, page 200.—In *Sweden*, though a nineteenth part die in the capital every year, only a thirty-fifth part die in the whole kingdom. See *Philosophical Transactions*, Vol. lxxv. for 1775, p. 426. The particulars now mentioned, added to the nature of the debts of FRANCE as mentioned in page 78 of the *Observations on Civil Liberty*, form a striking contrast between the state of that kingdom and ours. Nothing gives us our superiority but the advantages we derive from our RELIGION and our LIBERTY. Even in these respects, however, they seem to be improving, while we are declining. *Montesquieu*, *Abbe Raynal*, and others of their most admired writers, inculcate principles of government, and breathe a spirit of Liberty, which, to the shame of this country, are become offensive in it.

[93] See the proposals and observations in a pamphlet lately published by Lord Viscount MAHON on this subject.

[94] “There is something (says a great writer) so unnatural in supposing a large society, sufficient for all the good purposes of an independent political union, remaining subject to the direction and government of a distant body of

men who know not sufficiently the circumstances and exigencies of this society; or in supposing this society obliged to be governed solely for the benefit of a distant country; that it is not easy to imagine there can be any foundation for it in justice or equity. The insisting on *old claims* and *tacit conventions*, to extend civil power over distant nations, and form grand unwieldy empires, without regard to the obvious maxims of humanity, has been one great source of human misery.” *System of Moral Philosophy*, by Dr. HUTCHESON, vol. ii. p. 309. In the section from whence this quotation is taken, Dr. HUTCHESON discusses the question, “When colonies have a right to be released from the dominion of the parent state?” And his general sentiment seems to be, that they acquire such a right, “Whenever they are so increased in numbers and strength, as to be sufficient by themselves for all the good ends of a political union.”—Such a decision given by a wise man, long before we had any disputes with the colonies, deserves, I think, particular notice.

[95] See COMMON SENSE, and PLAIN TRUTH, p. 44. Published for Mr. *Almon*.

[96] The Colonies, I am assured, were not perfectly unanimous till they saw this answer.

[97] I am sorry to differ from those respectable persons who have proposed placing *America* on the same ground with *Ireland*. If the same ground of LAW is meant, it is already done; for our laws give us the same power over *Ireland*, that we claim over *America*. If the same ground of PRACTICE is meant; it has been most unfortunate for *Ireland*, and would be equally so for *America*.

[98] See the Abbe RAYNAL’s Reflections on this subject at the end of the 18th book of his History of the *European Settlements* in the East and West-Indies. —“Is it not likely, says this writer, that the distrust and hatred which have of late taken place of that regard and attachment which the *English Colonies* felt for the parent country, may hasten their separation from one another? Every thing conspires to produce this great disruption; the æra of which it is impossible to know.—Every thing tends to this point: The progress of good in the new hemisphere, and the progress of evil in the old.—In proportion as our people are weakened, and resign themselves to each other’s dominion, population and agriculture will flourish in *America*; and the arts make a rapid progress: And that country rising out nothing, will be fired with the ambition of appearing with glory in its turn on the face of the globe—O posterity! ye, peradventure, will be more happy than your unfortunate and contemptible ancestors.”—Mr. *Justamond*’s Translation.

[99] Had this interest been insufficient, it might have been increased a 16th or even an 8th *per cent.* without any material difference; or, (which would have been better) 3½ *per cent.* might have been offered for *four fifths* of the sum borrowed, and 4 *per cent.* for the remainder; in which case, the annuity payable by the public would have been 65,790l.

[100] It should be remembered here, that tho’ Government, when its debts are at a discount, may be able, with the consent of the creditors, to redeem a given capital by paying a less sum than that capital; yet it can never be obliged to pay *more*.—In other words; a 100l. capital in the 3 *per cents*; 3½ *per cents*; or 4, or 5 *per cents*, Government is always at liberty to redeem by paying 100l. whatever the market price of it may be, and whether the creditors will consent or not.

[101] There is another very great advantage which would attend these annuities.—One and the same *surplus* would discharge a given capital in less time. For example. A surplus of a million *per ann.* invariably applied, and the first payment to be made immediately, would discharge a capital of a *hundred millions* bearing 3 *per cent.* interest in 46 years. But if the same capital bore 3½ *per cent.* interest, it would be discharged in 43½ years; if 4 *per cent.* in 40 years; if 5 *per cent.* in 37¼ years.—A capital *less* than a 100 millions, in the same proportion that the interest is *more* than 3 *per cent.* and for which, therefore, the same annuity is paid, (as in the present case) the same surplus would discharge in 39 years, if the interest is 3½; in 34¼ years, if the interest is 4 *per cent.* in 27¼ years if the interest is 5 *per cent.*—Supposing, therefore, 75 millions borrowed in the manner of our Government, by creating a capital of a 100 millions bearing 3 *per cent.* (that is, by selling 3 *per cent.* stock for 75*l.* in money) which might have been borrowed by creating a capital of only 75 millions bearing 4 *per cent.* (that is by selling 4 *per cent.* stock at 100) there will not only be a loss of 25 millions by a needless increase of the capital; but also a loss of 14 millions, by an increase of the time in which one and the same saving will discharge the two capitals.—This may be proved in the following manner.—A million, *per ann.* will, in 34 years and a quarter, very nearly discharge a debt of 75 millions bearing interest at 4 *per cent.*; but the same saving will, in the same time, discharge only a capital of 61 millions, if it bears interest at 3 *per cent.* When, therefore, such a saving has completed the redemption of the *one* capital, there will remain unpaid of the other, 39 millions.—What has been now applied to a large sum holds true in proportion of any smaller sums.

It appears from hence to be a very wrong observation which some have made; “that provided the annual charge is the same, it signifies little what the *principal* of the public debt is.”—As there is no way of removing the annual charge but by paying the *principal*, it is of just as much consequence what it is, as whether it is practicable or impracticable, to remove a burden which weakens and cripples, and must in time sink the public. An annuity of SIX MILLIONS, if the principal is HUNDRED MILLIONS borrowed at 6 *per cent.* might be redeemed in 33 years with a million *per ann.* surplus. But if the principal is TWO HUNDRED MILLIONS bearing 3 *per cent.* the same surplus would, in the same time, pay off only 56 millions; and but little more than a *quarter* of the annuity would be redeemed. If, therefore, the same sum might as well have been obtained by creating a principal of a hundred millions bearing 6 *per cent.* as by creating a capital of two hundred millions bearing 3 *per cent.* there will be a needless expence, in discharging the debt, of 144 millions.

[102] The price of the 3 *per cents* at the time of this loan (in the beginning of Feb. 1759) was 88½ and 89.

[103] The 3 *per cents* just before this loan were at 69*l.* and, consequently, 5 *per cent.* interest, (or 3*l.* *per ann.* for 60*l.*) would have afforded subscribers a profit of 9*l.* for every 60*l.* advanced. The long annuity was worth, as the stocks then stood, 21 years purchase, and the short annuity, 13 years purchase. Upon the whole loan, therefore, the profit would have been 3 *per cent.*

[104] That is, the difference between 12 millions, and the sum bearing interest at 3 *per cent.* which a million *per ann.* would pay off, in five years and a quarter.

[105] The 3 *per cents* being at this time at 80*l.* an annuity of 3*l.* purchased for 75*l.* would have produced a profit of 5*l.* Therefore these schemes are of exactly the same value. But they are too narrow; and the subscription this year fell immediately to one *per cent.* discount. But in the scheme I have proposed this might have been prevented by only offering 4 *per cent.* for 77*l.* or 78*l.* (instead of 75*l.*) of every 100*l.*

[106] It is plain, that this capital, as well as the former, might have been a quarter (or 60,000*l.*) less, which would have made the whole saving of capital 2.060,000*l.*

[107] At the time of this loan, the 3 *per cents.* were above 75; and, therefore, a perpetual annuity of 3*l.* could not be purchased for 75*l.* and an annuity of 1*l.* 2*s.* 6*d.* for 99 years, was worth at least 27*l.* This, therefore, would have been a scheme very profitable to subscribers.

[108] The life-annuity granted in this case could not have been worth so little as 16*l.* or 14 years purchase; and, therefore, a capital of 100*l.* in the 3 *per cents* was sold for 84*l.*; or a capital of three millions, for 2.520,000*l.*—A premium, therefore, was granted of 480,000*l.*; and this was done without the least reason. For the 3 *per cents* being at that time at 87 and 88, 2.520,000*l.* would undoubtedly have been lent at 3½ *per cent.* interest; and the remaining 480,000*l.* necessary to make up three millions, would have been given for the life annuities; in which case, the annual charge occasioned by the new capital would have been somewhat less; and 480,000*l.* would have been saved, together with the additional expence occasioned by the longer time which a given surplus would require to discharge a debt bearing 3 *per cent.* interest, as explained in the note, [p. 94.](#)

[109] It is a general and certain maxim “that whenever money is borrowed by a lottery which gives a right to *stock* equal to the sum advanced, there is a loss equal to the sum which might have been received for the profits of the lottery.”—When the 3 *per cents.* are at 76 or 77, half a million might be borrowed by a lottery, consisting of 50,000 tickets, each of the same value with 10*l.* three *per cent.* stock: and hitherto such a method of borrowing has been reckoned advantageous. But it only gives a fallacious appearance of borrowing at 3 *per cent.* It is the same with selling the profits of a lottery, and at the same time absurdly converting the purchase-money into a debt due to the purchaser.—Since the last war we have had seven of these lotteries, including two in 1763; and above a million has been lost by them.

In Queen Anne’s time, there were several lotteries, consisting of all *prizes* and no *blanks*. This is so curious, and most persons may be so much at a loss to conceive of the possibility of it, that I cannot help explaining it.

A capital, equal to the whole money advanced, was distributed *equally* among all the tickets in the lottery; and, in order to make them prizes of different values, there was farther distributed among them different shares of an additional capital, to which a right was given, though no money had been paid for it.—For example—In 1711, two millions were raised by a lottery of this kind, called a class lottery. The whole sum advanced was divided into 20,000 tickets, each 100*l.* stock bearing 6 *per cent.* interest. This capital was increased by a gratuitous capital of 602,200*l.* bearing the same interest, and divided into shares which were added to the tickets, in order to form prizes.—This was the same

with giving near 8 *per cent.* for money, besides a *premium* of 30 *per cent.*—As the interest of money was at this time 6 *per cent.* the sum borrowed would most certainly have been advanced at 8 *per cent.* without any *premium*; but it was, I suppose, reckoned necessary that government should not *seem* to give such high interest.—In the same year, 1,500,000*l.* was borrowed by another such lottery, and creating a capital of 1,928,570*l.* And in 1712, 3,600,000*l.* was borrowed by two more such lotteries, and creating a capital of 4,683,080*l.*—The greatest part of the debts contracted by these lotteries (amounting to 9,213,850*l.* though only 7,100,000*l.* was advanced) remains at this hour an incumbrance on the public; and the duties constituting the *general fund* are charged with the interest of it.

In 1714, the national interest was reduced to 5 *per cent.* But in that very year 1,400,000*l.* was borrowed by a lottery, which gave a right to a capital of 1,876,000*l.* bearing 4 *per cent.* that is, by giving near 5½ *per cent.* interest, besides a *premium* of 34 *per cent.*—Thus have our debts been increased. But even worse has been done. The taxes charged with the interest of the public debts proving often deficient, the shortest way of discharging the arrears has been often taken, by adding them to the principal, and paying *compound* interest for money.—Is it a wonder, that a nation which has been so careless in contracting debts, should have done so little towards discharging them?

[110] That is, in other words; there is no one who would not be glad to lend to government on any higher interest than that which he can make in the funds. There is no one, for instance, who would not be glad to lend 75*l.* at 4 *per cent.* when the 3 *per cents.* are at 76, and when, therefore, he cannot make 4 *per cent.* by purchasing them.

[111] The expectation of receiving back some time or other the purchase-money would probably, in private loans, influence a purchaser. But in the cases to which I allude, this certainly was not considered, and did not at all influence. And if it had influenced, the observations I have made as I have gone along, demonstrate that the same loans would have been made without any such expectation.

[112] See the Postscript.

[113] SIXTEEN MILLIONS have been specified. It will come in my way to mention above FOUR MILLIONS more in the second section of the next part. Notes 1, 12, 14.—No notice has been here taken of the loans of the war before the last; but losses of the same kind to a great amount were incurred by them.

[114] In the exports, as delivered to the *House of Commons*, is included bullion exported. If this, as well as the other sums I have mentioned, is deducted, there will be still a balance left in favour of *Britain* during this period. Since 1764, it does not appear, from the accounts laid before the *House of Commons*, as published by Sir *Charles Whitworth*, that any bullion has been entered for exportation.

[115] The 3 *per cent.* annuities were then at 105; and, during the first five years of the war which began in 1755, they were higher than they have generally been *since* the war.

[116] These duties were appropriated to the payment of the interest at 4 *per cent.* of a capital of 4,400,000*l.* created in 1747, for which four millions only had been advanced. It is now a part of the capital of the reduced 3 *per cent.* annuities.

[117] The whole of this sum, (except 16,437,821*l.* consisting of the old Bank capital, the consolidated 3 *per cents*, the South-Sea 3 *per cent.* annuities 1751, the Civil List million, and the East-India annuity) that is, 54,413,433*l.* was reduced by 23 Geo. II. 1749. from an interest of 4 *per cent.* to 3½ till 1757, and afterwards to 3 *per cent.*—The proprietors of a capital of 3,290,042*l.* refused to consent to this reduction, which, therefore, was paid off; 1,190,042*l.* with *Exchequer Bills* (afterwards cancelled); and 2,100,000*l.* with money borrowed at 3 *per cent.* and added to the capital of the *South-Sea* annuities. The whole sum, therefore, reduced and paid off, was 57,703,475*l.* which produced a saving to the public, and an addition to the Sinking Fund after 1757, of 612,735*l.* *per ann.*

The SALT DUTIES in 1753 had been for some time mortgaged to pay the principal and interest of a million borrowed in 1745. In 1757, after clearing the mortgage, they became free, and were carried into the Sinking Fund, of which they have ever since formed a part. This produced a farther addition to the *Sinking Fund*, after 1757, of about 220,000*l.* *per ann.*

I have not included the million now mentioned in the account given above of the public debts in 1753, because it was in a fixed course of redemption; nor have I included 499,600*l.* in *Exchequer Bills* charged on the duty on sweets, because these *Exchequer Bills* were paid off in 1754.

[118] Having met with no account of the Navy Debt at this time, I have chosen, rather than omit it, to suppose it nearly the same that it was at the commencement of the last war; which, probably, is reckoning it too high.

[119] In this account I have omitted a million borrowed in 1734, because the redemption of it was near being completed by the Salt Duties. I have also omitted *Short Annuities* amounting to 24,334*l.* being the remainder of 9 *per cent.* annuities for 32 years created in 1710, because the term for which they were created was near expiring.

[120] The author of the *Considerations on the Trade and Finances of this Kingdom* makes this debt 1,318,000*l.* more than the sum at which I have here stated it. See page 22; and *State of the Nation* by the same author, page 15, quarto editions.—The reason of this difference is, that this writer has included in the unfunded debt left by the war the deficiencies of grants and funds in 1763 and 1764, and the *whole* army debt not provided for in those years; whereas I have excluded the former entirely; and admitted only as much of the latter as exceeded the army debts common in subsequent years. See the Postscript.

[121] In 1751 there was applied to the payment of Navy debts 200,000*l.* and in 1752, the sum of 900,000*l.* But I have not reckoned these sums, because they did little more than make up the constant deficiency in the *Peace Establishment* for the Navy.

[122] See the Postscript.

[123] “Either the nation (Mr. Hume says) must destroy public credit, or public credit will destroy the nation.” *Political Essays*, page 135.

[124] The number of inhabitants in *France* is 26 millions. In *Britain* it cannot exceed six or seven millions. See [p. 66](#). And *Observations on Reversionary Payments*, page 185, third edition.

[125] Near one half of all this importation is made into *Bordeaux* only; and the rest into *Rochelle*, *Marseilles*, *Nantz*, *Havre*, and *Honfleur*.

[126] In order to defray the expence of coinage, a duty of 10s. *per* ton has been laid on wines imported; and, as far as this duty happens to fall short of 15,000 l. the deficiency is made good out of the supplies.

[127] I am not able to give the exact amount of this part of the appropriated revenue. I have, therefore, reckoned it at such a round sum, as, I think, cannot much exceed or fall short of it.

[128] The Land-tax at 3s. is given by Parliament for 1,500,000l.; and the Malt-tax for 750,000l. but they are always greatly deficient.—Both these taxes (and also sometimes the income of the Sinking Fund) are borrowed of the *Bank*, and spent long before they come into the Exchequer; and therefore, are debts constantly due to the Bank, for which interest is paid.

[129] The account given by Lord North at opening the Budget in 1775, was, that the public debt had been diminished since 1763, near nine millions and a half. The grounds on which I have stated this diminution at 10,639,793l. may be seen in the POSTSCRIPT, (p. 171).

[130] Four of these lotteries have been annexed to annuities; but it would be a great mistake to think that they have not been equally profitable with the other lotteries. For instance; in 1767, a million and a half was borrowed on an annuity of 45,000l. with a lottery of 60,000 tickets annexed. In the same year, 2,616,777l. was paid off; but, had it not been for the lottery, only 1,350,000l. could have been raised on the annuity; and 150,000l. less must have been paid off.

[131] The discounts on a million and a half paid off in 1772, and two millions paid off in 1774 and 1775, amounted nearly to this sum.

[132] The particular sums may be found in a pamphlet, entitled, *The Present State of the Nation*, p. 28, quarto edition. But I have not included all the sums there enumerated; nor have I admitted the Army savings in 1772, and some other smaller sums.

[133] This surplus, being the medium for the whole 12 years of peace, is less than that in p. 160, which is the medium at the end of this period, when the Sinking-Fund produced above a quarter more than it did at the beginning of it.

[134] I have here taken the average of two years before and after 1766.

[135] The annual medium of the payments into the Exchequer from the CUSTOMS in ENGLAND, for the last five years, has been 2,521,769l.—In 1774 the payment into the Exchequer was 2,547,717l.—In 1775, it was 2,476,302l.—The produce of the CUSTOMS, therefore, has been given rather too high.

The produce of the EXCISES in England has been higher, in 1772 and 1775, than in any two years before 1776; but the average of any three successive years, or of all the five years since 1770, will not differ much from the sum I have given.—In 1754, or the year before the last war, the CUSTOMS produced only 1,558,254l.—The Excises, exclusive of the Malt-tax, produced 2,819,702l.—And the whole revenue, exclusive of the Malt-tax and Land-tax at 2s. was 5,097,617l.—In 1753 the whole revenue was 5,189,745l. And the appropriation

or annual charge upon it, (consisting of the Civil List, 834,443*l.* interest of the national debt, exclusive of navy debt, 2,628,087*l.* expences of management, 43,691*l.* 4½ *per cent.* from the Leeward Islands 27,378*l.* annuity to the late Duke of Cumberland 25,000*l.* first-fruits and tenths of the Clergy 13,597*l.* &c. &c.) was 3,733,713*l.* The Sinking-Fund, therefore, produced 1,456,000*l.*; which, added to 1,500,000*l.* (the neat produce, at that time, of Land at 2*s.* and Malt-tax) made the unappropriated revenue 2,956,032*l.*—The expence of the peace establishment, consisting of 10,000 seamen, and 18,857 landmen, was, in 1753 and 1754, (including an allowance for the increase of the Navy-debt) 2,400,000*l.* nearly; which left an annual surplus in the national income of 556,000*l.* *without* lotteries, and land at 2*s.* This surplus (with land at 3*s.*) has of late scarcely exceeded 300,000*l.*; and, therefore, has not been a THIRD of what it was in the last peace, and before the reduction of interest to 3 *per cent.* was completed.

[136] This article was omitted in the former editions of this *Postscript*; and its insertion here makes the diminution of the public debts, since 1763, half a million less than the sum at which it is taken in [p. 104](#) and [108](#).—It might have been proper also to add, the excess of Navy debts *contracted* above the Navy debts *discharged*, from 1763 to 1775; and had this been done, the surplus in [p. 165](#), would have been reduced to 150,000*l.*

[137] See *The Present State of the Nation*, page 26.

[138] This article was omitted in the first editions of this *Postscript*.—It might have been proper to add, the excess of Navy debts *contracted* above the Navy debts *discharged*, from 1763 to 1775; and had this been done, the surplus in [p. 166](#), would have been reduced to 150,000*l.* *per ann.*

[139] Or, for every 105*l.* contributed, 100*l.* STOCK irredeemable for 10 years might have been given, carrying 4¼ *per cent.* interest, with the same short annuity and a lottery ticket annexed; and then the new capital would have been 4,762,000*l.* carrying (at 4¼ *per cent.*) 202,385*l.* *per ann.* interest. The amount of the short annuity would have been 23,810*l.* and the number of lottery tickets 47,620.

[140] 211,375*l.* the interest at 4½ of 4,750,000*l.* and 12,500*l.* a short annuity of a QUARTER *per cent.* annexed to every 100*l.* contributed, make 223,875*l.* This last sum, therefore, would have been the annual charge for 10 years; and the first sum the annual charge after ten years till redemption.

[141] Ten payments of 9,650*l.* and seventeen payments of 34,375*l.* make 680,875*l.*

[142] It may be worth observing, that during this whole war they never fell below 82, except for a few months during the rebellion in 1745; that after the PEACE in 1748 they rose to 105, and in the succeeding war never fell so low as they are now, except in the two last years; that after the PEACE in 1763 it was expected they would again rise above *par*; but that, instead of this, they have in general during the whole peace kept 12 or 13 *per cent.* below *par*, and 15 or 16 *per cent.* below the price they bore before the two last wars.—One of the reasons of the great alteration which has taken place since the last war is, I think, pointed out in the 3d Section of the 3d Part of this Tract.

[143] Since the reduction in 1749 there has been no FOUR *per cent.* capital created except that of the last year.

[144] What is here said has been verified, in the particular instance of a *million and a half* borrowed in 1756, which was to carry $3\frac{1}{2}$ *per cent.* interest till 1771, and then to become redeemable.—During the last war, and for about three years after the commencement of peace, there was a general expectation that the *THREE per cents.* would rise above *par* as they had done in the former peace; and while this expectation continued, this stock reckoned no better than a *THREE per cent.* stock with a short annuity of a *half per cent.* annexed; and for this reason it bore, during that period, a lower price than another stock of 4 millions and a half which was to bear the same interest till 1782, and then to become redeemable, and to sink to an interest of 3 *per cent.*—In the latter end of 1767 and beginning of 1768 the price of the former stock rose above that of the latter, and continued not far from *par* from that time to the time of its redemption in 1771. The reason must have been, that being a small stock bearing a higher interest than the other stocks, it was expected, that it would be paid off at *par*, and therefore with a considerable profit, as soon as it became redeemable; which accordingly happened. See Postscript, ([page 177](#)).

[145] Nothing has been more undervalued in the *ALLEY* than *Annuities on lives*. They have been always granted, very unreasonably, without any limitation of age; and their value has been taken at no more than 12 or 13 years purchase; tho' really worth one with another 16 or 17 years purchase. This is a strong reason for preferring short annuities to them in all schemes for raising money. Short annuities for 21 years will be taken for as much as life-annuities; and yet experience has proved that in this time not a *quarter* of the life-annuities will drop; and the whole expence brought by them on the public will not be removed in less than 70 or 80 years. See Note 15, ([Page 134](#)).

[146] I would except here the first reduction in 1717. This was then necessary to gain a fund for sinking the public debts; and had the fund thus gained been applied, as the laws required, invariably to this purpose, and all farther reductions been avoided, we should now have been burthened with no debts.

[147] That is; never capable of being redeemed by substituting one debt for another; or of being saved from redemption by accepting lower interest.

[148] Supposing the 3 *per cents.* sold at $76\frac{1}{2}$, the capital necessary to produce 4.850,000*l.* in money would be 6.339,869*l.* the interest of which at 3 *per cent.* is 190,195*l.*

[149] When the amount of interest, payable for a sum obtained by selling a 4 *per cent.* capital, is the same with the amount of interest, payable for an equal sum obtained by selling a 3 *per cent.* capital, which is nearly the present case, postponing, in the manner I have proposed, the redemption of the former, becomes as indifferent as it would be to postpone in the same manner the redemption of any 3 *per cents.*

[150] In this case only a *FIFTH* of the *surplus* to be at any time employed in redeeming debts could be applied to the redemption of this *particular* loan. The rest after nine years might be employed in redeeming the 4 *per cent.* stock created last year; or jointly with it, such parts of future loans bearing high interest, as, in borrowing on the same plan, might be left redeemable. And thus no obligation would arise from this mode of borrowing to prefer the redemption of 3 *per cents.* to the redemption of capitals bearing higher interest. In particular; had this been the plan of borrowing through the last war, all surplus monies

might have been ever since employed intirely in paying off 4, 4½ and 5 *per cent.* capitals preferably to any others; and at the same time, no *douceurs* would have been granted in order to procure the loans, no artificial debt contracted, or extraordinary charge incurred.

[151] Should this be disregarded, and a long annuity offered, as a *douceur*, of 1½ *per cent.* for 90 or 100 years, *eight millions* might perhaps be borrowed at an interest, including the long annuity, of 4½ *per cent.* even though the 3 *per cents.* should fall as low as 73.—And this, probably, would be the very scheme a minister would prefer, who, minding chiefly present ease, did not care how much he burdened the nation hereafter.

[152] In 1774, a million of the 3 *per cents.* was redeemed at this price; and in 1772, a million and a half at 90.

[153] I mean such a course of redemption as should not be liable to interruption by a WAR; or, as would be the effect of the establishment of such an unalienable *sinking* fund as has been described in the *Appeal to the Public on the Subject of the National Debt*, and the *Observations on reversionary Payments*.—Nothing can save us from bankruptcy but such a fund; and were it established, the 3 *per cents.*, when they came to be redeemed, would soon rise to *par*; and, consequently, the obligation implied in this scheme to pay a part of them at *par* would occasion no additional expence. It is, however, so little to be expected, that such a fund will be ever established, that it would have been folly to have made the calculation given above, on any supposition less favourable, than that the 3 *per cents.* will bear the same price after the present war, that they bore after the last; and that we shall go on as we have hitherto done, paying off a *million*, or a *million and a half*, now and then in a time of peace.

[154] The conversion of a 3 *per cent.* stock into a 3½ *per cent.* stock gives the same advantage in redeeming it, that the power of redeeming it at 85¾ for every 100l. would give.—A million *per ann.* surplus would redeem 114 millions and a quarter of the latter stock in the same time, and therefore at the same expence, that it would redeem 100 millions of the former. I suppose here the 3 *per cents.* paid at *par*; and this I have before observed will be found to be necessary should a time (scarcely the object of hope) ever come when government will set itself in earnest and with any effect to pay the public debts.

CORRECTIONS and ADDITIONS.

Transcriber's Note: Whilst minor typesetting errors have been corrected in the course of producing this e-text, the author's list of corrections and additions below has not been addressed.

In THE SECOND TRACT, ([page 120](#)), after the words *Lent at 4 per cent. in 1746, charged on licences for retailing spirituous liquors, and reduced to 3 per cent. by 23d of George II. 1749, add, and consisting of old Exchequer Bills then cancelled and converted into a debt from Government to the Bank, for which the Bank was allowed to add to its capital an equal sum by 19th George II. Ch. 6.*

In ([page 128](#)), instead of the words, *In 1751, certain Exchequer tallies and orders, amounting to 129,750l. read, In 1751, the remainder of certain Exchequer tallies and orders charged on the duties on wrought plate, and amounting to 129,750l.*

([Page 136](#)), line 17, instead of 1758 read 1757.

([Page 137](#)), line 2d from the bottom, for 205,000l. read 215,000l.

([Page 139](#)), for 17.7401,32l. read 17.701,324l.

([Page 144](#)), after *Exchequer Bills charged on a duty upon victuallers by 12th Geo. I. 1726, add, and afterwards by 16th Geo. II. 1743, charged on the duties on licences for retailing spirituous liquors. Now included in the Bank Capital by 19th Geo. II. Ch. 6.*

([Page 144](#)), Note (b) after the words, *In this account I have omitted a million borrowed in 1734, add, and half a million borrowed in 1736; because these debts had for some time been in a fixed course of redemption by the salt-duties.*

In ([page 145](#)), line 2d, for 10.639,793l. read 10.739,793l.—Ibid, line 10th, for 146.582,844l. read 146.682,844l.—Ib. line 12th, for 15.639,793l. read 15.739,793l.—Ibid. note, line 2d, for 1.118,000l. read 1.218,000l.

([P. 147](#)). For 146.582,844l. read 146.682,844l.—For 71.505,580l. read 71.605,580l.—And for 10.639,793l. read 10.739,793.

FINIS.

A SUMMARY VIEW and COMPARISON of the different Schemes of Public Loans described in the SUPPLEMENT.

N.B. The Sum borrowed is always supposed FIVE MILLIONS; and the Price of the 3 *per cents.* 78l. But all the Schemes may be accommodated to any other Price of the 3 *per cents.* and to Schemes for borrowing any greater or smaller Sums.

	OLD SCHEMES.		Scheme of the loan in 1777. III. Page 185.	Scheme of 1777, altered to avoid douceurs and an artificial capital.		Scheme of 1777; supposing 100l. four <i>per ct.</i> stock worth 91l. when the 3 <i>per cts.</i> are at 78l. Page 200. VI.	Scheme founded on the regulations proposed Page 205. &c. VII.	Schemes changing <i>cent.</i> stock bearing inte See Page 209. VIII.
	I. Scheme described Page 182.	II. Scheme described Page 183.		See Page 186. IV.	See Page 188. V.			
SUM ADVANCED	£. 5.000,000	£. 5.000,000	£. 5.000,000	£. 5.000,000	£. 5.000,000	£. 5.000,000	£. 5.000,000	£. 5.000,000
NEW CAPITAL, or sum payable at redemption	5.000,000	6.343,954	5.000,000,	4.750,000	3.750,000	5.000,000	4.850,000	2.500,000
Interest offered	3 <i>per cent.</i>	3 <i>per cent.</i>	4 <i>per cent.</i>	4¼ <i>per cent.</i>	4¼ <i>per cent.</i>	4 <i>per cent.</i>	4 <i>per cent.</i>	4¼ <i>per cent.</i>
ARTIFICIAL CAPITAL, or sum payable at redemption more than the value received	1.200,000	1.343,954	250,000	—0—	—0—	[155] 450,000	—0—	—0—
DOUCEURS consisting of additional capitals	—0—	1.343,954	—0—	—0—	—0—	—0—	—0—	—0—
Short Annuity worth	1.200,000	—0—	200,000	—0—	—0—	450,000	—0—	—0—
Lottery worth	—0—	150,000	150,000	150,000	150,000	150,000	—0—	—0—
ANNUAL CHARGE.								
Perpetual	150,000	100,318	200,000	201,875	159,375	200,000	194,000	212,500
Temporary	100,000	—0—	25,000	25,000	75,000	56,250	—0—	—0—
	For lives or 17 yrs.		for 10 years.	for 10 years.	for 27 years.	for 10 years.		
Total of Annual Charge	250,000	190,318	225,000	226,875	234,375	256,250	194,000	212,500

[To be placed last of all, facing [Page 216.](#)]

[\[155\]](#) This Scheme may be altered to avoid the artificial Capital and 450,000l. Douceur (preserving nearly the same annual Charge) in the Manner directed in the 4th or 5th Scheme.

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